

Build a Retirement Plan You Can Question

A practical guide to organizing retirement income, testing withdrawals, and using AI to review your own plan

By Paul Hankin

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First edition.

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The companion AI-Ready Retirement Income Planner is a calculation and education tool. It is intended to help users organize assumptions, compare scenarios, review tradeoffs, and ask better questions. It does not replace professional advice.

If you use the optional AI Chat feature with your own Claude API key, any AI-generated response should be reviewed carefully. AI outputs may be incomplete, outdated, misunderstood, or incorrect. AI-generated suggestions should not be applied without checking the numbers, assumptions, and consequences.

Examples and case studies in this book are hypothetical and simplified. They are included to demonstrate planning concepts and should not be interpreted as recommendations for your situation.

Before making major retirement, tax, healthcare, Social Security, Roth conversion, investment, relocation, withdrawal, estate, or insurance decisions, consider consulting a qualified professional who understands your personal circumstances.

By using this book, the companion planner, or any related materials, you remain responsible for your own decisions.

How to Use This Book

This book is designed to help you build a retirement income plan you can understand, question, test, and improve.

It is not written as a technical textbook. It is not meant to cover every possible retirement rule in exhaustive detail. It is a practical guide for organizing the main moving parts of retirement income so you can make better planning decisions.

The central idea is simple:

Retirement income should be planned as a timeline.

Your income does not stay the same every year. Your costs do not stay the same every year. Your tax situation may change. Healthcare rules may change. Social Security may start later. Medicare may begin at a different age from your retirement date. Required minimum distributions may begin later. Inflation may reduce purchasing power. Investment returns may be better or worse than expected.

A useful plan should show those changes clearly.

This book will walk you through that process step by step.

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What You Will Learn

You will learn how to think about retirement income in phases.

Instead of asking only, “How much can I withdraw?” you will learn to ask:

Which phase of retirement am I planning for?

Which income sources are active in this phase?

Which costs or thresholds apply?

How much income is actually spendable after taxes and healthcare?

What balance remains for the next phase?

Does real income hold up after inflation?

Does the plan still work under less favorable assumptions?

These questions make retirement planning more practical.

You will also learn how taxes, healthcare costs, Roth conversions, Social Security timing, required minimum distributions, account types, and withdrawal strategies can interact.

The goal is not to memorize every rule. The goal is to see how one decision affects the rest of the plan.

How the Chapters Fit Together

The book begins with the basic structure of retirement income planning.

You will first learn why retirement is better planned as a timeline than as one average year. Then you will review the difference between gross income, net income, real income, reliable income, and flexible income.

From there, the book moves into the main planning pressures:

- ending balances
- taxes
- healthcare costs
- inflation
- plan health checks
- withdrawal strategies
- better planning questions

Later chapters explain how to use the companion AI-Ready Retirement Income Planner as a working model. The planner lets you enter your own assumptions, review your plan by phase, compare scenarios, check plan health, and optionally use a Claude API key to ask questions about the plan you have entered.

The final chapters show how to run a first planning session, walk through a case study, and create a practical next-step action plan.

You Can Read This Book With or Without the Planner

You do not need the planner to understand the book.

The planning framework can be useful on its own. You can apply the ideas using a spreadsheet, another planning tool, notes, or conversations with a financial professional.

The companion planner simply makes the framework easier to apply.

It gives you a place to enter balances, income sources, withdrawals, tax assumptions, healthcare costs, inflation assumptions, Social Security timing, pension income, Roth conversions, and other planning inputs. It then displays the plan in a phase-by-phase format so you can review the results more clearly.

If you use the planner while reading the book, each chapter can become more practical. You can test the ideas using your own assumptions instead of only reading examples.

Start With a Baseline, Not Perfection

One of the biggest mistakes in retirement planning is waiting for perfect information.

You may not know exactly what healthcare will cost. You may not know which year you will claim Social Security. You may not know future tax brackets. You may not know whether you will move, work part-time, or change spending later.

That uncertainty is normal.

Do not let it stop you from building a first version of the plan.

Start with reasonable estimates. Save the baseline. Then test alternatives.

If you are unsure whether you will claim Social Security at 62 or 67, test both.

If you are unsure whether inflation will average 3% or 4%, test both.

If you are unsure whether healthcare will cost \$500 or \$900 per month, test both.

A retirement plan does not need to be perfect to be useful. It needs to be clear enough that you can review it.

How to Use the AI Chat Feature Responsibly

The companion planner includes an optional AI Chat feature. If you add your own Claude API key, you can ask questions about the retirement plan you have entered.

This can be useful because the AI can work from the plan context instead of responding to a general retirement question.

For example, instead of asking:

Can I retire?

You can ask:

Which phase of this plan has the most risk?

Am I using low tax bracket space efficiently before RMDs begin?

Could this withdrawal affect ACA costs?

Am I close to IRMAA?

Would Roth conversions improve this plan?

Which withdrawal strategy fits this plan best?

The AI Chat feature should be used as a review assistant, not as a decision-maker.

You should review every suggestion. You should verify important tax and healthcare values. You should save a baseline before applying changes. You should apply only the changes you understand and agree with.

The planner can help you ask better questions. The final decisions remain yours.

A Suggested Reading Path

If you are new to retirement income planning, read the book in order.

The ideas build on each other:

1. retirement as a timeline
1. monthly income and spendable income
2. ending balances
3. taxes
4. healthcare costs
5. inflation
6. plan health
7. withdrawal strategies
8. better questions
9. AI Chat review
10. keeping the plan current
11. your first planning session
12. case study
13. next steps

If you already have a plan, you may want to read Chapters 7 through 12 more slowly. Those chapters focus on reviewing, testing, and improving an existing plan.

If you are mainly interested in the AI feature, read Chapter 9 and Chapter 10 carefully. Those chapters explain how to ask useful questions and how to treat AI responses as review material rather than instructions.

If you are close to retirement, pay special attention to the chapters on taxes, healthcare, and first planning session workflow.

What to Do While Reading

As you read, keep a simple note page with these items:

- expected retirement age
- desired monthly income
- essential monthly expenses
- Social Security or pension start ages
- account balances by type
- healthcare coverage before and after Medicare
- tax-sensitive years
- possible Roth conversion years

- major uncertainties
- questions to ask your plan

By the end of the book, those notes can become the starting point for your first planning session.

You do not need to solve everything while reading. Just collect the pieces.

The planning work becomes easier once the pieces are organized.

Quick Start: Build Your First Baseline Plan

Suggested steps:

1. Gather balances by account type.
2. Choose retirement start age and plan end age.
3. Enter Social Security, pensions, and other income.
4. Estimate monthly spending.
5. Add healthcare assumptions.
6. Enter baseline withdrawals.
7. Save the baseline.
8. Review the weakest phase.
9. Test one change.
10. Save an improved version.

Introduction — Why Retirement Income Needs a Working Plan

Most people do not begin retirement planning by asking for a tax model, a healthcare estimate, or a withdrawal strategy. They begin with a simpler question.

Can I retire?

That question sounds simple, but it usually contains several smaller questions:

Can I create enough monthly income?

Will that income still work after taxes?

What happens before Medicare begins?

What happens when Social Security starts?

Will my savings last if investment returns are lower than expected?

Should I draw from cash, a 401k, an IRA, a Roth account, or a taxable brokerage account first?

Will withdrawals today create higher taxes or healthcare costs later?

Can I spend more safely, or do I need to spend less?

Those are the questions that matter in real retirement planning. A savings total by itself cannot answer them. Neither can a rough monthly income estimate. A useful retirement plan needs to show how income, taxes, healthcare costs, withdrawals, investment growth, and timing work together.

This book is about building that kind of plan.

The goal is not to predict the future perfectly. No planner, spreadsheet, calculator, or advisor can do that. The goal is to organize the information clearly enough that you can test your assumptions, compare choices, and see where the weak points are before you rely on the plan.

A retirement plan should help you answer practical questions:

If I retire at 62, what income sources support me before Social Security begins?

If I claim Social Security early, how does that affect later income?

If I delay Social Security, what fills the gap?

If I increase 401k withdrawals, how much of that turns into spendable income after tax?

If I need Affordable Care Act marketplace insurance before Medicare, could extra income reduce my subsidy?

If I cross an IRMAA threshold later, how much could Medicare costs increase?

If inflation runs higher than expected, does my later-life income still hold up?

If markets underperform, which phase of retirement becomes most fragile?

A good plan gives you a way to ask those questions using your own numbers.

Retirement Is Not One Average Year

Many retirement calculators ask for a few inputs and then produce a single result. You enter your age, savings, expected return, retirement age, and annual spending. The calculator tells you whether the plan looks likely to work.

That can be useful as a first pass, but retirement rarely behaves like one average year repeated over and over.

The first years of retirement may depend heavily on savings and investment withdrawals. Social Security may not have started yet. Medicare may not be available yet. If you retire before 65 in the United States, healthcare planning can become one of the biggest moving parts. If you are using ACA marketplace coverage, taxable income can affect premiums and subsidies.

Later, Social Security may begin. Medicare may replace marketplace insurance. Pension income may start. Required minimum distributions may eventually force withdrawals from traditional retirement accounts. Investment accounts may have grown, shrunk, or shifted. Inflation may have changed the real value of your monthly income.

These changes do not all happen at once. They happen in stages.

That is why this book uses phase-based retirement income planning.

Instead of treating retirement as one long block, we divide it into meaningful periods. Each phase has its own income sources, costs, tax situation, and ending balance. The ending balance from one phase becomes the starting point for the next.

This is a more practical way to think about retirement because it matches how retirement actually unfolds.

For example, a simple plan might include phases like these:

- Before Medicare
- Medicare begins
- Social Security begins
- Required minimum distributions begin
- Later retirement

Your own phases may be different. You may retire earlier or later. You may claim Social Security at 62, 67, 70, or another age. You may have a pension. You may live outside the United States. You may have rental income, part-time income, or a spouse with a different retirement timeline.

The exact phases are less important than the principle:

Retirement income should be planned as a timeline.

Monthly Income Is Only Part of the Answer

It is natural to focus on monthly income. Most people think about retirement in monthly terms because bills arrive monthly. Housing, food, insurance, utilities, transportation, healthcare, and personal spending all have to fit inside a monthly budget.

But a retirement income plan needs to show more than gross monthly income.

Gross income is the amount coming in before deductions. It might include withdrawals from a 401k or IRA, Social Security, pension income, taxable brokerage withdrawals, rental income, or part-time work.

Net income is what remains after taxes and other costs. This is usually closer to the number people actually care about.

Real income adjusts for inflation. This matters because \$5,000 per month today may not feel like \$5,000 per month ten, fifteen, or twenty years from now.

A plan that looks comfortable in nominal dollars may be much tighter in real purchasing power.

There is also a difference between reliable income and flexible income.

Reliable income may include Social Security, pensions, or annuity income. These sources may not be completely risk-free, but they are usually more predictable than portfolio withdrawals.

Flexible income comes from assets you control: retirement accounts, cash, Roth accounts, brokerage accounts, and other savings. Flexible income gives you more choice, but it also carries more responsibility. Every withdrawal affects the balance available later.

A useful plan should help you see both sides:

How much income can I produce?

What does it cost me in taxes or healthcare?

What balance remains afterward?

The Ending Balance Matters

One of the most important numbers in a retirement plan is the ending balance at the end of each phase.

That number tells you how much remains to support the next stage of retirement.

A plan can look good in the early years while creating problems later. This often happens when someone solves the first phase by withdrawing too aggressively from the account that later phases depend on.

For example, suppose you retire at 62 and need to cover three years before Medicare begins. You could increase withdrawals from a traditional 401k to create more income. That may solve the immediate income problem. But it may also increase taxable income, affect ACA subsidy eligibility, reduce the balance available later, or change future RMD pressure.

The right answer depends on the full plan.

Sometimes a higher withdrawal is reasonable. Sometimes it creates a cost that is not obvious until you model the whole timeline.

That is why each phase should be reviewed in connection with the others. A retirement plan is not a set of separate years. It is a chain.

The ending balance is one of the numbers that shows whether the chain is holding together.

Taxes Are Part of the Spending Plan

Taxes are not separate from retirement income planning. They directly affect spendable income.

A \$4,000 monthly withdrawal from a traditional 401k is not the same as \$4,000 from cash savings. A Roth withdrawal is not the same as a taxable brokerage sale. Social Security has its own tax rules. Pension income may be treated differently depending on where you live and which country has the right to tax it.

The source of income matters.

The timing of income matters too.

Some retirement years may have lower taxable income than others. Those years can create planning opportunities. For example, a retiree may choose to draw more from a traditional retirement account or do Roth conversions during lower-income years before Social Security, pensions, or RMDs increase taxable income later.

This does not mean every retiree should do Roth conversions. It means the question is worth testing.

A tax-aware plan helps you see whether you are leaving useful low-bracket space unused, pushing income into a higher bracket, or creating future tax pressure by leaving too much money in pre-tax accounts.

The goal is not to avoid tax at all costs. The goal is to understand the tradeoff.

Sometimes paying some tax earlier can reduce pressure later. Sometimes preserving cash or keeping income low for healthcare purposes matters more. Sometimes the best choice is not the one with the lowest tax in a single year, but the one that supports the strongest long-term plan.

Healthcare Can Change the Result

For many people, healthcare is one of the largest retirement planning variables.

Before age 65, someone in the United States may need ACA marketplace coverage. In that situation, income can affect premium tax credits and, in some cases, cost-sharing reductions. A withdrawal that looks harmless from an income perspective may change healthcare costs.

After Medicare begins, higher income can trigger IRMAA surcharges. Those surcharges can increase Medicare Part B and Part D costs. Again, the issue is not just income. It is income after the related costs are included.

This is why retirement planning should not treat healthcare as a flat estimate if the actual cost may depend on income.

A useful plan should let you ask:

Am I near a healthcare threshold?

Would an extra withdrawal change my premiums?

Could a Roth conversion increase costs in the current year or a later year?

Would using cash instead of taxable income help preserve healthcare eligibility?

Does a later increase in income create Medicare surcharges?

These questions are especially important in the years around early retirement, Medicare eligibility, and required minimum distributions.

Inflation Should Be Visible

Inflation can make a plan look better than it feels.

If your income rises from \$4,000 per month to \$5,000 per month over time, that may sound like an improvement. But if prices have risen faster, your real purchasing power may have fallen.

This is why retirement planning should show real income as well as nominal income.

Nominal income tells you the dollar amount.

Real income helps you understand what that amount may feel like in today's purchasing power.

Some income sources may adjust with inflation. Social Security receives cost-of-living adjustments. Some pensions have inflation protection. Other income sources may be fixed. Portfolio withdrawals can be adjusted, but only if the assets can support the increase.

A plan that maintains real income is usually stronger than one that only maintains nominal income.

This does not mean income must stay perfectly level forever. Some retirees spend more in early retirement and less later. Others want a stable floor for essential costs. Some want to preserve assets. Others are comfortable with a planned drawdown.

The important point is that the choice should be visible.

The Plan Should Be Easy to Review

A retirement plan should not require you to rebuild everything every time you ask a new question.

If you change a withdrawal, you should be able to see what happens to taxes, healthcare costs, ending balances, and later phases.

If you change Social Security timing, you should be able to compare the effect.

If you add a Roth conversion, you should be able to see the tax cost and the later balance change.

If you update tax brackets, healthcare thresholds, or inflation assumptions, the plan should reflect those changes.

This is where a structured planner becomes helpful.

A spreadsheet can work if it is built carefully. A financial advisor can help if you have access to one and the advice fits your situation. A calculator can provide a useful first estimate. But the more moving parts you have, the more important it becomes to keep the plan organized.

The companion AI-Ready Retirement Income Planner was built around this idea. It is a single HTML file that opens in a browser. It lets you enter your own assumptions, review income by phase, estimate taxes and healthcare costs, compare scenarios, check plan health, and save versions of your plan.

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The planner does not make decisions for you. It gives you a structured way to review options.

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Retirement planning involves judgment. A tool can calculate, organize, flag, compare, and suggest. You still decide which assumptions are realistic, which tradeoffs you are comfortable with, and when professional advice is needed.

What This Book Will Help You Build

By the end of this book, you should be able to build a clearer retirement income plan using a practical sequence:

First, divide retirement into phases.

Second, identify which income sources are active in each phase.

Third, estimate taxes and healthcare costs so you can focus on spendable income.

Fourth, watch the ending balance from one phase to the next.

Fifth, adjust for inflation so later income is not overstated.

Sixth, check the plan from several angles: income adequacy, tax efficiency, healthcare thresholds, portfolio survival, and future withdrawal pressure.

Seventh, compare possible strategies.

Eighth, ask better questions and test changes before relying on the result.

This framework works whether you use the companion planner, a spreadsheet, or another planning tool. The planner simply makes the process faster and easier to review.

The next chapter begins with the foundation: retirement income is a timeline.

Once you see retirement as a sequence of phases, the rest of the planning process becomes easier to organize.

Build a Retirement Plan You Can Question

Introduction — Why Retirement Income Needs a Working Plan

Most people do not begin retirement planning by asking for a tax model, a healthcare estimate, or a withdrawal strategy. They begin with a simpler question.

Can I retire?

That question sounds simple, but it usually contains several smaller questions:

Can I create enough monthly income?

Will that income still work after taxes?

What happens before Medicare begins?

What happens when Social Security starts?

Will my savings last if investment returns are lower than expected?

Should I draw from cash, a 401k, an IRA, a Roth account, or a taxable brokerage account first?

Will withdrawals today create higher taxes or healthcare costs later?

Can I spend more safely, or do I need to spend less?

Those are the questions that matter in real retirement planning. A savings total by itself cannot answer them. Neither can a rough monthly income estimate. A useful retirement plan needs to show how income, taxes, healthcare costs, withdrawals, investment growth, and timing work together.

This book is about building that kind of plan.

The goal is not to predict the future perfectly. No planner, spreadsheet, calculator, or advisor can do that. The goal is to organize the information clearly enough that you can test your assumptions, compare choices, and see where the weak points are before you rely on the plan.

A retirement plan should help you answer practical questions:

If I retire at 62, what income sources support me before Social Security begins?

If I claim Social Security early, how does that affect later income?

If I delay Social Security, what fills the gap?

If I increase 401k withdrawals, how much of that turns into spendable income after tax?

If I need Affordable Care Act marketplace insurance before Medicare, could extra income reduce my subsidy?

If I cross an IRMAA threshold later, how much could Medicare costs increase?

If inflation runs higher than expected, does my later-life income still hold up?

If markets underperform, which phase of retirement becomes most fragile?

A good plan gives you a way to ask those questions using your own numbers.

Retirement Is Not One Average Year

Many retirement calculators ask for a few inputs and then produce a single result. You enter your age, savings, expected return, retirement age, and annual spending. The calculator tells you whether the plan looks likely to work.

That can be useful as a first pass, but retirement rarely behaves like one average year repeated over and over.

The first years of retirement may depend heavily on savings and investment withdrawals. Social Security may not have started yet. Medicare may not be available yet. If you retire before 65 in the United States, healthcare planning can become one of the biggest moving parts. If you are using ACA marketplace coverage, taxable income can affect premiums and subsidies.

Later, Social Security may begin. Medicare may replace marketplace insurance. Pension income may start. Required minimum distributions may eventually force withdrawals from traditional retirement accounts. Investment accounts may have grown, shrunk, or shifted. Inflation may have changed the real value of your monthly income.

These changes do not all happen at once. They happen in stages.

That is why this book uses phase-based retirement income planning.

Instead of treating retirement as one long block, we divide it into meaningful periods. Each phase has its own income sources, costs, tax situation, and ending balance. The ending balance from one phase becomes the starting point for the next.

This is a more practical way to think about retirement because it matches how retirement actually unfolds.

For example, a simple plan might include phases like these:

- Age 62 to 65: early retirement before Medicare
- Age 65 to 67: Medicare begins, but Social Security may still be delayed
- Age 67 to 73: Social Security begins, but RMDs have not started
- Age 73 onward: required minimum distributions begin

Your own phases may be different. You may retire earlier or later. You may claim Social Security at 62, 67, 70, or another age. You may have a pension. You may live outside the United States. You may have rental income, part-time income, or a spouse with a different retirement timeline.

The exact phases are less important than the principle:

Retirement income should be planned as a timeline.

Monthly Income Is Only Part of the Answer

It is natural to focus on monthly income. Most people think about retirement in monthly terms because bills arrive monthly. Housing, food, insurance, utilities, transportation, healthcare, and personal spending all have to fit inside a monthly budget.

But a retirement income plan needs to show more than gross monthly income.

Gross income is the amount coming in before deductions. It might include withdrawals from a 401k or IRA, Social Security, pension income, taxable brokerage withdrawals, rental income, or part-time work.

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The next chapter begins with the foundation: retirement income is a timeline.

Once you see retirement as a sequence of phases, the rest of the planning process becomes easier to organize.

Chapter 1 — Retirement Income Is a Timeline

A retirement plan becomes easier to understand when you stop treating retirement as one long period and start treating it as a timeline.

That timeline has turning points.

Some are based on age. Some are based on income sources. Some are based on healthcare rules. Some are based on tax rules. Some are based on your own choices.

A person retiring at 62 may have one set of decisions before Medicare begins, another set once Medicare starts, another once Social Security begins, and another when required minimum distributions start. A person retiring at 67 may have a very different timeline. A person retiring outside the United States may need to think about residency, currency, pensions, and treaty rules.

The purpose of a timeline is not to make retirement complicated. Retirement is already complicated. The timeline makes it easier to see which rules apply when.

Once you can see the phases clearly, you can begin to ask better questions.

What income sources are available in this phase?

Which accounts should I draw from first?

How much income will be taxable?

What healthcare system applies during this period?

What balance needs to remain for the next phase?

Could a decision in this phase create a problem later?

Those questions are more useful than trying to find one permanent withdrawal number.

The Problem With One-Number Planning

Many people start with a target like this:

“I need \$4,000 per month to retire.”

That is a useful starting point. You need to know roughly what life costs. But the number by itself does not tell you how to produce that income safely.

For example, \$4,000 per month could come from many different combinations:

- Social Security plus small portfolio withdrawals
- 401k withdrawals before Social Security begins
- Cash savings plus taxable brokerage withdrawals
- Pension income plus Roth withdrawals
- A mix of retirement accounts, cash, rental income, and part-time work

Each combination has a different tax result. Each affects the remaining portfolio differently. Each may interact differently with healthcare costs.

A \$4,000 monthly income target before Medicare is not the same as a \$4,000 target after Medicare begins. A \$4,000 target before Social Security is not the same as a \$4,000 target after Social Security starts. A \$4,000 target before RMDs is not the same as a \$4,000 target after RMDs begin.

The income target may be the same, but the plan behind it changes.

This is why a timeline matters.

Age Milestones Create Planning Phases

Retirement has several common age milestones. Not every person will use all of them, but they provide a useful starting structure.

At **59½**, many retirement accounts become accessible without the early withdrawal penalty. This can matter for people who retire before Social Security or Medicare begins.

At **62**, Social Security retirement benefits can begin for eligible workers. Claiming early can provide income sooner, but the monthly benefit is generally lower than waiting until full retirement age.

At **65**, Medicare eligibility usually begins. For someone who has been using ACA marketplace insurance, employer retiree coverage, private insurance, or self-pay healthcare, this can be a major cost change.

At **full retirement age**, Social Security benefits are no longer reduced for claiming early. The exact full retirement age depends on birth year, but many people use 67 as a planning reference.

At **70**, delayed Social Security credits stop increasing the benefit. For people who delay claiming, this is usually the latest practical age to start.

At **73**, required minimum distributions currently begin for many retirees with traditional pre-tax retirement accounts. RMDs can force taxable withdrawals even if the retiree does not need the cash for spending.

These milestones do not automatically tell you what to do. They simply mark points where the plan may change.

For example, before 65, a retiree may care heavily about ACA income thresholds. After 65, the focus may shift toward Medicare premiums and IRMAA. Before Social Security begins, portfolio withdrawals may carry more of the income burden. After Social Security begins, withdrawals may be reduced, redirected, or used for Roth conversions. After RMDs begin, the plan may have less flexibility over taxable income.

Each milestone changes the planning question.

A Simple Phase Structure

A basic retirement timeline might look like this:

Phase 1: Early retirement before Medicare

This phase might cover ages 62 to 65. The retiree may rely on cash savings, 401k or IRA withdrawals, Roth withdrawals, taxable brokerage sales, rental income, or part-time work. If using ACA marketplace insurance, taxable income and MAGI may affect healthcare costs.

Phase 2: Medicare begins, but Social Security may be delayed

This phase might cover ages 65 to 67 or 65 to 70. Healthcare rules change. ACA concerns may disappear, but Medicare premiums and possible IRMAA thresholds become relevant. If Social Security is delayed, portfolio withdrawals may still provide much of the income.

Phase 3: Social Security begins

Once Social Security starts, the plan may need less from savings. This can reduce pressure on the portfolio, but Social Security may also become partly taxable depending on other income.

Phase 4: Pre-RMD years

If Social Security has started but RMDs have not, this can be a useful review period. The retiree may have enough income to live on, but still have some control over taxable withdrawals. Roth conversions may be worth testing in some cases.

Phase 5: RMD years and later retirement

Once RMDs begin, taxable income may rise. The retiree may be forced to withdraw more from traditional accounts than they would otherwise choose. This can affect taxes, Medicare costs, and the long-term mix of assets.

This is only one example. Someone retiring at 59½ may need a longer early-retirement phase. Someone retiring at 70 may begin with Social Security, Medicare, and portfolio withdrawals already active. A married couple may need phases that account for two Social Security claiming ages, two Medicare start dates, or survivor income. An expat retiree may need phases based on residency, currency, or pension timing.

The purpose of the phase structure is not to force everyone into the same pattern. The purpose is to make each period of retirement visible.

Each Phase Has Its Own Job

A phase is useful because it groups together a set of conditions.

In one phase, the job may be to bridge the gap until Social Security begins.

In another, the job may be to keep income low enough to manage ACA costs.

In another, the job may be to use low tax brackets before RMDs begin.

In another, the job may be to preserve a reliable income floor while allowing flexible spending from investments.

Thinking this way changes how you evaluate the plan.

Instead of asking whether the entire retirement plan is good or bad, you can ask what each phase needs to accomplish.

For example:

- Does Phase 1 produce enough income before Social Security?
- Does Phase 2 avoid unnecessary healthcare costs?
- Does Phase 3 preserve enough assets for later years?
- Does Phase 4 make good use of lower tax years?
- Does Phase 5 remain workable after RMDs begin?

This is much easier to review than one large retirement calculation.

The Ending Balance Connects the Phases

The most important link between phases is the ending balance.

At the end of each phase, some amount of money remains. That remaining amount becomes the starting point for the next phase.

If the first phase is too aggressive, the second phase starts weaker. If the second phase uses too much of the portfolio, the third phase has fewer options. If early withdrawals are too low, the portfolio may grow, but the retiree may live more tightly than necessary.

The plan is a chain of tradeoffs.

This is why ending balance matters so much. It tells you whether the current phase is supporting the future or consuming too much of it.

A low ending balance is not always wrong. Some retirees intentionally plan to spend down assets. A person with strong guaranteed income may be comfortable drawing down investments more aggressively. Another person may want to preserve a larger cushion for healthcare, long life, family support, or legacy goals.

The issue is not whether the balance goes down. The issue is whether the decline is understood, intentional, and still leaves the later phases workable.

A phase-based plan helps make that visible.

Example: Retiring at 62

Consider a single person retiring at 62.

They have savings in a traditional 401k, some cash, a taxable brokerage account, and an expected Social Security benefit. They are not yet eligible for Medicare. They are considering ACA marketplace insurance until age 65.

A one-number approach might ask:

“How much can I withdraw each year?”

A phase-based approach asks more specific questions.

From 62 to 65:

- How much income is needed before Medicare?
- Which accounts should provide it?
- Would 401k withdrawals increase ACA premiums?
- Should some spending come from cash to manage taxable income?
- What balance remains at 65?

From 65 to 67:

- How do Medicare costs compare with previous healthcare costs?
- Is Social Security still delayed?
- Are portfolio withdrawals still needed?
- Is there room for Roth conversions?
- What balance remains when Social Security starts?

From 67 to 73:

- How much of the income need is covered by Social Security?
- Should withdrawals decrease?
- Is taxable income still low enough to consider conversions?
- Is the traditional account balance likely to create future RMD pressure?

From 73 onward:

- What RMDs are required?
- Do they exceed spending needs?
- Do they increase taxes or Medicare costs?
- Is the remaining portfolio still adequate?

The phase-based plan produces better questions because it follows the actual retirement path.

The Same Income Can Have Different Effects in Different Phases

A \$10,000 withdrawal does not always have the same planning effect.

In one phase, it may fill an unused low tax bracket and reduce future RMD pressure.

In another phase, it may push income above an ACA threshold.

In another, it may trigger or increase IRMAA.

In another, it may simply provide needed spending without much downside.

The same dollar amount can be reasonable in one phase and unhelpful in another.

This is why retirement income planning should be tied to timing.

A decision is not just about how much money comes out. It is about when the money comes out, which account it comes from, what it does to taxable income, what it does to healthcare costs, and what balance remains afterward.

A Timeline Helps You Avoid Overcorrecting

Without a timeline, it is easy to overcorrect.

A retiree may see a high tax estimate in one year and reduce withdrawals too much, even though that year was a good opportunity to use low brackets.

Another retiree may focus on maximizing monthly income early, without noticing that later phases become weak.

Another may delay Social Security to improve later income, but forget to test whether the bridge years are strong enough.

Another may keep income low for ACA purposes, but miss a useful Roth conversion opportunity.

Planning is full of tradeoffs. A timeline does not remove those tradeoffs, but it keeps them organized.

It helps you see whether a change improves the whole plan or only one part of it.

How the Planner Uses Phases

The companion planner follows this same idea.

The Overview tab shows retirement as a set of phase cards. Each card represents a period of the plan. Within each phase, you can review income sources, withdrawals, taxes, healthcare costs, net income, real income, and the ending balance.

This structure lets you test changes without rebuilding the plan from scratch.

If you increase a withdrawal in one phase, the plan recalculates. If you change Social Security timing, the later phases update. If you adjust tax parameters or healthcare assumptions, the affected phases reflect those changes.

This matters because retirement planning is an adjustment process.

You rarely get the right answer by entering one set of assumptions and accepting the first result. More often, you build a baseline, review it, make a change, review the effect, and decide whether the tradeoff is worth it.

A phase-based planner makes that process easier because you can see where the change lands.

Building Your Own Timeline

Before you calculate anything, build a rough retirement timeline.

Start with your expected retirement age. Then add any age when something important changes.

Common timeline events include:

- Retirement account access
- End of employment income
- Start of part-time income
- Start of pension income
- Social Security claiming age
- Spouse's Social Security claiming age
- Medicare eligibility
- End of ACA coverage
- Start of RMDs
- Planned relocation
- Currency or residency change

- Mortgage payoff
- Expected reduction in spending
- Expected increase in healthcare costs

You do not need a perfect list. You only need enough structure to separate one phase from another.

For each phase, write down four things:

Which income sources are available?

14. Which major costs or rules apply?
15. Which accounts may need to be used?
16. What balance should remain for the next phase?

That simple exercise turns retirement from a vague future into a sequence you can analyze.

Chapter Summary

Retirement income is easier to plan when it is treated as a timeline.

Each phase has its own income sources, tax situation, healthcare rules, and portfolio demands. The ending balance from one phase becomes the starting point for the next. A decision that works well in one phase may create problems in another, so timing matters.

A phase-based plan helps you review retirement in smaller, clearer sections. It also helps you ask better questions:

What is this phase supposed to accomplish?

What income sources support it?

What costs or thresholds apply?

What balance remains afterward?

The next chapter looks more closely at monthly income. Once the timeline is visible, the next task is to understand the difference between gross income, net income, real income, and the income you can actually rely on.

Chapter 2 — The Monthly Income Number Is Only the Start

Most retirement planning begins with a monthly income target.

That makes sense. People live month to month. Bills arrive monthly. Housing, food, utilities, insurance, transportation, healthcare, subscriptions, travel, and personal spending all have to fit inside the income available.

A person might say:

“I think I need \$4,000 per month.”

Another might say:

“I would be comfortable with \$5,500 per month.”

Someone else might say:

“My essential expenses are \$3,200 per month, but I would like \$4,500 if the plan can support it.”

Those are useful starting points. A retirement income plan needs a spending target. Without one, there is nothing to test.

But the monthly income number is only the start.

The more important question is:

What kind of income is it?

Is it gross income or spendable income?

Is it taxable or tax-free?

Is it reliable or dependent on withdrawals?

Is it protected against inflation?

Is it available in every phase or only in certain years?

Does producing that income reduce future flexibility?

A retirement plan becomes much more useful when the monthly income target is broken into clearer parts.

Gross Income Is Not the Same as Spendable Income

Gross income is the total amount coming in before taxes, healthcare adjustments, and other deductions.

If you withdraw \$3,000 per month from a traditional 401k and receive \$2,000 per month from Social Security, your gross income is \$5,000 per month.

But that does not mean you have \$5,000 to spend.

Some of the 401k withdrawal may be taxable. Some of the Social Security may be taxable depending on your other income. Healthcare costs may change depending on your income. Medicare premiums may increase if income crosses certain thresholds. State taxes may apply. If you live outside the United States, tax treatment may depend on residency and treaty rules.

The number that matters for lifestyle is closer to net income.

Net income is what remains after the major deductions and costs have been accounted for.

That is why a retirement plan should avoid relying only on gross income. A plan that shows \$5,000 per month before tax may feel very different from a plan that produces \$5,000 per month after tax and healthcare costs.

The difference can be large enough to change the decision.

A Simple Example

Imagine two retirees. Both want \$4,500 per month of income.

Retiree A receives \$2,500 from Social Security and withdraws \$2,000 from a traditional IRA.

Retiree B receives \$2,500 from Social Security and withdraws \$2,000 from a Roth account.

The gross income looks the same.

But the tax result may be different.

The traditional IRA withdrawal generally increases taxable income. The Roth withdrawal may not, assuming it is qualified. That difference can affect federal tax, state tax, ACA calculations, Medicare IRMAA exposure, and the amount of future pre-tax money left in the account.

The point is not that one retiree is automatically better off than the other. The point is that the same monthly income can have different consequences depending on the source.

A useful retirement plan should show those consequences clearly.

Income Sources Have Different Jobs

Not all income sources behave the same way.

Some income is reliable. Some is flexible. Some is tax-sensitive. Some is useful for bridging a short gap. Some is better preserved for later. Some may be valuable because it does not increase taxable income.

Here are the main categories to think about.

Social Security

Social Security is often one of the most important retirement income sources for U.S. retirees.

It can provide a monthly income floor that lasts for life. It usually receives cost-of-living adjustments. It may reduce the amount that needs to be withdrawn from investments.

But Social Security timing matters.

Claiming early provides income sooner, but generally at a reduced monthly amount. Delaying can increase the monthly benefit, but it requires another source of income during the waiting period.

The right claiming age depends on health, life expectancy, other assets, marital status, income needs, tax planning, and personal comfort.

The planning question is not only:

“When should I claim Social Security?”

It is also:

“What supports the plan before and after Social Security begins?”

A phase-based plan helps answer that because it shows the bridge years separately from the years after claiming.

Pensions and State Pensions

Pensions can provide valuable reliable income. A pension may begin at a fixed age and may or may not adjust for inflation.

For someone with a UK State Pension, the income may be subject to different rules than U.S. Social Security. For a person living abroad, currency and tax residency can also matter.

The key planning questions are:

When does the pension begin?

Is it inflation-linked?

Is it taxable where I live?

Does it reduce the need for portfolio withdrawals?

What happens to the plan before it begins?

A pension can strengthen the income floor, but the years before it starts still need to be funded.

Traditional Retirement Accounts

Traditional 401k and IRA accounts are common sources of retirement income.

They are useful because they may hold a large portion of retirement savings. They can provide flexible withdrawals. They may grow tax-deferred before withdrawals begin.

But withdrawals are generally taxable as ordinary income.

That means traditional retirement accounts affect the tax side of the plan. Large withdrawals can increase taxable income. Later in retirement, required minimum distributions can force withdrawals even if the money is not needed for spending.

Traditional accounts often create the biggest planning questions:

How much should I withdraw now?

Should I use low tax bracket space before required minimum distributions begin?

Would Roth conversions help?

Will future required minimum distributions create higher taxable income than expected?

How do withdrawals affect ACA or IRMAA thresholds?

A traditional retirement account is flexible, but that flexibility should be used carefully.

Roth Accounts

Roth accounts can be especially useful because qualified withdrawals are generally tax-free.

That can make them valuable in years when taxable income needs to be controlled.

For example, Roth withdrawals may help cover spending without increasing MAGI in the same way that traditional IRA withdrawals would. That can matter for ACA planning before Medicare or IRMAA management after Medicare begins.

Roth accounts can also provide later-life flexibility.

But Roth money is valuable partly because of that flexibility. Spending it too early may solve an immediate problem while reducing options later.

The planning question is:

When is Roth money most useful?

Sometimes it may be best used to control taxable income. Sometimes it may be preserved for later years. Sometimes it may support a surviving spouse. Sometimes it may be part of an estate or legacy plan.

The answer depends on the full timeline.

Cash Savings

Cash is often overlooked in retirement planning because it does not usually offer high long-term returns.

But cash can be very useful.

Cash can cover short gaps. It can reduce the need to sell investments during a market downturn. It can help manage taxable income. It can provide a reserve for emergencies or irregular expenses.

For early retirees, cash can be particularly helpful before Social Security or Medicare begins.

For example, if a retiree wants to keep taxable income within a certain ACA range, cash may help cover spending without increasing taxable income. That does not mean cash should always be used first. It means cash has a role beyond earning interest.

The planning question is:

What job does cash perform in this plan?

Emergency reserve?

Healthcare buffer?

Bridge income?

Market downturn protection?

Taxable income management?

A plan should make that job clear.

Taxable Brokerage Accounts

Taxable brokerage accounts can provide flexible retirement income, but the tax treatment depends on what is sold and whether gains are realized.

Selling investments may trigger capital gains. Dividends and interest may create taxable income. Some withdrawals may partly represent cost basis and partly represent gains.

This makes brokerage accounts different from traditional retirement accounts. A \$10,000 withdrawal from a brokerage account may not mean \$10,000 of ordinary taxable income. The tax result depends on the unrealized gain and the type of income generated.

Brokerage accounts can be useful in retirement because they provide flexibility. They may also help manage taxable income if used carefully.

The planning question is:

How much of the withdrawal is taxable gain, and how does that fit with the rest of the plan?

Part-Time Work, Rental Income, and Other Income

Some retirees continue earning income after leaving full-time work.

Part-time work, consulting, rental income, royalties, business income, or creator income can all support a retirement plan. They can reduce the need for withdrawals and help preserve assets.

But they can also increase taxable income. They may affect ACA subsidy calculations. They may change Social Security taxation. They may reduce the usefulness of Roth conversions in the same year.

The income is helpful, but it should still be included in the plan.

A plan that ignores side income may overstate withdrawals. A plan that ignores the tax effect of side income may overstate net income.

Reliable Income and Flexible Income

One of the most useful ways to organize retirement income is to separate reliable income from flexible income.

Reliable income is income you expect to receive regularly and for a long time. This may include Social Security, pensions, annuities, or other stable payments.

Flexible income comes from assets you control. This includes cash, retirement accounts, Roth accounts, brokerage accounts, and other savings.

Reliable income can form an income floor.

Flexible income can fill the gap.

For example, suppose your essential expenses are \$3,500 per month. If Social Security and pensions cover \$2,800, then your portfolio only needs to reliably support the remaining \$700 for essentials. Additional withdrawals may fund travel, hobbies, gifts, upgrades, or discretionary spending.

That is a different situation from someone whose essential expenses are \$3,500 and whose reliable income is only \$1,200.

The second person may need a larger portfolio withdrawal to cover basic living costs. That does not mean the plan cannot work. It means the portfolio carries more responsibility.

A good plan should make that responsibility visible.

The Income Floor

An income floor is the amount of income needed to cover essential expenses.

Essential expenses might include:

- Housing
- Food
- Utilities
- Insurance
- Healthcare
- Transportation
- Basic taxes
- Minimum debt payments
- Other non-negotiable costs

The income floor is useful because it separates needs from wants.

A retiree may be comfortable reducing travel or entertainment after a bad market year. They may not be comfortable reducing rent, food, insurance, or medication.

The stronger the reliable income floor, the less pressure there may be on the portfolio during difficult periods.

But the floor does not have to come only from guaranteed sources. Some people use a mix of reliable income and conservative withdrawals. Others hold a cash reserve to support the floor during market downturns.

The important step is to identify the floor clearly.

Once you know the floor, you can ask:

Which income sources cover essentials?

How much depends on investments?

What happens to the floor if markets fall?

Does the floor keep up with inflation?

Does it change later in retirement?

Discretionary Income

Discretionary income is the part of retirement spending that can be adjusted.

This may include:

- Travel
- Dining out
- Hobbies
- Gifts
- Home upgrades
- Vehicle replacement timing
- Larger entertainment expenses
- Extra support for family
- Optional subscriptions or memberships

Discretionary spending is not unimportant. For many people, it is part of what makes retirement enjoyable.

But it behaves differently from essential spending.

If the market performs well, discretionary spending may increase. If the market performs poorly, discretionary spending may be reduced. If inflation rises, some discretionary categories may be adjusted.

A useful plan should show whether the desired lifestyle depends on stable guaranteed income, flexible portfolio withdrawals, or optimistic investment assumptions.

This helps the retiree understand how much room there is to adapt.

Nominal Income and Real Income

A monthly income number can be misleading if it is not adjusted for inflation.

Suppose a plan shows income of \$5,000 per month at age 62 and \$5,500 per month at age 78.

That looks like an increase.

But if prices rise significantly over those years, \$5,500 later may buy less than \$5,000 buys today.

Nominal income is the dollar amount shown in the future.

Real income adjusts that amount into today's purchasing power.

Both numbers are useful.

Nominal income helps with projected cash flow. Real income helps with lifestyle comparison.

When reviewing a retirement plan, it is important to ask:

Does income rise in dollars only, or does spending power hold up?

A plan may look stable in nominal terms while weakening in real terms.

Net Income by Phase

Once retirement is divided into phases, monthly income should be reviewed phase by phase.

For each phase, ask:

What is the gross income?

What taxes apply?

What healthcare costs apply?

What is the net monthly income?

What is the real monthly income?

How much of the income is reliable?

How much depends on portfolio withdrawals?

What balance remains at the end of the phase?

This approach gives a much clearer picture than one average retirement income number.

For example, a plan may show strong net income from age 67 onward after Social Security begins, but weak income from 62 to 65 before Medicare and Social Security. That does not mean retirement is impossible. It means the bridge years need attention.

Another plan may show strong income early, but falling real income later. That may point to inflation risk.

Another may show good income, but only because withdrawals are high enough to weaken the ending balance.

Another may show low taxes today, but high future required minimum distribution pressure.

These are different problems. They require different solutions.

Why the Planner Shows Multiple Income Views

The companion planner is built to show more than one income number.

The phase cards are designed to help you see income sources, withdrawals, tax estimates, healthcare costs, net monthly income, real monthly income, and ending balances in the same planning view.

That matters because each number answers a different question.

Gross income answers:

How much money is flowing into the plan?

Net income answers:

How much is left after major deductions?

Real income answers:

What does that income feel like after inflation?

Ending balance answers:

What remains to support the next phase?

No single number can replace all of those views.

When you adjust one part of the plan, the other numbers may change. A larger withdrawal may increase gross income but reduce ending balance. It may increase taxes. It may affect healthcare costs. It may improve current lifestyle but weaken later flexibility.

The dashboard is useful because it lets those tradeoffs appear together.

Example: Same Monthly Target, Different Plan

Consider a retiree who wants \$4,500 per month of spendable income.

In the first phase, before Social Security, the plan might need to draw from cash and retirement accounts to reach that number. If the retiree uses only traditional 401k withdrawals, taxable income may rise. If the retiree uses only cash, the cash reserve may fall too quickly. If the retiree uses Roth withdrawals, taxable income may stay lower, but valuable Roth flexibility may be reduced.

In the second phase, Medicare begins. Healthcare costs may change. The same gross withdrawal may now have a different effect.

In the third phase, Social Security starts. The portfolio may no longer need to provide as much income. That may create room to reduce withdrawals, improve the ending balance, or consider Roth conversions if tax space remains.

In the fourth phase, required minimum distributions begin. Taxable withdrawals may increase whether the retiree needs the spending money or not.

The target income may remain \$4,500 per month, but the best way to produce it may change several times.

This is why the monthly number is only the start.

The Practical Goal

The practical goal is to know what kind of income supports each phase.

For each phase, you want to identify:

- Reliable income
- Flexible withdrawals
- Taxable income
- Tax-free or low-tax income
- Healthcare-sensitive income
- Inflation-adjusted income
- Essential income floor
- Discretionary income
- Ending balance

That may sound like a lot, but the structure is straightforward once the plan is organized.

You are not trying to predict every expense perfectly. You are trying to see whether the plan has enough income, enough flexibility, and enough remaining balance to keep working.

Chapter Summary

A monthly income target is important, but it is only the beginning.

A retirement plan should separate gross income from net income, nominal income from real income, and reliable income from flexible income. It should also show whether the income comes from Social Security, pensions, traditional accounts, Roth accounts, cash, brokerage assets, or other sources.

The same monthly income can have different tax, healthcare, and portfolio effects depending on where it comes from and when it is used.

Once income is organized this way, the plan becomes easier to review. You can see which income sources support each phase, how much income is actually spendable, and whether the remaining balance supports the next stage of retirement.

The next chapter focuses on that remaining balance — the number that carries the plan forward from one phase to the next.

Chapter 3 — The Balance That Carries the Plan Forward

A retirement income plan has two jobs.

The first job is to create income for the current phase.

The second job is to leave enough money for the next phase.

Many retirement plans focus on the first job and pay too little attention to the second. That can create a plan that looks comfortable today but becomes weaker later.

This is why the ending balance matters.

The ending balance is the amount left at the end of a phase. It is the bridge between the phase you are reviewing now and the phase that follows. If the ending balance is strong, the next phase begins with more options. If the ending balance is weak, the next phase begins with less flexibility.

A good retirement plan should not only ask:

How much income can I take this year?

It should also ask:

What will be left after I take it?

That second question is what keeps the plan connected.

Retirement Is a Chain of Balances

A phase-based retirement plan works like a chain.

The starting balance in Phase 1 is used to produce income during Phase 1. Investment growth, withdrawals, taxes, healthcare costs, and other assumptions all affect what remains at the end of that phase.

That ending balance becomes the starting balance for Phase 2.

The same thing happens again. Phase 2 produces income, absorbs costs, applies growth assumptions, and leaves a new ending balance.

That balance becomes the starting point for Phase 3.

This continues through the plan.

The important point is simple:

A decision in one phase can affect every phase after it.

If early withdrawals are too high, later phases may become weaker. If early withdrawals are too low, the plan may preserve more assets, but the retiree may live more tightly than necessary. If taxable withdrawals are delayed too long, future required minimum distributions may become larger. If Roth money is spent too early, later tax flexibility may be reduced.

The ending balance helps you see those tradeoffs.

Why Income Alone Can Mislead

A phase can show strong monthly income and still create a problem.

Suppose a retiree wants \$5,000 per month. The plan produces that income from age 62 to 65 by taking large withdrawals from a traditional 401k.

At first glance, the phase looks successful. The income target is met.

But the ending balance may tell a different story.

If the withdrawals reduce the 401k too quickly, the retiree may have fewer assets available after Medicare begins. If the withdrawals also increase taxable income, they may affect ACA costs before age 65. If the early withdrawals are too high, they may reduce future investment growth.

The income target was reached, but the plan may have paid too much to reach it.

The opposite can also happen.

A retiree may keep withdrawals very low in the early years because they are afraid of running out of money. The ending balance may look strong, but the retiree may be living below what the plan could reasonably support.

That is not always wrong. Some people value security more than spending. But it should be a conscious choice.

The ending balance helps reveal both kinds of issue:

- Spending too much too early
- Spending less than the plan can reasonably support

A retirement plan should help you find a workable balance between current income and future flexibility.

The Ending Balance Is Not a Pass-or-Fail Number

There is no universal ending balance that makes a retirement plan good or bad.

A \$500,000 ending balance may be strong for one person and weak for another. A \$50,000 ending balance may be acceptable in one plan and dangerous in another.

The meaning depends on the rest of the plan.

The main questions are:

How much income is needed in the next phase?

What reliable income begins later?

How much spending flexibility does the retiree have?

How long does the plan need to last?

What healthcare risks remain?

How much market risk is the retiree willing to accept?

Are there legacy goals?

Is there a spouse or dependent to consider?

Does the retiree expect to move, downsize, or change spending later?

The ending balance must be interpreted in context.

For example, a retiree with strong Social Security, a pension, low expenses, and no legacy goal may be comfortable with a lower remaining balance later in life.

Another retiree with no pension, high healthcare concerns, family support obligations, or a strong desire to leave assets may need a much larger balance.

The number matters, but it does not speak for itself.

Planned Drawdown Versus Accidental Depletion

Some retirement plans are designed to spend down assets.

That can be perfectly reasonable.

A retiree may decide that the purpose of savings is to support retirement spending, not to preserve the full balance forever. A planned drawdown can be sensible if it is controlled, reviewed, and matched to the retiree's goals.

The problem is not drawdown.

The problem is accidental depletion.

Planned drawdown means the retiree understands how the balance is expected to decline, why it declines, and whether the remaining balance still supports later phases.

Accidental depletion means the retiree sees enough income today but does not realize that future phases are becoming fragile.

The difference is visibility.

A phase-based plan helps show whether the balance is declining in a way that supports the overall plan or whether the current phase is consuming too much of the future.

The Growth Side of the Balance

Ending balances are not affected only by withdrawals. They are also affected by growth assumptions.

If you assume a portfolio grows at 7% per year, the ending balance may look healthy. If actual returns are lower, the same withdrawals may produce a weaker result.

Growth assumptions should be treated carefully.

They are not guarantees. They are planning inputs.

A plan should be reviewed under different assumptions, especially if a large part of retirement income depends on investment growth.

For example:

- What happens if returns are two percentage points lower?
- What happens if the first few years of retirement are weak market years?
- What happens if cash earns less than expected?
- What happens if inflation is higher than the portfolio return assumption can comfortably support?

The ending balance is where those assumptions show up.

A high return assumption can make a plan look stronger than it is. A conservative assumption may make the plan look tighter but more realistic. The useful approach is not to choose the most optimistic number. It is to understand how sensitive the plan is to the assumption.

Sequence Risk and Early Retirement

One of the most important risks in retirement planning is sequence risk.

Sequence risk means that the order of investment returns matters.

A portfolio that averages 7% over a long period can still create problems if the bad years happen early in retirement, especially while withdrawals are being taken.

This matters because withdrawals during a market downturn can lock in losses. The retiree may be selling more shares or units when prices are low. Even if markets recover later, the portfolio may have fewer assets left to participate in the recovery.

The ending balance helps reveal the effect.

A plan may survive under a smooth average return but look weaker under a poor early-return scenario.

This is one reason cash reserves, flexible spending, delayed withdrawals, part-time income, or guaranteed income floors can be useful. They may reduce the need to sell investments during a weak market period.

The goal is not to eliminate risk completely. That is usually impossible. The goal is to see how much the plan depends on good early returns.

Withdrawal Timing Matters

The timing of withdrawals can affect ending balances in several ways.

A withdrawal taken early reduces the amount available to grow later.

A withdrawal taken from a pre-tax account may increase taxable income.

A withdrawal taken from a Roth account may preserve taxable income flexibility but reduce future tax-free resources.

A withdrawal taken from cash may protect investments during a downturn but reduce the emergency reserve.

A withdrawal taken from a taxable brokerage account may trigger capital gains.

None of these choices is automatically right or wrong.

The question is whether the withdrawal supports the phase without weakening the overall plan more than necessary.

For example, a retiree before Medicare might use cash and brokerage withdrawals to manage ACA income levels. Another retiree might intentionally use traditional IRA withdrawals to fill a low tax bracket. Another might preserve Roth money for later healthcare or survivor needs.

Each choice affects the ending balance differently.

That is why withdrawal planning should be reviewed across the full timeline.

Tax Choices Affect Future Balances

Taxes reduce spendable income, but they also affect future balances.

If a retiree avoids taxable withdrawals for many years, a traditional retirement account may continue growing. That may look good at first. But if the account becomes large enough, future required minimum distributions may create higher taxable income than expected.

In some cases, it may be useful to take more taxable income earlier through withdrawals or Roth conversions while tax brackets are lower.

That does not mean Roth conversions are always the right answer. They can increase current taxes and may affect healthcare costs. But they can also reduce future pre-tax balances and create more tax-free flexibility later.

The ending balance should be reviewed by account type, not only as one total number.

A retiree with \$500,000 mostly in a traditional IRA has a different future tax situation than a retiree with \$500,000 split between cash, Roth, taxable brokerage, and traditional retirement accounts.

The account mix matters.

A useful plan should show not only whether money remains, but where it remains.

Healthcare Thresholds Can Change the Balance

Healthcare costs can also affect ending balances.

Before Medicare, ACA marketplace premiums and cost-sharing reductions may depend on income. If extra withdrawals increase income, healthcare costs may rise. That reduces net income or requires more withdrawals to maintain the same lifestyle.

After Medicare begins, IRMAA surcharges can increase Medicare costs for higher-income retirees. Again, extra income may create extra costs.

Those costs reduce the amount left in the plan.

A withdrawal that looks manageable before healthcare effects may become less efficient after the full cost is included.

This is why the ending balance should be reviewed after taxes and healthcare costs, not before.

The Role of Cash Reserves

Cash reserves can protect ending balances in indirect ways.

Cash does not usually grow as quickly as investments over long periods. But it can help avoid forced investment sales during poor market periods. It can also cover irregular expenses without disrupting the main withdrawal strategy.

A cash reserve may support:

- Emergency expenses
- Short-term income gaps
- Healthcare surprises
- Moving costs

- Home repairs
- Vehicle replacement
- Market downturn flexibility
- Taxable income management

The right amount of cash depends on the retiree's situation.

Too little cash may force withdrawals from investments at a bad time. Too much cash may reduce long-term growth. The balance depends on risk tolerance, income reliability, portfolio size, and spending needs.

A plan should make the cash role clear.

Cash should not simply sit in the plan without a purpose. It should have a job.

When a Low Ending Balance May Be Acceptable

A low ending balance is not always a failure.

Some retirees intentionally plan to spend down most of their assets by a certain age. This may be reasonable if they have reliable lifetime income, modest expenses, no legacy goal, and a clear understanding of longevity risk.

For example, a retiree with strong Social Security and pension income may need portfolio assets mainly for early retirement, discretionary spending, or special expenses. Later in life, the reliable income may cover most essentials.

In that situation, a declining portfolio may be part of the plan.

But the plan should still answer important questions:

What happens if the retiree lives longer than expected?

What happens if healthcare costs rise?

What happens if inflation is higher?

What happens if a spouse outlives the other spouse?

What expenses could appear late in retirement?

A low ending balance can be acceptable only if the risks are understood.

When a High Ending Balance May Signal Underspending

A high ending balance may feel reassuring, but it can also reveal another issue.

The retiree may be underspending relative to what the plan can support.

That may be intentional. Some people want to preserve assets for family, charity, healthcare security, or personal comfort. Others simply sleep better knowing that a large balance remains.

But some retirees underspend because they do not know how much they can safely use.

They may avoid travel, delay needed home improvements, skip experiences, or maintain unnecessary anxiety even though the plan has room.

A retirement plan should not pressure someone to spend more. But it should show when spending more may be possible.

The ending balance helps identify that possibility.

If every phase ends with a very large surplus under conservative assumptions, the retiree may have choices:

- Increase discretionary spending
- Retire earlier
- Delay Social Security less aggressively
- Give during life instead of only through estate planning
- Reduce investment risk
- Buy more guaranteed income
- Preserve the surplus intentionally

The important word is intentionally.

A high ending balance should be a choice, not an accident caused by fear.

The Planner View: Watching the Balance Change

In the companion planner, each phase card includes an ending balance. This is one of the most important numbers to watch when changing the plan.

If you increase a withdrawal, the current phase may show more income, but the ending balance may fall. If you reduce withdrawals, income may fall, but the ending balance may improve. If Social Security starts earlier or later, the balance pattern may change. If investment returns are adjusted, the balance may change across several phases.

The value of the planner is that these changes are visible quickly.

You can test a change and immediately see whether it strengthens or weakens the timeline.

This encourages a better planning habit:

Do not look only at the income number.

Look at what remains.

Example: Increasing Income in the First Phase

Suppose a retiree begins with a plan that provides \$4,000 per month from age 62 to 65.

They wonder whether they can increase that to \$4,500.

A simple income check might say yes if the accounts have enough money to support the withdrawal.

A better review asks:

How much additional withdrawal is needed?

Which account will provide it?

How much extra tax is created?

Does it affect ACA costs?

How much lower is the ending balance at 65?

Does the lower balance weaken the phase from 65 to 67?

Does the change affect later Social Security or RMD planning?

If the ending balance remains healthy and the healthcare/tax effect is modest, the higher income may be reasonable.

If the change creates a weaker balance and higher healthcare costs, the retiree may look for another solution. They might use a different account, reduce discretionary spending, work part-time, delay the increase, or accept the tradeoff knowingly.

The ending balance does not make the decision. It gives the decision context.

Example: Delaying Social Security

Delaying Social Security can increase the monthly benefit, but it usually requires more income from other sources during the delay period.

That creates a tradeoff.

The later benefit may improve long-term income. But the bridge years may reduce portfolio balances.

A timeline review helps answer:

Can the portfolio support the delay?

Which accounts fund the bridge years?

Does the delay create tax planning opportunities?

Does the delay weaken the balance too much before the higher benefit starts?

How long does the retiree need to live for the delay to be worthwhile?

The ending balance shows whether the bridge strategy is putting too much pressure on the portfolio.

Example: Roth Conversions Before RMDs

Roth conversions can also affect ending balances.

A Roth conversion moves money from a traditional pre-tax account to a Roth account. The converted amount is generally taxable in the year of conversion. That can increase current tax, and in some cases may affect healthcare costs.

But the conversion can reduce future traditional account balances and create more Roth money for later.

The total balance may appear lower after tax is paid. But the after-tax flexibility may improve.

This is why account mix matters.

A plan that shows only one total balance may miss the value of shifting money from one tax category to another.

When reviewing Roth conversions, the question is not only:

Did the balance go up or down?

It is also:

Did the after-tax plan become stronger?

Did future RMD pressure fall?

Did later flexibility improve?

Was the current tax cost acceptable?

Did the conversion affect ACA or IRMAA thresholds?

The ending balance should be interpreted alongside taxes, account type, and future income.

Stress Testing the Balance

A retirement balance should be tested under less favorable conditions.

A plan that works only if returns are strong may be fragile. A plan that still works with lower returns, higher inflation, or reduced income has more resilience.

Stress testing does not predict that bad outcomes will happen. It checks whether the plan can tolerate them.

Useful stress tests include:

- Lower investment returns
- Higher inflation
- Lower Social Security or pension assumptions
- Higher healthcare costs
- Longer plan end age
- Larger one-time expense
- Reduced part-time income
- Delayed market recovery

When stress testing, watch which phase becomes weak first.

If the early phase fails, the plan may need more bridge income, lower withdrawals, or a different Social Security strategy.

If the later phase fails, the plan may need inflation protection, lower early withdrawals, more reliable income, or a longer planning horizon.

If the RMD phase creates tax pressure, Roth conversions or earlier withdrawals may be worth reviewing.

The ending balance tells you where the stress appears.

Questions to Ask About Every Ending Balance

For each phase, ask:

Is the ending balance positive?

Is it large enough to support the next phase?

Is the balance concentrated in one account type?

How much of it is pre-tax?

How much is Roth?

How much is cash?

How much is taxable brokerage?

Does the ending balance depend on optimistic growth assumptions?

Does it remain workable under a lower-return scenario?

Does it leave enough flexibility for healthcare, inflation, and unexpected expenses?

Is the decline intentional?

Would a higher or lower withdrawal improve the overall plan?

These questions are simple, but they make the review much stronger.

Chapter Summary

The ending balance is the number that carries the plan forward.

Monthly income shows what the current phase provides. The ending balance shows what remains for the future. Both matter.

A retirement plan can produce enough income today while weakening later phases. It can also preserve a large balance while causing the retiree to live more tightly than necessary. The goal is to understand the tradeoff.

Ending balances should be reviewed by phase, by account type, and under different assumptions. They should be considered alongside taxes, healthcare costs, inflation, Social Security timing, Roth conversions, and required minimum distributions.

A declining balance is not automatically bad. A high balance is not automatically good. The question is whether the balance pattern supports the retirement plan you actually want.

The next chapter looks at taxes, because taxes often decide how much of your retirement income is truly spendable.

Chapter 4 — Taxes Change the Shape of Retirement Income

Taxes can change a retirement plan more than many people expect.

Two retirees may have the same gross income and very different spendable income. Two plans may withdraw the same total amount over retirement and produce different tax results depending on timing. Two account balances may look similar but create very different future tax pressure.

This is why retirement income planning should not treat taxes as an afterthought.

Taxes are part of the income plan.

A withdrawal is not only a withdrawal. It may also be taxable income. It may affect Social Security taxation. It may affect ACA subsidy calculations before Medicare. It may affect Medicare IRMAA after Medicare begins. It may increase or reduce future required minimum distributions. It may change which account types remain available later.

A useful retirement plan should help you see these connections clearly.

The goal is not to avoid taxes completely. That is rarely possible and not always desirable. The goal is to understand when taxes are being paid, why they are being paid, and whether the timing supports the rest of the plan.

Taxable Income Is Not the Same as Cash Flow

One of the first tax concepts to understand is the difference between cash flow and taxable income.

Cash flow is the money available to spend.

Taxable income is the amount used to calculate tax.

They are related, but they are not the same.

For example, a retiree might spend \$5,000 in a month using several sources:

- \$2,000 from Social Security
- \$1,500 from a traditional IRA
- \$1,000 from cash savings
- \$500 from a taxable brokerage account

The cash flow is \$5,000.

But the taxable income may be much lower or higher depending on the source. The traditional IRA withdrawal is usually taxable as ordinary income. The cash withdrawal is not taxable income because it is already after-tax money. The brokerage withdrawal may include taxable capital gains only on part of the sale. Social Security may be partly taxable depending on the rest of the retiree's income.

A plan that looks only at cash flow misses this difference.

A tax-aware plan asks:

How much spending money do I need?

Which source provides it?

How much taxable income does that source create?

What other costs or thresholds does that taxable income affect?

This distinction matters in almost every chapter of retirement planning.

Account Type Matters

Different accounts create different tax results.

A traditional 401k or traditional IRA usually contains pre-tax money. Withdrawals are generally taxed as ordinary income. These accounts can be powerful savings vehicles during working years, but in retirement they create taxable income when used.

A Roth account is different. Qualified Roth withdrawals are generally tax-free. This can make Roth money very valuable in years when taxable income needs to be controlled.

Cash savings are usually after-tax money. Spending from cash does not normally create taxable income, although interest earned on cash may be taxable.

Taxable brokerage accounts are mixed. The original cost basis is not taxed again when sold, but gains may be taxable. Dividends and interest may also be taxable.

Pensions and annuities may have their own tax treatment depending on how they were funded and where the retiree lives.

Social Security has its own taxation rules and may be partly taxable depending on other income.

The account type matters because it affects both current tax and future flexibility.

A retiree with \$500,000 entirely in a traditional IRA is in a different tax position from a retiree with \$500,000 split across traditional, Roth, cash, and taxable brokerage accounts.

The total balance may be the same. The after-tax flexibility is not.

Why Timing Matters

The timing of income can be just as important as the amount.

A retiree may have low taxable income in the years after leaving work but before Social Security, pensions, or required minimum distributions begin. Those years may create planning opportunities.

For example, a retiree might use some of those lower-income years to withdraw from a traditional IRA or convert part of a traditional IRA to a Roth account. The idea is to use lower tax brackets now rather than waiting until later years when income may be higher.

This can be useful, but it is not automatic.

A Roth conversion increases taxable income in the year of conversion. That may be acceptable if the retiree has tax bracket room. It may be less attractive if it increases ACA healthcare costs, triggers Medicare surcharges, or creates more tax than the long-term benefit justifies.

The same conversion may be sensible in one phase and unhelpful in another.

This is why taxes need to be viewed on a timeline.

The question is not simply:

Should I pay less tax this year?

A better question is:

Does this year offer a useful opportunity to control tax over the full retirement timeline?

Sometimes the best tax move is to reduce current taxable income. Sometimes the better long-term move is to accept some tax now to reduce future pressure.

The Standard Deduction and Tax Brackets

The U.S. federal income tax system uses a standard deduction and tax brackets.

The standard deduction reduces the amount of income that is taxable. After deductions, taxable income is taxed in layers. The first layer is taxed at a lower rate. Higher layers are taxed at higher rates.

This means that not every dollar of income is taxed at the same rate.

For example, if a retiree is in the 12% bracket, that does not mean all income is taxed at 12%. It means the next dollar of taxable income may fall into that bracket, depending on how much bracket space remains.

This is why the idea of bracket space is useful.

Bracket space is the amount of additional taxable income that can be added before reaching the top of a bracket.

If a retiree has unused room in a lower bracket, they may consider whether to fill some of that room with traditional withdrawals or Roth conversions. That can sometimes reduce future required minimum distribution pressure.

But bracket space should not be reviewed in isolation.

A retiree before Medicare may need to consider ACA income thresholds. A retiree after Medicare may need to consider IRMAA. A retiree with Social Security may need to consider how additional income affects the taxable portion of Social Security.

The bracket may look attractive, but the full result depends on the rest of the plan.

Marginal Rate and Effective Rate

Two tax terms are especially useful in retirement planning: marginal tax rate and effective tax rate.

The marginal tax rate is the rate applied to the next dollar of taxable income.

The effective tax rate is the average rate across all income.

For example, a retiree may have an effective federal tax rate that looks modest, but the next additional withdrawal could still be taxed at a higher marginal rate. That next withdrawal might also increase the taxable portion of Social Security, reduce healthcare subsidies, or trigger other costs.

This matters because retirement decisions are often made at the margin.

Should I withdraw another \$5,000?

Should I convert another \$10,000 to Roth?

Should I take more from the 401k or use cash?

Should I realize capital gains this year?

The useful question is often:

What happens if I add one more dollar, one more thousand dollars, or one more withdrawal to this year?

A plan should help you see the marginal effect, not just the average tax result.

Social Security Taxation

Social Security can be partly taxable depending on other income.

This is one reason retirement tax planning can feel less straightforward than working-year tax planning.

A retiree might assume Social Security is a fixed amount and then separately think about withdrawals. But withdrawals can affect how much of Social Security is taxable.

That creates interaction.

A traditional IRA withdrawal may not only be taxable itself. It may also increase the taxable portion of Social Security. This can make the effective tax cost of the withdrawal higher than expected.

This does not mean withdrawals are bad. It means their effect should be measured.

The planning question is:

How does this withdrawal affect the full tax calculation, including Social Security?

For some retirees, this interaction is small. For others, it is significant.

Traditional Account Withdrawals

Traditional retirement accounts are often the largest source of flexible retirement income.

Withdrawals from these accounts can fund spending, bridge the gap before Social Security, support delayed claiming, pay for healthcare, or reduce future RMD pressure.

But traditional withdrawals usually increase taxable income.

That creates several planning questions:

How much should be withdrawn in each phase?

Should withdrawals be spread out to avoid future tax spikes?

Should withdrawals be increased in low-income years?

Should withdrawals be reduced to protect ACA subsidies?

Should withdrawals be coordinated with Roth conversions?

Will future RMDs force more taxable income than needed?

The best answer depends on the timeline.

A low-tax year can be useful if it occurs before Social Security, pensions, or RMDs begin. But if the retiree is also relying on ACA marketplace coverage, keeping taxable income within a certain range may be more important.

A tax-aware plan helps compare those tradeoffs.

Roth Conversions

A Roth conversion moves money from a traditional pre-tax account into a Roth account.

The converted amount is generally taxable in the year of conversion. After that, future qualified withdrawals from the Roth account are generally tax-free.

The purpose of a Roth conversion is not to avoid tax in the conversion year. The purpose is to decide whether paying some tax now creates a better after-tax plan later.

A Roth conversion may help if:

- Current taxable income is low
- Future RMDs are expected to be large
- The retiree wants more tax-free flexibility later
- A surviving spouse may face higher tax brackets later
- The retiree wants to reduce future pre-tax account balances
- There is room in a lower tax bracket

A Roth conversion may be less attractive if:

- It pushes income into a high tax bracket
- It increases ACA healthcare costs
- It triggers or increases IRMAA
- The retiree lacks cash to pay the tax
- The retiree may need the money soon
- Future tax rates are expected to be lower for that retiree

The useful question is not whether Roth conversions are good or bad.

The useful question is:

How much, in which years, and at what tax cost?

A retirement planner can help test that question by showing the tax effect, the change in account balances, and the effect on later phases.

Required Minimum Distributions

Required minimum distributions are mandatory withdrawals from certain pre-tax retirement accounts once the retiree reaches the applicable age.

RMDs can create taxable income whether the retiree needs the spending money or not.

This matters because a traditional account that is left untouched for many years may continue growing. That can be good for the balance, but it may also create larger future required withdrawals.

Large RMDs can affect:

- Federal income tax
- State income tax
- Social Security taxation
- Medicare IRMAA exposure

- The retiree's ability to control taxable income
- The account mix left for later years

A retiree who waits until RMDs begin may have less flexibility.

This does not mean traditional accounts should always be drawn down early. It means the future RMD phase should be reviewed before it arrives.

The planning question is:

If I do nothing now, what does the RMD phase look like later?

If the answer shows future tax pressure, earlier withdrawals or Roth conversions may be worth testing.

ACA and Taxable Income

Before Medicare, many early retirees need to think about ACA marketplace coverage.

ACA premium tax credits and cost-sharing reductions are linked to income measures. This makes taxable income planning especially important between retirement and Medicare eligibility.

A withdrawal that increases income may increase tax, but it may also change healthcare costs.

That combination can make the true cost of a withdrawal higher than the tax alone.

For example, an extra traditional IRA withdrawal might:

- Increase taxable income
- Increase federal tax
- Increase MAGI
- Reduce premium assistance
- Reduce or eliminate cost-sharing reductions
- Require additional withdrawals to cover the higher cost

This is why early retirement tax planning should be coordinated with healthcare planning.

A plan should ask:

How much income is needed?

Which sources create MAGI?

Is there a target income range for healthcare purposes?

Could cash or Roth withdrawals help manage taxable income?

Would a Roth conversion be useful or too costly in an ACA year?

The answer may change once Medicare begins.

IRMAA and Medicare

After Medicare begins, higher income can trigger IRMAA surcharges.

IRMAA is an additional Medicare premium amount for higher-income beneficiaries. It can apply to Medicare Part B and Part D.

This matters because an extra withdrawal or Roth conversion may increase income enough to create future Medicare premium costs.

The IRMAA calculation is usually based on income from a prior tax year, which means the effect can appear later.

This creates another timing issue.

A retiree might convert to Roth, realize capital gains, or take a large withdrawal and then see higher Medicare premiums later. That does not automatically mean the decision was wrong. It means the surcharge should be included in the analysis.

The planning question is:

Does the benefit of the extra income, conversion, or gain realization justify the tax and Medicare cost?

A tax-aware plan should show when income is close to an IRMAA threshold so the retiree can decide whether crossing it is worth it.

Capital Gains and Brokerage Withdrawals

Taxable brokerage accounts can be useful in retirement because withdrawals may not be fully taxable.

When you sell an investment in a taxable account, tax is generally based on the gain, not the full sale amount. If you sell \$10,000 of an investment and \$2,000 is gain, the tax issue is usually focused on the gain, not the full \$10,000.

The type of gain matters too. Long-term capital gains may receive different tax treatment than ordinary income.

Brokerage withdrawals can help manage taxable income, but they still need to be planned.

Questions to ask include:

How much of the sale is gain?

Is the gain short-term or long-term?

Does the gain affect ACA calculations?

Does the gain affect IRMAA?

Would selling now improve diversification?

Would delaying the sale create a larger gain later?

Does the account contain investments with losses that could offset gains?

A brokerage account adds flexibility, but it also requires attention to tax details.

Cash as a Tax Planning Tool

Cash savings can be useful because spending cash usually does not create taxable income.

That can help in years when taxable income needs to be managed.

For example, a retiree using ACA coverage may use cash to cover part of spending while keeping taxable income within a target range. A retiree near an IRMAA threshold may use cash to avoid crossing the line. A retiree doing a Roth conversion may use cash to pay the tax rather than withholding from the converted amount.

Cash also provides flexibility during market downturns.

But cash is not unlimited. Spending it too quickly can reduce safety reserves.

The planning question is:

Is cash being used for a clear purpose?

Good uses may include bridge income, emergency reserves, tax management, healthcare planning, or market downturn protection.

Cash should have a job.

The Risk of Looking at One Tax Year Alone

It is easy to focus too much on the current year.

A retiree may try to minimize tax this year and accidentally create larger taxable income later. Another may do a large Roth conversion this year and pay more tax than necessary. Another may avoid all traditional withdrawals before RMDs and then face less flexibility later.

The better approach is to look across the retirement timeline.

Ask:

What does taxable income look like before Social Security?

What changes when Social Security begins?

What changes when Medicare begins?

What changes when RMDs begin?

Are there low-income years that could be used more efficiently?

Are there high-income years that could be softened by earlier planning?

Which account balances are growing, and what tax treatment will they have later?

Retirement tax planning is not only about lowering tax in one year. It is about shaping taxable income across many years.

Tax Efficiency Is Not the Only Goal

Tax planning should support retirement planning, not replace it.

Sometimes the lowest-tax choice is not the best retirement choice.

For example, a retiree might avoid a withdrawal because it creates tax, but then live with unnecessary financial stress. Another might preserve Roth money for tax reasons but run down cash too quickly. Another might delay income to stay in a lower bracket but create future RMD pressure.

Tax efficiency matters, but it is one part of the plan.

A good retirement decision balances:

- Spendable income
- Future account balances

- Tax cost
- Healthcare cost
- Risk tolerance
- Inflation protection
- Flexibility
- Estate goals
- Peace of mind

A plan that pays the lowest tax is not automatically the strongest plan.

The stronger plan is the one that supports the retiree's actual goals with a clear understanding of the tradeoffs.

How the Planner Helps With Taxes

The companion planner is designed to make tax tradeoffs easier to see.

When you adjust income or withdrawals, the planner can update estimated tax, net income, healthcare-sensitive warnings, and ending balances. This helps show whether a change improves the plan or simply moves the cost somewhere else.

For example, increasing a traditional 401k withdrawal may increase monthly income. The planner can also show whether tax rises, whether healthcare costs are affected, and whether the ending balance weakens.

A Roth conversion may reduce future pre-tax balances. The planner can show the current tax effect and help you review whether the conversion fits the phase.

A Social Security timing change may affect both income and taxation. The planner can help compare the before-and-after pattern.

The point is not that the planner knows the perfect tax answer. The point is that it helps organize the numbers so you can review the tradeoffs more clearly.

Questions to Ask About Taxes in Each Phase

For each phase, ask:

What is my gross income?

What part of that income is taxable?

Which account types are being used?

Am I using low tax bracket space efficiently?

Am I pushing income into a higher bracket?

Does this phase affect ACA costs?

Does this phase affect IRMAA?

Does this phase increase the taxable portion of Social Security?

Does this phase reduce future RMD pressure?

Does this phase preserve enough Roth and cash flexibility?

What happens if I shift income from one account type to another?

These questions turn taxes from a year-end surprise into a planning input.

Example: Filling a Low Bracket

Suppose a retiree has left work at 62 and has not yet claimed Social Security. They have enough cash to cover spending for a year, so taxable income is low.

At first, that may look ideal. Low taxable income means low current tax.

But the retiree also has a large traditional IRA. If the IRA is left untouched, it may grow until RMDs begin. Later, forced withdrawals may create more taxable income than desired.

This creates a planning question.

Should the retiree use some of the low-income year to take a traditional IRA withdrawal or do a Roth conversion?

The answer depends on the tax bracket, ACA situation, cash needs, future income, and long-term plan.

If the retiree is using ACA coverage, keeping income low may be more valuable than filling the bracket. If the retiree has no ACA concern and plenty of room in a low bracket, a partial conversion may be useful. If the retiree lacks cash to pay the tax, the conversion may be less attractive.

The important point is that the low-income year should not be ignored. It should be reviewed.

Example: Avoiding a Threshold

Now consider a retiree on Medicare who is close to an IRMAA threshold.

They want to take an extra withdrawal for travel.

The withdrawal itself may be affordable. The tax may be acceptable. But if the withdrawal pushes income over the threshold, it may increase Medicare costs in a later year.

That does not automatically mean the withdrawal should be avoided.

The retiree may decide the travel is worth it. They may take the withdrawal from a Roth account. They may use cash. They may split the expense across years. They may accept the surcharge.

The value of planning is that the choice is visible before it is made.

Chapter Summary

Taxes change the shape of retirement income.

The amount you withdraw is not always the amount you can spend. Account type, timing, Social Security taxation, ACA income rules, IRMAA, capital gains, Roth conversions, and required minimum distributions can all change the result.

Tax planning should be reviewed across the retirement timeline, not only one year at a time. Low-income years may create opportunities. High-income years may create pressure. Traditional accounts, Roth accounts, cash, and brokerage accounts each have different roles.

The goal is not to pay the lowest possible tax in every single year. The goal is to create a stronger after-tax retirement plan.

The next chapter looks at healthcare costs, because healthcare can turn a tax decision into a much larger planning decision.

Chapter 5 — Healthcare Costs Can Move With Income

Healthcare is one of the most important retirement planning variables.

For some retirees, healthcare is a mostly predictable monthly cost. For others, it changes significantly depending on age, income, location, and coverage type.

This matters because healthcare costs can change the result of a withdrawal decision.

A withdrawal may look affordable when you only consider taxes. But if the same withdrawal also increases health insurance premiums, reduces subsidies, lowers cost-sharing help, or triggers Medicare surcharges, the real cost may be higher than expected.

That is why healthcare should be reviewed inside the income plan, not after it.

A retirement income plan should help answer questions like these:

What healthcare system applies in this phase?

Does income affect the cost?

Am I near an ACA threshold?

Am I near an IRMAA threshold?

Would a Roth withdrawal, cash withdrawal, or brokerage sale produce a better result than a traditional retirement account withdrawal?

Could a Roth conversion create a healthcare cost in the same year or a later year?

Will healthcare costs change when Medicare begins?

These questions are especially important for early retirees, U.S. retirees before age 65, people managing Roth conversions, and anyone whose income may approach Medicare surcharge thresholds.

Healthcare Is Phase-Specific

Healthcare planning changes across retirement phases.

Before Medicare, a retiree may use employer retiree coverage, a spouse's plan, ACA marketplace insurance, private insurance, health sharing arrangements, self-pay care, or coverage from another country.

At Medicare age, the structure changes. Medicare Part B, Part D, supplemental coverage, Medicare Advantage, deductibles, premiums, and possible IRMAA surcharges may become relevant.

For expats, healthcare can depend on the country of residence, local insurance options, private international coverage, national health systems, travel plans, and whether the retiree expects to return to the United States for care.

The point is simple:

Healthcare does not stay the same across all phases.

This is why a phase-based retirement plan is useful. It lets you review healthcare costs in the years when they actually apply.

The period from retirement to Medicare may need one strategy. The Medicare years may need another. Later retirement may need a different reserve for higher care costs, long-term care concerns, or reduced flexibility.

Before Medicare: The Early Retirement Healthcare Gap

For many U.S. retirees, the years before Medicare are the most sensitive healthcare years.

Someone who retires at 62 has roughly three years before Medicare eligibility at 65. Someone who retires at 60 has about five years. Someone retiring even earlier may have a longer gap.

During this period, the retiree needs a healthcare solution.

If they are not covered by a spouse's employer plan or retiree medical plan, they may look to the ACA marketplace.

ACA marketplace coverage can be very useful for early retirees. But it also makes income planning more important because subsidies and cost-sharing reductions are linked to income measures.

A retiree who draws heavily from a traditional IRA or 401k may increase taxable income. That may increase MAGI. Higher MAGI may reduce premium assistance or affect cost-sharing support.

This means the withdrawal strategy can affect healthcare costs.

The same spending need may produce different healthcare outcomes depending on where the money comes from.

For example:

- Spending from cash may not increase taxable income.
- A qualified Roth withdrawal may not increase taxable income.
- A traditional IRA withdrawal usually increases taxable income.
- A taxable brokerage sale may increase income only by the gain portion.
- Rental income or part-time work may increase MAGI.

A retiree using ACA coverage should not only ask whether they can afford the premium. They should ask how their income plan affects the premium.

MAGI: The Number Healthcare May Care About

MAGI stands for modified adjusted gross income.

In retirement planning, MAGI matters because several healthcare-related calculations may use it or a related income measure.

For ACA purposes, MAGI helps determine eligibility for premium tax credits and cost-sharing reductions. For Medicare, income from prior tax years can affect IRMAA surcharges.

The exact calculation depends on the program, but the planning idea is straightforward:

Some income choices increase the number used for healthcare calculations, and some do not.

This is why account selection matters.

Suppose a retiree needs an extra \$10,000 of spending money before Medicare.

If that money comes from a traditional IRA, it may increase MAGI by \$10,000.

If it comes from cash savings, it may not increase MAGI.

If it comes from a Roth account, it may not increase MAGI if the withdrawal is qualified.

If it comes from a taxable brokerage account, the MAGI effect may depend on the gain portion of the sale.

The same spending amount can produce different healthcare consequences.

This does not mean cash or Roth should always be used first. It means the source of income should be chosen with the healthcare phase in mind.

ACA Premium Tax Credits

ACA premium tax credits can reduce the monthly cost of marketplace health insurance for eligible households.

The amount depends on several factors, including household income, household size, location, and the benchmark plan used in the marketplace calculation.

For early retirees, this can make income planning especially important.

If income rises, the expected household contribution toward premiums may rise. If income falls, premium assistance may increase. Changes in income can therefore change the monthly premium.

A retirement income plan should help estimate whether a withdrawal, Roth conversion, side income, pension, or capital gain could affect those premiums.

The important planning question is:

What income range am I trying to stay within during the ACA years?

That range may be different from the ideal tax range.

For example, a retiree may have room in a low federal tax bracket but still choose not to use all of it because doing so would reduce healthcare assistance.

This is why taxes and healthcare should be reviewed together.

Cost-Sharing Reductions

Cost-sharing reductions, often called CSR, can lower out-of-pocket costs for eligible people who choose qualifying Silver marketplace plans.

CSR can affect deductibles, copays, coinsurance, and out-of-pocket limits.

For some early retirees, CSR may be as important as the premium itself.

A low monthly premium is helpful, but a high deductible or high out-of-pocket exposure can still make care expensive. If income is low enough to qualify for stronger CSR, a Silver plan may provide better practical protection than a cheaper-looking Bronze plan.

This is why planning only around the monthly premium can be incomplete.

A retiree should ask:

Am I only trying to reduce the premium, or am I also trying to preserve cost-sharing help?

Would a higher withdrawal reduce CSR value?

Would using cash or Roth money help keep income in a better range?

Is the plan choice based on total expected cost, not just the premium?

Healthcare planning is not only about getting insured. It is about understanding the full cost exposure.

The ACA Years Can Shape the Withdrawal Strategy

The years before Medicare may call for a different withdrawal strategy than the years after Medicare.

During ACA years, a retiree may want to manage MAGI carefully. That may mean using some combination of cash, Roth withdrawals, taxable brokerage withdrawals, smaller traditional account withdrawals, or part-time income limits.

But there is a tradeoff.

Keeping income low for ACA purposes may preserve healthcare assistance. At the same time, it may leave traditional retirement accounts untouched. Those accounts may continue growing and later create RMD pressure.

This creates a planning tension:

Should the retiree keep income low now for healthcare reasons?

Or should the retiree use some low tax bracket space now to reduce future RMD pressure?

The answer depends on the numbers.

A retiree with a very large traditional IRA may decide that some extra taxable income is worth it. Another retiree with high healthcare sensitivity may decide that preserving ACA help is more valuable. Another may split the difference, taking modest traditional withdrawals while using cash or Roth funds for the rest.

A good plan lets these choices be compared.

Medicare Changes the Planning Question

At age 65, many retirees become eligible for Medicare.

This can simplify some planning issues and create new ones.

The ACA marketplace may no longer be the main concern. Instead, the retiree may need to plan for Medicare Part B premiums, Part D coverage, supplemental insurance or Medicare Advantage, deductibles, copays, and possible IRMAA surcharges.

The cost structure changes.

A retiree who was carefully managing income for ACA purposes may have more freedom after Medicare begins. But they may now need to watch Medicare income thresholds.

This is why the Medicare phase should be reviewed separately.

The same income level that was a problem before Medicare may be reasonable after Medicare. Or the reverse may be true if the income creates Medicare surcharges.

The phase matters.

IRMAA: Medicare Surcharges for Higher Income

IRMAA stands for Income-Related Monthly Adjustment Amount.

It is an additional premium amount that higher-income Medicare beneficiaries may pay for Part B and Part D.

IRMAA is important because it can turn an income decision into a healthcare cost decision.

For example, a retiree may consider a large Roth conversion. The tax cost may seem acceptable. But if the conversion increases income enough to trigger IRMAA, the total cost includes both tax and higher Medicare premiums.

A retiree may sell appreciated investments, take a large IRA withdrawal, receive a large one-time income event, or start required minimum distributions. Any of these may affect income used for Medicare surcharge calculations.

The planning question is not simply:

Will this create tax?

It is:

Will this income create tax and increase Medicare costs?

Sometimes crossing an IRMAA threshold may still be worth it. A Roth conversion, asset sale, or withdrawal may have benefits that justify the surcharge. But the retiree should know about the surcharge before making the decision.

Timing Matters With IRMAA

Medicare surcharges are often based on income from a prior tax year.

That means the effect of a decision may not appear immediately.

A retiree could make a large taxable move this year and see the Medicare premium effect later. This timing can be confusing if it is not planned for.

For example:

- A Roth conversion at age 63 may affect Medicare premiums at 65.
- A capital gain at 66 may affect premiums later.
- A large IRA withdrawal may create a surcharge in a future Medicare year.

The specific timing should be checked based on current rules, but the planning principle is clear:

A healthcare cost can follow a tax decision.

This is why income spikes should be reviewed carefully near Medicare age and during Medicare years.

One-Time Income Events

Not all income is recurring.

A retiree may have a one-time event such as:

- Selling a house
- Selling investments
- Converting to Roth
- Receiving a bonus or deferred compensation
- Taking a large IRA withdrawal
- Selling a business

- Receiving rental income from a sale or settlement
- Realizing capital gains during portfolio rebalancing

These events can affect taxes and healthcare calculations even if they are not part of normal monthly income.

A one-time event may be perfectly reasonable, but it should be reviewed in the year it occurs and in any later years affected by income lookback rules.

The planning question is:

Can this event be timed, split, offset, or funded differently?

Sometimes the answer is no. Sometimes the income event is unavoidable. But sometimes there is flexibility.

For example, a Roth conversion can be sized. A brokerage sale can sometimes be spread across years. A withdrawal can be split between traditional, Roth, cash, and taxable sources. A gain may be offset by a loss. A large discretionary expense may be timed differently.

Healthcare thresholds make that timing more important.

Healthcare and Roth Conversions

Roth conversions are often discussed as a tax strategy, but they can also be a healthcare planning issue.

Before Medicare, a Roth conversion can increase MAGI and potentially affect ACA premium tax credits or cost-sharing reductions.

After Medicare, a Roth conversion can increase income used for IRMAA calculations.

This does not mean Roth conversions should be avoided. It means they should be sized and timed carefully.

A good Roth conversion review asks:

What tax bracket does the conversion fill?

Does the conversion affect ACA help?

Does the conversion affect IRMAA?

Is the retiree close to a threshold?

Would a smaller conversion fit better?

Would a different year be better?

Is there cash available to pay the tax?

Does the conversion reduce future RMD pressure enough to justify the current cost?

The conversion should be judged by the full plan, not only by the current tax bracket.

Healthcare and Account Choice

Healthcare-sensitive years make account choice more important.

If the goal is to manage MAGI, the retiree may compare several funding sources:

Traditional IRA or 401k withdrawals

These usually increase taxable income and may affect healthcare calculations.

Roth withdrawals

Qualified withdrawals may provide spending money without increasing taxable income.

Cash savings

Cash can fund spending without creating taxable income, though interest earned on cash may still be taxable.

Taxable brokerage sales

Only the gain portion may be taxable, depending on the investment and basis.

Part-time income

Useful for cash flow, but it may increase MAGI.

The best source depends on the phase.

Before Medicare, cash or Roth may be helpful for managing ACA income. But using too much Roth too early may reduce later flexibility. Using too much cash may weaken reserves. Avoiding traditional withdrawals completely may create future RMD pressure.

The solution is usually not one source for every year. It is a coordinated mix.

Healthcare Costs and Real Income

Healthcare costs affect real lifestyle.

A retiree may have enough gross income, but if premiums, deductibles, prescriptions, and out-of-pocket costs are high, the actual lifestyle may be tighter than expected.

This is why net income should include healthcare costs where possible.

A plan that shows retirement income before healthcare may overstate comfort.

For example, \$5,000 per month of gross income may look strong. But if healthcare costs are \$900 per month before Medicare, the spendable amount is very different. If a higher withdrawal raises that healthcare cost, the net gain from the withdrawal may be smaller than expected.

Healthcare costs should be treated like a core retirement expense, not a side note.

Expats and Healthcare

For retirees living outside the United States, healthcare planning may look very different.

Some countries have lower direct healthcare costs. Some have national health systems. Some require private coverage for visas. Some retirees use local private care. Others keep Medicare in the United States as a fallback. Some maintain international health insurance.

For expats, the planning questions may include:

What country will I live in?

Can I access the local healthcare system?

Do I need private insurance?

Will I keep Medicare?

Do I expect to return to the United States for treatment?

How will currency changes affect healthcare costs?

Are healthcare costs paid in local currency while income is received in dollars, pounds, or another currency?

Healthcare may be less expensive abroad, but it still belongs in the plan.

For an expat retiree, healthcare planning should be coordinated with residency, tax, currency, and travel assumptions.

How the Planner Helps With Healthcare

The companion planner is designed to show healthcare costs inside the retirement income view.

That matters because healthcare decisions are connected to income decisions.

If you increase a traditional account withdrawal, the planner can help show whether taxes rise, whether health-care-sensitive warnings appear, and whether net income improves as much as expected.

If you are in an ACA phase, the planner can help flag when income moves near relevant thresholds.

If you are in a Medicare phase, the planner can help flag IRMAA risk.

If you adjust account withdrawals, the planner can help compare whether the same spending target is better supported from cash, Roth, traditional accounts, or brokerage assets.

The planner does not replace checking the actual health plan marketplace, Medicare rules, or professional advice. It gives you a way to include healthcare assumptions in the retirement model so they are not ignored.

Questions to Ask During ACA Years

If you are using ACA marketplace coverage before Medicare, ask:

What is my expected MAGI for this year?

What income range am I trying to stay within?

Am I trying to preserve premium tax credits?

Am I trying to preserve cost-sharing reductions?

Which income sources increase MAGI?

Which spending sources do not increase MAGI?

Would a Roth conversion reduce future tax pressure or create too much current healthcare cost?

Would part-time work affect premiums or cost-sharing?

Should I use cash, Roth, brokerage, or traditional withdrawals for this phase?

What happens if my income estimate is wrong?

These questions help connect healthcare coverage with the income plan.

Questions to Ask During Medicare Years

Once Medicare begins, ask:

What are my expected Medicare premiums?

Do I need Part D, a Medigap plan, or Medicare Advantage?

Am I near an IRMAA threshold?

Could withdrawals, capital gains, Roth conversions, or RMDs trigger surcharges?

Are the surcharges temporary or likely to continue?

Would spreading income across years help?

Would using Roth or cash help manage income?

How do RMDs affect Medicare costs later?

Do I need a larger healthcare reserve in later retirement?

These questions help prevent Medicare costs from being treated as fixed when they may depend on income.

Example: The ACA Bridge Years

Consider a retiree who leaves work at 62 and plans to use ACA marketplace coverage until Medicare begins at 65.

They need \$4,500 per month to live comfortably.

They have cash savings, a traditional IRA, a Roth account, and a taxable brokerage account.

A simple withdrawal plan might take the full amount from the traditional IRA.

That may work from a cash flow perspective. But it may increase MAGI enough to reduce healthcare assistance.

Another plan might use some traditional IRA withdrawals, some cash, and some brokerage withdrawals. This could keep income within a more favorable healthcare range while still providing enough spending money.

Another plan might use Roth withdrawals. That may protect MAGI but reduce future Roth flexibility.

There is no automatic answer.

The better approach is to compare the options:

- Full traditional IRA withdrawal
- Mixed cash and IRA withdrawal
- Roth-supported bridge
- Brokerage-supported bridge
- Smaller withdrawal plus part-time income

The plan should show not only gross income, but net income after tax and healthcare assumptions.

Example: The Roth Conversion Near Medicare

Now consider a retiree age 64 who wants to do a large Roth conversion before required minimum distributions begin.

The conversion may be useful for long-term tax planning. But the retiree is one year away from Medicare.

The conversion could affect income used for future Medicare premium calculations.

The retiree should ask:

Will this conversion affect Medicare premiums?

Would a smaller conversion work better?

Should the conversion be split across two years?

Is there enough cash to pay the tax?

Would waiting until a later year be better or worse?

Does the conversion reduce future RMD pressure enough to justify the possible surcharge?

The conversion may still be worthwhile. But the healthcare effect should be part of the decision.

Chapter Summary

Healthcare costs can move with income.

Before Medicare, ACA marketplace premiums and cost-sharing reductions may depend on income. After Medicare begins, higher income may trigger IRMAA surcharges. One-time events, Roth conversions, capital gains, traditional withdrawals, and side income can all affect healthcare-related calculations.

This is why healthcare should be reviewed as part of the income plan.

A withdrawal decision is not only a tax decision. It may also be a healthcare cost decision.

The goal is not always to keep income as low as possible. The goal is to understand the tradeoff. Sometimes extra income is worth the cost. Sometimes a different account source, smaller conversion, or better timing can produce a stronger result.

The next chapter looks at inflation and real income, because even a plan that works after taxes and healthcare must still preserve purchasing power over time.

Chapter 6 — Inflation and Real Income

Inflation is easy to underestimate because it works slowly.

A price increase in one month may not change a retirement plan. A few years of modest inflation may not feel dramatic. But over ten, fifteen, twenty, or thirty years, inflation can change what retirement income actually buys.

This is why a retirement plan should show more than future dollar amounts.

It should also show real income.

Real income means income measured in today's purchasing power. It helps answer a simple question:

What will this future income feel like?

A plan that shows \$5,000 per month at age 62 and \$5,500 per month at age 80 may look like income has improved. But if prices have risen substantially over those years, the later income may buy less than the earlier income.

The dollar amount went up.

The spending power went down.

That is the problem real income helps reveal.

Nominal Income Versus Real Income

Nominal income is the dollar amount shown in the future.

Real income adjusts that future dollar amount for inflation.

Both numbers are useful, but they answer different questions.

Nominal income answers:

How many dollars are expected to come in?

Real income answers:

What is that income worth compared with today?

For example, suppose a retiree wants \$4,500 per month in today's dollars. If inflation averages 3% per year, the dollar amount needed to maintain that same purchasing power rises over time.

After ten years, the retiree may need much more than \$4,500 per month to buy the same goods and services.

After twenty years, the gap is larger.

This is why a flat monthly income number can be misleading.

A plan that pays exactly \$4,500 per month forever may look stable on paper, but the retiree's lifestyle may shrink over time.

Inflation Compounds

Inflation compounds in the same way investment returns compound.

A 3% price increase in one year does not sound severe. But if prices rise by 3% every year, each year's increase builds on the higher prices from the year before.

This compounding effect is what makes inflation important in retirement planning.

A retiree who expects a short retirement may be less affected. A retiree planning for twenty-five or thirty years needs to take inflation more seriously.

For example, if inflation averages 3% per year, prices roughly double over about twenty-four years. That is not an exact forecast. It is a useful planning reminder.

A lifestyle that costs \$4,000 per month today could cost much more later.

The longer the retirement, the more important inflation becomes.

Inflation Does Not Affect Every Expense Equally

Not every expense rises at the same rate.

Some costs may rise faster than general inflation. Healthcare, insurance, property taxes, rent, utilities, and long-term care can rise differently from food, entertainment, or travel.

Some expenses may fall. A mortgage may be paid off. Work-related costs may disappear. Travel may decline later in retirement. Children may become financially independent. A move to a lower-cost country or region may reduce expenses.

Other expenses may appear later. Home repairs, medical needs, family support, or assisted living costs may increase.

This means inflation planning should not be treated as one perfect number. The inflation assumption is a simplification.

It is still useful.

A general inflation assumption helps you avoid assuming that future dollars will buy the same amount as today's dollars. But you should also think about which personal expenses may rise faster or slower than the general assumption.

Fixed Income Can Lose Purchasing Power

Some retirement income sources are fixed.

A pension may pay the same amount each month for life. An annuity may have no inflation adjustment. Rental income may rise, but not always smoothly. Interest income may change with rates. Withdrawals may be planned as fixed dollar amounts.

Fixed income can be useful because it is predictable.

But fixed income loses purchasing power when prices rise.

A fixed \$2,000 monthly payment may be comfortable at the beginning of retirement and less comfortable later.

This does not mean fixed income is bad. Predictability has value. But a retirement plan should show how much of the income floor is inflation-protected and how much is fixed.

A retiree with most income tied to inflation may have less purchasing power risk. A retiree with mostly fixed income may need a larger investment reserve or a spending adjustment plan.

Social Security and COLA

Social Security includes cost-of-living adjustments.

That makes it valuable as part of a retirement income floor. It does not guarantee that every retiree's personal costs will be fully covered, but it does mean the benefit is designed to adjust over time with inflation measures.

In a retirement plan, the Social Security COLA assumption matters.

If the assumed COLA is too high, later income may look stronger than it should. If the assumed COLA is too low, the plan may look more conservative.

A reasonable approach is to use a cautious long-term assumption and update it periodically.

The important point is to recognize that Social Security behaves differently from a fixed pension. It may help protect later-life income from inflation, especially for retirees with limited other inflation-adjusted income.

UK State Pension and Triple Lock

For readers with a UK State Pension, inflation planning may include the Triple Lock assumption.

The UK State Pension has historically been increased by the highest of inflation, wage growth, or a minimum percentage under the Triple Lock policy, although future policy can change.

For someone who expects UK State Pension income, the planning question is:

What increase assumption should be used?

A higher assumed increase may make later income look stronger. A lower assumed increase may be more conservative.

For retirees with both U.S. Social Security and UK State Pension, the interaction of cost-of-living adjustments can be important. One income source may be paid in dollars. Another may be paid in pounds. A retiree living abroad may spend in a third currency.

Inflation and currency assumptions can therefore overlap.

The key point is not to assume every income source stays flat unless that is actually the intended assumption.

Portfolio Withdrawals and Inflation

Portfolio withdrawals can be adjusted for inflation, but only if the portfolio can support the increases.

For example, a retiree may start by withdrawing \$4,000 per month and increase that amount each year with inflation. This keeps spending power more stable, but it also increases the withdrawal burden over time.

If investment returns are strong, inflation-adjusted withdrawals may be sustainable.

If returns are weak, rising withdrawals can put pressure on the portfolio.

This is one reason withdrawal strategy matters.

Some strategies use fixed inflation-adjusted withdrawals. Others vary withdrawals based on portfolio value, age, or market performance. Some use guardrails. Some separate essential income from discretionary spending.

The right approach depends on whether the retiree values stable spending, portfolio preservation, flexibility, or a planned drawdown.

Inflation makes that choice more important.

Real Income by Phase

A phase-based plan should show whether real income holds up across the timeline.

For each phase, ask:

What is the nominal monthly income?

What is the real monthly income?

Does real income fall sharply later?

Is the fall intentional?

Are essential expenses still covered?

Does reliable income keep up with inflation?

Does discretionary income have room to adjust?

A plan may show rising nominal income and falling real income at the same time. This is especially common when later withdrawals are flat or when inflation assumptions are significant.

Real income helps you see whether later phases remain livable.

The Income Floor Should Be Reviewed in Real Terms

The income floor is the amount needed to cover essential expenses.

That floor should be reviewed in real terms.

If essential expenses are \$3,500 per month today, they may not remain \$3,500 in future dollars. Housing, food, utilities, insurance, and healthcare may all rise.

Some expenses may be fixed or decline, but the general planning assumption should not ignore inflation.

A retiree may be comfortable reducing travel, dining out, or entertainment later. They may not be comfortable reducing essential healthcare, housing, or food.

This makes the real income floor one of the most important checks in a retirement plan.

A plan that preserves discretionary income early but allows essential purchasing power to weaken later may need adjustment.

Lifestyle Spending May Change Over Time

Inflation is not the only reason spending changes.

Many retirees do not spend the same amount every year.

Some spend more in early retirement on travel, hobbies, home projects, relocation, or family visits. Spending may slow later. Healthcare spending may rise. Housing costs may fall if a mortgage is paid off or rise if rent increases.

This is sometimes described as a retirement spending smile: higher spending early, lower spending in the middle, and higher healthcare or care-related spending later.

Not everyone follows that pattern, but it is worth considering.

A retirement plan should allow for changing spending needs. Inflation-adjusted income does not have to be perfectly level if the retiree's real spending needs are not level.

The planning question is:

Does the income pattern match the lifestyle pattern?

A retiree who wants to travel heavily from 62 to 70 may intentionally plan for higher early spending. Another retiree may prefer a stable income floor and modest discretionary spending. Another may want to preserve more assets for later care needs.

Inflation planning should support the desired lifestyle, not impose one pattern on everyone.

Inflation and Longevity Risk

Inflation becomes more important the longer retirement lasts.

A retiree planning to age 80 may have one set of inflation concerns. A retiree planning to age 95 has a much longer period for prices to rise.

This is why plan end age matters.

Extending the plan by ten or fifteen years can change the income review. A plan that looks comfortable to age 80 may look tighter to age 90. A plan that works to age 90 may need more inflation protection to age 100.

Long life is usually a good outcome personally, but it increases the planning challenge.

The plan must support more years of spending, more years of inflation, and more years of uncertainty.

This is one reason inflation-adjusted reliable income can be valuable. Social Security, inflation-linked pensions, and other lifetime income sources can help reduce the risk of outliving assets.

Inflation and Investment Return Assumptions

Inflation should be reviewed alongside investment return assumptions.

A portfolio return of 7% sounds strong. But if inflation is 3%, the real return is much lower. If inflation is 5%, the real return is lower still.

The real return is the return after inflation.

A retirement plan that assumes high investment returns and low inflation may look comfortable. A plan that assumes lower returns and higher inflation may look much tighter.

This does not mean you should always use the most pessimistic assumptions. It means you should test the plan under different conditions.

Useful questions include:

What happens if inflation is 1% higher?

What happens if portfolio returns are 1% lower?

What happens if both occur at the same time?

Does the ending balance remain workable?

Does real income stay above the essential floor?

A plan that is highly sensitive to small assumption changes may need more flexibility.

Inflation and Cash

Cash has a complicated role in inflation planning.

Cash is useful for emergencies, short-term spending, market downturns, and income management. But cash can lose purchasing power if interest rates do not keep up with inflation.

Holding too little cash can create short-term risk.

Holding too much cash can create long-term inflation risk.

The right balance depends on the retiree's income sources, risk tolerance, withdrawal strategy, and spending needs.

Cash should usually have a clear purpose:

- Emergency reserve
- Near-term spending
- Market downturn buffer
- Healthcare buffer
- Tax or ACA planning flexibility
- Planned large expense

Once cash has a job, it becomes easier to decide how much is enough.

Inflation does not mean cash is bad. It means idle cash should be intentional.

Inflation and Expat Retirement

For expat retirees, inflation can be more complicated.

Income may be received in one currency and spending may occur in another. Local inflation may differ from U.S. or UK inflation. Exchange rates can move in ways that amplify or reduce cost changes.

For example, a U.S. retiree living in Thailand or the Philippines may receive Social Security in dollars but spend in local currency. A UK pension may be paid in pounds while expenses occur elsewhere. A retiree living in the UK with U.S. retirement accounts may need to think in both dollars and pounds.

The planning questions include:

What currency is the income paid in?

What currency are expenses paid in?

Which country's inflation affects daily spending?

What exchange rate assumption is being used?

Could currency changes reduce purchasing power?

Is there a local healthcare inflation issue?

A multi-currency retirement plan should make these assumptions visible.

How the Planner Helps With Inflation

The companion planner includes inflation assumptions so future income can be viewed with real purchasing power in mind.

This is important because many retirement plans look better in nominal dollars than they do in real terms.

When reviewing the planner, the real income figures help show whether later phases are still strong after inflation. If nominal income rises but real income falls, the plan may need review.

The planner can also help test different assumptions:

What happens if inflation is higher?

What happens if Social Security COLA is lower?

What happens if UK State Pension increases are more conservative?

What happens if withdrawals are not increased enough to maintain real income?

What happens if the plan is extended to age 90?

The purpose is not to pick one perfect inflation number. The purpose is to see whether the plan remains workable under reasonable alternatives.

When Falling Real Income May Be Acceptable

A decline in real income is not automatically a failure.

Some retirees intentionally spend more in early retirement and less later. They may want to travel, relocate, help family, or enjoy active years while health allows.

If essential expenses remain covered and the decline is intentional, falling real income may be acceptable.

The issue is whether the retiree understands the pattern.

A plan with falling real income should answer:

Which expenses will be reduced later?

Are essential costs still covered?

Is healthcare protected?

Is there enough reserve for unexpected costs?

Is the retiree comfortable with the lower lifestyle later?

Does the plan depend on assumptions that may be too optimistic?

A planned decline is different from an unnoticed decline.

When Rising Nominal Income Can Be Misleading

Rising nominal income can create false comfort.

A plan may show income increasing from \$4,500 per month to \$6,000 per month over time. That looks like improvement.

But if inflation has reduced the value of each dollar, the retiree may not actually be better off.

This is why real income should be shown alongside nominal income.

The question is not only:

Will I receive more dollars later?

It is:

Will those dollars support the lifestyle I expect?

Building an Inflation Review Habit

Inflation should be reviewed regularly.

At least once a year, a retiree should ask:

Has actual inflation been higher or lower than expected?

Have my personal expenses changed?

Are healthcare costs rising faster than the general assumption?

Are Social Security or pension increases keeping up?

Do my withdrawals need to change?

Does the real income floor still work?

Does the plan still survive under a higher inflation assumption?

Inflation planning is not a one-time decision. It is part of maintaining the plan.

Example: Stable Dollars, Falling Spending Power

Consider a retiree who plans to withdraw \$4,000 per month from investments from age 62 to 80.

The withdrawal amount is stable.

At first, that may seem safe and predictable.

But if inflation averages 3% per year, the real value of that \$4,000 declines over time. By the later phases, it may feel much lower.

The retiree has several options:

- Increase withdrawals with inflation
- Use Social Security COLA to support the income floor
- Reduce discretionary spending later
- Add part-time income early

- Delay retirement
- Reduce early withdrawals to preserve later growth
- Use a variable withdrawal strategy
- Buy or preserve some form of inflation-sensitive income

The right choice depends on the full plan.

The important point is that the issue should be visible before the retiree relies on the income.

Example: Higher Later Income, Lower Real Income

Now consider a plan where income rises from \$5,000 per month at age 62 to \$6,200 per month at age 78.

That sounds positive.

But after inflation, the age-78 income might be worth less than the age-62 income in today's dollars.

If the retiree only looks at nominal income, the plan appears to improve.

If the retiree looks at real income, the plan may show a decline.

This does not automatically mean the plan fails. It means the retiree needs to decide whether the later income is enough for expected expenses.

Questions to Ask About Inflation

For each phase, ask:

What is the nominal monthly income?

What is the real monthly income?

Does real income remain above the essential floor?

Which income sources adjust with inflation?

Which income sources are fixed?

Are healthcare costs rising faster than general inflation?

What happens if inflation is higher than expected?

What happens if investment returns are lower at the same time?

Does the plan still work if it is extended by five or ten years?

Is any decline in real income intentional?

These questions help keep inflation connected to the retirement income plan.

Chapter Summary

Inflation changes what retirement income can buy.

A plan should show nominal income and real income. Nominal income shows future dollars. Real income shows future purchasing power in today's terms.

Inflation affects fixed income, portfolio withdrawals, healthcare costs, cash reserves, and long retirement timelines. Some income sources may adjust with inflation. Others may not. A plan that looks stable in dollars may become weaker in real spending power.

Falling real income is not always wrong, but it should be intentional. Rising nominal income is not always enough, because future dollars may buy less.

The next chapter looks at checking the plan from several angles at once, because income, taxes, healthcare, balances, and inflation all need to be reviewed together.

Chapter 7 — Checking the Plan From Several Angles

A retirement plan can look strong from one angle and weak from another.

It may produce enough monthly income but rely too heavily on portfolio withdrawals.

It may keep taxes low this year but create future required minimum distribution pressure.

It may preserve a large ending balance but leave the retiree with less income than the plan could support.

It may survive to the planned end age but allow real income to fall too far.

It may use low tax brackets efficiently but increase healthcare costs.

This is why a retirement plan should be reviewed from several angles at once.

No single number can tell the whole story.

Monthly income matters. Ending balance matters. Taxes matter. Healthcare costs matter. Inflation matters. Account mix matters. Stress testing matters. The strongest review looks at how these pieces interact.

The goal is not to create a perfect score. The goal is to find the areas that need attention before the plan is relied on.

Why One Good Number Is Not Enough

It is tempting to look for one number that answers the retirement question.

A savings target.

A withdrawal rate.

A monthly income number.

A probability of success.

A final balance.

Each of these can be useful, but each is incomplete.

A high final balance may look safe, but the retiree may be underspending or relying on unrealistic return assumptions.

A low tax bill may look efficient, but the retiree may be missing a chance to reduce future RMD pressure.

A strong monthly income figure may look comfortable, but it may depend on withdrawals that weaken later phases.

A low withdrawal rate may look conservative, but it may not produce enough income for the life the retiree wants.

A high probability score may look reassuring, but it may hide healthcare or tax issues that matter in real life.

A retirement plan should be checked like a system, not judged by one output.

The Main Areas to Review

A practical retirement review should cover several categories.

The exact categories can vary, but the following areas are a strong starting point:

- Income adequacy
- Real income and inflation
- Ending balances
- Tax bracket efficiency
- ACA and healthcare sensitivity
- IRMAA exposure
- Required minimum distribution pressure
- Withdrawal sustainability
- Stress test resilience
- Account mix and flexibility

These areas overlap. That is the point.

A change that improves one area may weaken another. Increasing traditional withdrawals may improve current income and reduce future RMD pressure, but it may increase tax or healthcare costs. Using Roth money may protect taxable income, but it may reduce future tax-free flexibility. Holding more cash may improve short-term safety but reduce long-term growth.

The review should help you see the tradeoff.

Income Adequacy

The first question is basic:

Does the plan produce enough income?

This should be checked by phase, not only across the whole retirement.

For each phase, ask:

Is net monthly income positive?

Does it cover essential expenses?

Does it support the intended lifestyle?

Does income fall too sharply later?

Does reliable income cover the income floor?

How much depends on flexible withdrawals?

A plan that produces strong average income may still have a weak phase. The years before Social Security or Medicare are common trouble spots. Later years can also weaken if inflation reduces purchasing power or if withdrawals are reduced too sharply.

Income adequacy should include net income and real income.

Gross income alone is not enough.

Real Income and Inflation

A plan should show whether purchasing power holds up.

If nominal income rises but real income falls, the retiree may feel poorer over time. If real income falls below the essential income floor, the plan may need adjustment.

This does not mean real income must stay perfectly level.

Some retirees intentionally spend more in early retirement and less later. Others want a stable income floor. Some expect certain expenses to decline. Others expect healthcare costs to rise.

The important question is whether the income pattern matches the retiree's actual spending expectations.

Ask:

Is any decline in real income intentional?

Are essential expenses still covered?

Are healthcare costs included?

Does the plan still work if inflation is higher?

Which income sources adjust with inflation?

Which are fixed?

Inflation is often less visible than taxes or withdrawals, but it can be just as important over a long retirement.

Ending Balances

The ending balance tells you what remains for the next phase.

A phase may produce enough income but leave the next phase too weak. Another phase may preserve a large balance but provide less income than the retiree could reasonably use.

Ending balances should be reviewed in context.

Ask:

Is the ending balance positive?

Is it large enough to support the next phase?

Is the decline planned?

Does the balance depend on optimistic growth assumptions?

Does the plan still work under lower return assumptions?

What account types make up the ending balance?

A \$300,000 balance in a traditional IRA is not the same as \$300,000 split among Roth, cash, taxable brokerage, and traditional accounts. Account mix affects future tax flexibility.

The ending balance is not only about how much remains. It is also about where the money remains.

Tax Bracket Efficiency

Tax bracket efficiency means reviewing whether taxable income is being managed sensibly across the retirement timeline.

The goal is not to pay the lowest possible tax every year. The goal is to avoid unnecessary tax pressure and make good use of lower-income years when appropriate.

Ask:

Are there years with unused low tax bracket space?

Are there years when taxable income jumps sharply?

Could earlier withdrawals or Roth conversions reduce future RMD pressure?

Is income being pushed into higher brackets unnecessarily?

Does Social Security taxation change the effective tax cost of withdrawals?

Does the plan rely too heavily on pre-tax accounts later?

Low taxable income is not always good. High taxable income is not always bad. The question is whether taxable income is being shaped intentionally.

A retiree may choose to pay some tax earlier to reduce pressure later. Another may choose to keep income low to preserve healthcare benefits. Both can be valid depending on the plan.

ACA and Healthcare Sensitivity

Healthcare costs can change the effect of income decisions.

Before Medicare, retirees using ACA marketplace coverage may need to manage income carefully. Traditional withdrawals, capital gains, Roth conversions, rental income, and part-time income may affect MAGI.

Ask:

Which phases occur before Medicare?

Is ACA coverage being used?

Is income near a level that affects premium assistance?

Is cost-sharing reduction eligibility important?

Would a different account source reduce healthcare cost pressure?

Is the plan using low tax bracket space at the cost of healthcare assistance?

The answer may involve compromise.

A retiree may intentionally keep income lower during ACA years and address tax planning later. Another may accept higher healthcare costs to reduce future RMD pressure. Another may use cash or Roth funds to balance both goals.

The review should make the choice visible.

IRMAA Exposure

After Medicare begins, higher income can create Medicare premium surcharges through IRMAA.

A plan should check whether taxable income is near IRMAA thresholds, especially in years with Roth conversions, large withdrawals, capital gains, or RMDs.

Ask:

Which phases occur after Medicare begins?

Is income close to an IRMAA threshold?

Could Roth conversions or capital gains trigger surcharges?

Will future RMDs increase Medicare costs?

Is crossing the threshold worth the benefit of the transaction?

Can income be spread across years?

IRMAA should not always prevent action. Sometimes crossing a threshold may be acceptable. The issue is whether the retiree knows the cost before making the decision.

Required Minimum Distribution Pressure

Traditional retirement accounts can create future taxable income when RMDs begin.

A plan should review whether the traditional account balance is likely to create large required withdrawals later.

Ask:

How large are traditional account balances before RMD age?

Will RMDs exceed spending needs?

Will RMDs increase taxes or Medicare costs?

Are there low-income years before RMDs that could be used for withdrawals or Roth conversions?

Is the plan preserving too much pre-tax money without reviewing the future effect?

RMD pressure is not automatically a problem. Large RMDs may be manageable if the retiree has enough spending need, charitable giving plans, or tax capacity. But if RMDs create unnecessary tax or IRMAA exposure, earlier planning may help.

Withdrawal Sustainability

Withdrawal sustainability asks whether the planned withdrawals are reasonable given the account balances, growth assumptions, plan length, and income needs.

This is different from asking whether one year works.

A withdrawal can be affordable in the current year and still be too high over the full timeline.

Ask:

What percentage of the portfolio is being withdrawn?

Does the percentage rise over time?

Is the withdrawal adjusted for inflation?

Does the plan depend on strong market returns?

Does reliable income reduce the portfolio burden later?

Is the withdrawal strategy fixed, variable, or rule-based?

A sustainable withdrawal strategy should fit the retiree's goals. Some retirees want steady income. Others are comfortable adjusting spending. Some want to preserve assets. Others plan to spend down.

The review should judge the withdrawal strategy against the intended plan, not against one universal rule.

Stress Test Resilience

A plan should be tested under less favorable assumptions.

Stress testing does not mean predicting disaster. It means checking whether the plan can tolerate conditions that are worse than expected.

Useful stress tests include:

- Lower investment returns
- Higher inflation
- Higher healthcare costs
- Longer life expectancy
- Lower Social Security or pension income
- Larger one-time expenses
- Earlier market losses
- Reduced part-time income
- Currency changes for expats

Ask:

Which phase becomes weak first?

Does the ending balance remain positive?

Does real income stay above the essential floor?

Does the plan still avoid major tax or healthcare problems?

What adjustment would help most?

A plan that only works under optimistic assumptions may need more flexibility.

Account Mix and Flexibility

The total balance matters, but the account mix also matters.

A retiree with all assets in pre-tax accounts has less tax flexibility than someone with a mix of traditional, Roth, cash, and taxable brokerage assets.

A retiree with no cash reserve may be forced to sell investments during a market downturn.

A retiree with no Roth money may have fewer options for tax-sensitive years.

A retiree with too much cash may lose purchasing power over time.

Ask:

How much is in traditional pre-tax accounts?

How much is in Roth accounts?

How much is in cash?

How much is in taxable brokerage?

Which accounts are being used in each phase?

Does the account mix support tax and healthcare flexibility?

Will the mix be stronger or weaker later?

A strong retirement plan is not only about total assets. It is about usable assets.

Green, Amber, and Red Thinking

A simple way to review a plan is to think in green, amber, and red.

Green means the area looks workable under the current assumptions.

Amber means the area deserves review.

Red means the area needs attention before the plan is relied on.

This does not mean the plan is good or bad as a whole. A plan may have mostly green checks and one amber issue. That amber issue may be acceptable, or it may point to an easy improvement.

A red issue does not mean retirement is impossible. It means the plan needs adjustment, more information, or a different assumption.

This kind of review helps reduce overwhelm.

Instead of trying to judge the whole plan at once, you can ask:

Which areas are green?

Which areas need review?

Which areas need action?

Then you can work through them one at a time.

How the Planner Uses Plan Health Checks

The companion planner includes a Plan Health Score designed to review several parts of the plan together.

The score is not meant to replace judgment. It is a starting point for review.

The purpose is to make issues easier to see while you adjust the plan.

If you change a withdrawal, the score can update. If you change a tax setting, the score can update. If you extend the plan end age, the score can update. If a phase becomes weaker, the score can flag the area that needs attention.

This creates a useful planning rhythm:

Change one assumption.

Review the result.

Check which areas improved or worsened.

Decide whether the tradeoff is acceptable.

A health score is most useful when it leads to better questions.

For example:

Why did tax efficiency weaken?

Which phase caused the warning?

Did the change improve income but reduce the ending balance?

Did healthcare costs rise because income crossed a threshold?

Would a different account source solve the issue?

The score points you toward the review. You still decide what to do.

Avoiding Score Chasing

A plan health score can be helpful, but it should not become the goal by itself.

The goal is not to make every indicator green at any cost.

A retiree may intentionally accept an amber warning because it supports a personal goal. For example, they may spend more in early retirement while they are healthy enough to travel. They may choose to cross an IRMAA threshold for a large Roth conversion. They may plan a controlled drawdown rather than preserving a large legacy balance.

Those choices can be reasonable.

The important question is whether the tradeoff is understood.

Do not chase a score blindly.

Use the score as a review tool.

A plan can be mathematically neat and personally wrong. It can also have a warning that is perfectly acceptable once the retiree understands it.

Reviewing Changes One at a Time

When improving a retirement plan, change one major assumption at a time where possible.

If you change retirement age, Social Security timing, withdrawal amounts, investment returns, inflation, health-care costs, and Roth conversions all at once, it becomes difficult to know which change caused which result.

A better approach is:

Start with a baseline.

Change one item.

Review income, taxes, healthcare, ending balances, and plan health.

Save the result if it is useful.

Then test the next change.

This approach makes the planning process more understandable.

It also makes it easier to compare scenarios.

Baseline, Improved, and Conservative Scenarios

A strong review often uses more than one scenario.

The baseline scenario shows the plan as currently expected.

The improved scenario shows a version with adjustments that appear helpful.

The conservative scenario shows the plan under more cautious assumptions.

For example:

Baseline: retire at 62, claim Social Security at 67, use current spending assumptions.

Improved: adjust withdrawals to use tax brackets more efficiently and reduce future RMD pressure.

Conservative: lower investment returns, higher inflation, and higher healthcare costs.

These scenarios help separate preference from risk.

If the baseline works but the conservative scenario fails, the plan may need flexibility. If both work, confidence may improve. If the improved scenario creates tax or healthcare issues, the adjustment may need to be smaller.

Scenario comparison helps you avoid relying on one version of the future.

The Review Order

A practical review order might look like this:

Check that each phase has positive net income.

17. Check that real income remains acceptable.
18. Check ending balances from phase to phase.
19. Review tax bracket position.
20. Review ACA or healthcare-sensitive years.
21. Review Medicare and IRMAA exposure.
22. Review future RMD pressure.
23. Review withdrawal sustainability.
24. Stress test the plan.
25. Review account mix and flexibility.

This order is not mandatory. It simply helps organize the work.

The important point is to avoid stopping after the first good result.

A retirement plan deserves a multi-angle review.

Example: A Plan With Good Income but Weak Later Balances

Suppose a retiree builds a plan that produces \$5,000 per month from age 62 through age 80.

At first, the plan looks good. The income target is met.

But the ending balance falls sharply by age 70, and later real income is supported by a much smaller portfolio.

The review might show:

Income adequacy: green

Real income: amber

Ending balance: amber or red

Tax efficiency: acceptable

Healthcare: acceptable

Stress test: weak

The issue is not current income. The issue is whether the income level is too high for the portfolio under realistic assumptions.

Possible adjustments might include:

- Lower early discretionary spending
- Delay retirement
- Add part-time income
- Claim Social Security earlier or later, depending on the tradeoff
- Use a variable withdrawal strategy
- Reduce investment risk later
- Extend the plan review to a longer age

The review points to the problem more clearly than a single monthly income number would.

Example: A Plan With Low Taxes but Future RMD Pressure

Now suppose a retiree uses cash and Roth withdrawals from age 62 to 67. Taxable income stays very low.

That may be useful, especially if ACA coverage is involved.

But the traditional IRA continues to grow. By the time RMDs begin, taxable income rises sharply.

The review might show:

Current tax: green

ACA years: green

Future RMD pressure: amber or red

IRMAA exposure: amber

Account mix: weaker over time

This does not mean the early strategy is wrong. It means there is a tradeoff.

The retiree might test modest traditional withdrawals or Roth conversions in the low-income years. They might decide ACA savings are more important. They might use a partial approach.

The plan health review helps identify the tension.

Example: A Plan With Strong Balance but Low Lifestyle

A retiree may build a very conservative plan that leaves a large ending balance in every phase.

The stress test looks strong. The ending balance is high. Taxes are low.

But the retiree's net income is lower than desired, and discretionary spending is much tighter than necessary.

The review might show:

Ending balance: green

Stress test: green

Income adequacy: amber

Lifestyle support: amber

This plan may be too cautious for the retiree's actual goals.

Possible adjustments might include:

- Increase withdrawals modestly
- Spend more in early retirement
- Reduce investment risk while keeping income similar
- Retire earlier
- Give more during life
- Preserve the surplus intentionally

A strong plan is not always the one with the highest remaining balance. It is the one that best supports the retiree's goals with acceptable risk.

Questions to Ask During a Full Plan Review

Use these questions when reviewing a plan:

Does each phase produce enough net income?

Does real income remain acceptable after inflation?

Which phase has the weakest ending balance?

Which phase has the highest tax pressure?

Are low-income years being used intentionally?

Are ACA years being protected where needed?

Is the plan close to any IRMAA thresholds?

Will RMDs create future income pressure?

Does the withdrawal strategy fit the retiree's goals?

Does the plan survive lower-return assumptions?

Does the account mix provide flexibility?

Is the retiree underspending out of fear?

Is any warning acceptable because it supports a personal goal?

What single change would improve the plan most?

These questions turn the review into a practical process.

Chapter Summary

A retirement plan should be checked from several angles.

Income, taxes, healthcare costs, inflation, ending balances, account mix, withdrawal sustainability, RMD pressure, and stress testing all matter. A plan that looks good in one area may need attention in another.

A plan health review helps organize the tradeoffs. Green areas show what appears workable. Amber areas deserve review. Red areas need attention before relying on the plan. The purpose is not to chase a perfect score. The purpose is to understand the plan clearly enough to make better decisions.

The next chapter looks at withdrawal strategies, because once the plan is checked from several angles, the next question is how to choose a spending approach that fits the retiree's goals.

Chapter 8 — Comparing Withdrawal Strategies

A retirement income plan needs a withdrawal strategy.

The strategy does not have to be complicated. It does not have to be perfect. But it should be intentional.

Without a strategy, withdrawals can become reactive. A retiree may take more when the portfolio looks strong, reduce spending only after losses, avoid withdrawals out of fear, or follow a rule that does not fit their actual timeline.

A withdrawal strategy gives the plan structure.

It helps answer questions like these:

How much can I take from my portfolio?

Should withdrawals rise with inflation?

Should spending adjust when markets change?

Should I protect essential income first?

Should I spend down assets deliberately?

Should withdrawals change as I get older?

How much flexibility do I need?

Different strategies answer those questions in different ways.

There is no single withdrawal rule that fits everyone. The right approach depends on income sources, account mix, risk tolerance, tax planning, healthcare sensitivity, life expectancy, spending flexibility, and personal goals.

This chapter reviews several common approaches and how to think about them inside a phase-based retirement plan.

Why Withdrawal Strategy Matters

In working years, income usually comes from employment. Spending is limited by paychecks, savings habits, and household budgeting.

In retirement, income may come from several sources:

- Social Security
- Pensions
- Traditional retirement accounts
- Roth accounts
- Cash savings
- Taxable brokerage accounts
- Annuities
- Rental income
- Part-time work

The retiree often has to decide how much to draw from flexible assets and when to draw it.

That decision affects taxes, healthcare costs, future balances, and long-term risk.

A withdrawal strategy helps organize the decision.

It does not remove uncertainty. Markets still change. Inflation still changes. Tax rules change. Healthcare costs change. Personal needs change.

But a strategy gives you a starting rule and a way to adjust.

The 4% Rule

The 4% rule is one of the most widely known retirement withdrawal guidelines.

In its common form, it suggests withdrawing 4% of the starting portfolio balance in the first year of retirement, then increasing that dollar amount each year for inflation.

For example, a \$500,000 portfolio would start with a \$20,000 annual withdrawal, or about \$1,667 per month before taxes. In later years, the withdrawal would rise with inflation.

The appeal of the 4% rule is its simplicity.

It gives the retiree a starting point. It connects spending to portfolio size. It includes inflation adjustments. It is easy to understand.

But it also has limits.

The 4% rule does not know your tax situation. It does not know whether Social Security starts in five years. It does not know whether you need ACA marketplace insurance before Medicare. It does not know whether you have a Roth account, a pension, rental income, or a planned relocation abroad. It does not know whether you want to spend down by age 85 or preserve assets to age 100.

The 4% rule can be useful as a reference point, but it should not replace a full plan.

When the 4% Rule Can Help

The 4% rule can help when you need a quick estimate.

It can answer:

What would a conservative starting withdrawal look like?

Is my desired spending far above or below a traditional rule of thumb?

How much income might this portfolio support before taxes?

It can also provide a benchmark against other strategies.

If your planned withdrawals are much higher than 4%, you may need to understand why. Maybe you have Social Security starting soon. Maybe you have a short planning horizon. Maybe you are deliberately spending down. Maybe you have a pension that covers essentials. Or maybe the withdrawal level is too aggressive.

If your planned withdrawals are much lower than 4%, that may be conservative. It may also mean you have room to spend more, retire earlier, reduce risk, or preserve assets intentionally.

The 4% rule is a comparison tool.

It is not the plan by itself.

Variable Percentage Withdrawal

Variable Percentage Withdrawal, often shortened to VPW, uses a different idea.

Instead of taking a fixed inflation-adjusted dollar amount, the retiree withdraws a percentage of the current portfolio balance. The percentage can change with age or remaining planning horizon.

As the retiree gets older and the remaining time horizon shortens, the percentage may rise.

This can create a spending path that adjusts naturally to both age and portfolio performance.

If the portfolio does well, withdrawals may rise. If the portfolio falls, withdrawals may fall. This helps reduce the risk of draining the portfolio too quickly, but it also means income can vary.

VPW may fit retirees who are comfortable with flexible spending.

It may be less comfortable for retirees who need stable income for essential expenses.

The Strength of VPW

The main strength of VPW is adaptability.

A fixed withdrawal strategy can keep spending steady even when the portfolio is under pressure. That can be comforting in the short run but risky if the withdrawals remain too high for too long.

VPW responds to the portfolio.

If the portfolio declines, the withdrawal amount adjusts downward. If the portfolio grows, the withdrawal amount can increase.

This can make VPW useful for discretionary spending.

For example, a retiree may cover essential expenses with Social Security, pension income, cash reserves, or conservative withdrawals. Then they may use a VPW-style approach for travel, gifts, upgrades, or optional spending.

This separates the income floor from lifestyle flexibility.

The Weakness of VPW

The weakness of VPW is income variability.

If the portfolio falls, the withdrawal amount falls. That may be reasonable for discretionary spending, but it can be stressful if the withdrawal is needed for essential expenses.

A retiree using VPW should ask:

Which expenses can adjust if the withdrawal falls?

Is there reliable income for essentials?

Is there a cash reserve to smooth bad years?

Would a guardrail approach feel more comfortable?

Is the retiree willing to spend more when markets are strong and less when markets are weak?

VPW works best when the retiree accepts that income is meant to move.

Guardrails

A guardrail strategy starts with a planned withdrawal and then adjusts spending when the portfolio moves too far from the expected path.

The idea is to set boundaries.

If the portfolio performs well, withdrawals may increase. If the portfolio performs poorly, withdrawals may be reduced. Between those boundaries, spending may remain relatively stable.

Guardrails can provide a balance between fixed withdrawals and fully variable withdrawals.

The retiree does not have to adjust spending every year based on every market move. But the plan still has rules for responding when conditions change enough to matter.

This can be useful for retirees who want stability but are willing to make adjustments when needed.

Guardrails in Practice

A guardrail strategy might include rules such as:

- Increase spending after strong portfolio growth
- Freeze inflation increases after weak returns
- Reduce discretionary spending if the withdrawal rate rises too high
- Recheck the plan when the balance falls below a certain level
- Avoid large increases after one unusually good year

The exact rules can vary.

The important point is that adjustments are planned before emotions take over.

During a strong market, a retiree may be tempted to spend too freely. During a weak market, they may panic and cut too deeply. Guardrails provide a middle path.

They help the retiree respond to conditions without reinventing the plan every year.

The Bucket Strategy

The bucket strategy divides assets by time horizon or purpose.

A simple version might use three buckets:

Bucket 1: Cash or near-cash

Used for short-term spending, emergencies, and market downturn protection.

Bucket 2: Conservative or moderate investments

Used for medium-term spending needs.

Bucket 3: Growth investments

Used for long-term growth and inflation protection.

The purpose is to avoid selling long-term growth investments during a bad market period.

If markets fall, the retiree can draw from Bucket 1 while giving Bucket 3 time to recover.

The bucket strategy can be psychologically helpful because it gives each part of the portfolio a job.

Strengths and Limits of Buckets

The strength of the bucket strategy is clarity.

It helps answer:

Which money pays bills soon?

Which money supports the next several years?

Which money is invested for later?

This can reduce anxiety during market downturns.

But buckets still require maintenance.

Cash must be replenished. Investments must be rebalanced. Withdrawals must still be sustainable. Taxes still matter. Healthcare thresholds still matter. A bucket structure does not automatically solve the full retirement plan.

Buckets are a useful organization method, not a complete answer by themselves.

Floor and Upside Strategy

A floor and upside strategy separates essential income from optional spending.

The income floor covers necessary expenses. This may come from Social Security, pensions, annuities, cash reserves, conservative withdrawals, or a mix of sources.

The upside portion supports discretionary spending. This may come from investments, variable withdrawals, brokerage accounts, Roth accounts, or other flexible assets.

This approach can be useful because essential and discretionary spending do not have the same risk tolerance.

A retiree may want high confidence that housing, food, utilities, healthcare, and insurance are covered. They may be willing to let travel, gifts, hobbies, and upgrades vary with portfolio performance.

The floor and upside strategy works well when the retiree knows the difference between needs and wants.

Building the Income Floor

To use a floor and upside approach, start by identifying essential expenses.

These might include:

- Housing
- Food
- Utilities
- Insurance
- Healthcare
- Transportation
- Basic taxes
- Required debt payments

- Other non-negotiable costs

Then identify reliable income:

- Social Security
- Pensions
- Annuities
- Rental income, if reliable
- Other stable income sources

Compare the two.

If reliable income covers essential expenses, the plan may have a strong floor. If it does not, the portfolio must cover the gap.

That gap should be reviewed carefully.

A retiree may choose to buy annuity income, hold more cash, reduce fixed expenses, work part-time, delay retirement, or use a conservative withdrawal plan to support the floor.

Once the floor is covered, the remaining portfolio can be used more flexibly for upside spending.

Fixed Dollar Withdrawals

A fixed dollar withdrawal strategy takes the same dollar amount each period, sometimes with inflation adjustments and sometimes without.

This approach is simple and predictable.

A retiree might withdraw \$3,000 per month from investments and adjust that amount each year based on inflation.

The benefit is stability.

The risk is that withdrawals may not respond quickly enough to portfolio conditions.

If the portfolio declines, the fixed withdrawal may become too large as a percentage of remaining assets. If the portfolio grows, the retiree may be able to spend more but may not realize it.

Fixed withdrawals can work well when the withdrawal amount is conservative or when reliable income covers most essentials.

They need more careful review when the portfolio carries a large share of required spending.

Percentage-of-Portfolio Withdrawals

A percentage-of-portfolio strategy withdraws a fixed percentage of the current portfolio value each year.

For example, the retiree might withdraw 4%, 5%, or another chosen percentage of the current balance.

This automatically adjusts to portfolio performance.

If the portfolio rises, the withdrawal rises. If the portfolio falls, the withdrawal falls.

The advantage is that the portfolio is less likely to be exhausted quickly because withdrawals shrink when the balance shrinks.

The disadvantage is that income can be unstable.

This approach may work better for discretionary spending than for essential expenses.

Spending Down by Design

Some retirees want the portfolio to last indefinitely or preserve a large legacy balance.

Others are comfortable spending down assets over a defined period.

A planned spend-down strategy can be reasonable if the retiree has reliable income later, no strong legacy goal, and a clear plan end age.

For example, a retiree may plan to use portfolio assets heavily from 62 to 67 while waiting for Social Security and pensions. After reliable income begins, the portfolio withdrawal need may fall.

Another retiree may plan to draw down assets gradually to age 90, accepting that the balance will decline.

The important distinction is planned drawdown versus accidental depletion.

A planned drawdown shows:

- How much is expected to be spent
- How long the assets are expected to last
- What income remains afterward
- What risks could disrupt the plan
- Whether essential spending is protected

A spend-down strategy should be tested under lower returns, higher inflation, and longer life assumptions.

Matching Strategy to Personality

A withdrawal strategy should fit the retiree's temperament.

Some people want stable income and dislike changing spending. They may prefer fixed withdrawals, a strong income floor, or guaranteed income sources.

Some people are flexible and comfortable adjusting spending. They may prefer VPW, percentage withdrawals, or guardrails.

Some people are anxious about markets. They may prefer a bucket strategy, larger cash reserve, or lower withdrawal rate.

Some people dislike leaving large unused balances. They may prefer planned drawdown.

Some people want to leave assets to family or charity. They may prefer lower withdrawals and more preservation.

The best strategy is not only mathematically acceptable. It must also be usable.

A strategy that looks good on paper but makes the retiree anxious may fail in practice.

Matching Strategy to Income Sources

The right withdrawal strategy also depends on income sources.

A retiree with strong Social Security and pension income may have more flexibility with portfolio withdrawals because essential expenses are partly covered.

A retiree relying heavily on investments for essentials may need a more conservative or structured strategy.

A retiree with large Roth balances may have more tax flexibility.

A retiree with most assets in a traditional IRA may need more tax planning.

A retiree with rental income may have another income layer but also additional risk and tax complexity.

A retiree living abroad may need to consider currency and local cost-of-living changes.

Withdrawal strategy should be matched to the actual income mix.

Matching Strategy to Tax Planning

Withdrawal strategy and tax planning should work together.

For example, a pure percentage withdrawal strategy may not fit perfectly with tax bracket management. A retiree may want to withdraw more from a traditional IRA in a low-income year to use bracket space, then less later.

A bucket strategy may need to account for which account type holds which bucket. Cash in a taxable account is different from cash inside an IRA. Selling investments in a taxable account may create capital gains. Withdrawing from a traditional account may increase ordinary income.

A floor and upside strategy may use different tax sources for different layers of spending.

Tax planning can affect:

- Which account is used first
- Whether Roth conversions are done
- How capital gains are realized
- Whether withdrawals are spread across years
- How RMDs are managed
- Whether ACA or IRMAA thresholds are protected

A withdrawal strategy should not ignore taxes.

Matching Strategy to Healthcare Planning

Healthcare-sensitive years can also affect withdrawal strategy.

Before Medicare, a retiree using ACA coverage may want to manage MAGI. That may influence whether spending comes from traditional accounts, Roth accounts, cash, or taxable brokerage.

After Medicare begins, IRMAA thresholds may influence Roth conversions, capital gains, and traditional withdrawals.

This can create tension between withdrawal strategy and healthcare cost management.

For example, a retiree may want to use a traditional IRA withdrawal to fill a low tax bracket. But if doing so reduces ACA support, the net benefit may be smaller.

Another retiree may want to do a large Roth conversion after Medicare begins. But if it triggers IRMAA, the total cost may be higher.

The withdrawal strategy should account for these thresholds.

How the Planner Helps Compare Strategies

The companion planner includes a Drawdown Strategy Comparison view designed to help compare different withdrawal approaches against the user's own plan.

This is important because withdrawal strategies can sound reasonable in isolation but behave differently once taxes, healthcare, account balances, and income sources are included.

A strategy comparison can help answer:

How does my current plan compare with a 4% rule benchmark?

What would a variable percentage approach suggest?

Does a bucket strategy fit my timeline?

Would a floor and upside approach better separate essentials from discretionary spending?

Would guardrails help manage market risk?

Does my planned withdrawal pattern look too aggressive or too conservative?

The point is not to choose a rule mechanically. The point is to compare several approaches and understand the tradeoffs.

Reading a Strategy Comparison

When comparing strategies, do not look only at the highest income.

Higher income may come with greater risk.

Instead, review:

- Starting income
- Later income
- Real income after inflation
- Ending balance
- Portfolio survival
- Income variability
- Tax impact
- Healthcare impact
- Stress test result
- Fit with essential spending
- Fit with personal comfort

A lower-income strategy may be stronger if it protects the plan. A higher-income strategy may be acceptable if the retiree has flexible spending and understands the risk.

The best comparison is not simply which strategy pays most. It is which strategy fits the plan.

Example: 4% Rule Versus VPW

Consider a retiree with a \$600,000 portfolio.

A 4% rule approach might start with \$24,000 per year, adjusted for inflation. This provides stability.

A VPW approach might suggest a different amount depending on age and remaining time horizon. It may allow more spending later as the horizon shortens, or it may reduce spending after poor returns.

The 4% rule may feel safer because income is predictable.

VPW may feel more efficient because it adapts.

The right choice depends on the retiree.

If essential expenses depend heavily on the portfolio, the retiree may prefer stability. If essential expenses are covered by Social Security and pensions, the retiree may be comfortable using VPW for discretionary spending.

Example: Guardrails for Travel Spending

Suppose a retiree has essential expenses covered by Social Security and a modest pension.

They want to use investments for travel.

A guardrail strategy might work well.

The retiree sets a travel budget based on portfolio performance. If the portfolio remains above a target level, travel spending continues or increases. If the portfolio falls below a guardrail, travel spending is reduced for a year.

This allows flexibility without threatening essential expenses.

The retiree does not need to cancel the entire retirement plan after a bad market year. They only adjust the discretionary layer.

This is a practical use of guardrails.

Example: Buckets During Early Retirement

A retiree leaves work at 62 and plans to claim Social Security at 67.

The five-year bridge period is important.

A bucket strategy may hold several years of spending in cash or conservative assets, reducing the need to sell growth investments during a downturn.

The longer-term bucket remains invested for later retirement.

This can help the retiree feel more comfortable during the early years, especially if markets are volatile.

But the plan still needs review.

The cash bucket must be large enough to help, but not so large that long-term growth suffers. Withdrawals still need to be tax-aware. Healthcare thresholds still matter.

Buckets are useful, but they still need to fit the full plan.

Choosing a Primary Strategy

A retiree does not have to use only one strategy.

Many strong plans combine methods.

For example:

- Use reliable income for the floor
- Use cash for near-term stability
- Use guardrails for discretionary spending
- Use Roth withdrawals for tax-sensitive years
- Use traditional withdrawals to manage brackets
- Use VPW for optional spending from investments
- Use scenario reviews to update the plan annually

The practical question is:

What is the main rule for each layer of spending?

Essential spending may need one rule. Discretionary spending may use another. Tax planning may influence account selection. Healthcare thresholds may influence timing.

The more clearly each income layer is defined, the easier the strategy becomes to manage.

Updating the Strategy Over Time

A withdrawal strategy should be reviewed regularly.

Retirement changes.

Markets move. Inflation changes. Healthcare costs change. Tax rules change. Social Security begins. RMDs begin. Spending patterns change. A spouse may retire, claim benefits, or pass away. A relocation may change costs.

A strategy that fits at 62 may need adjustment at 67. A strategy that fits before Medicare may need revision after Medicare begins. A strategy that fits before RMDs may need review once RMDs start.

At least once a year, ask:

Is the withdrawal amount still reasonable?

Has the portfolio changed enough to adjust spending?

Are taxes still manageable?

Are healthcare thresholds still protected where needed?

Does real income still cover the floor?

Does the ending balance still support later phases?

Should the strategy become more conservative or more flexible?

Withdrawal strategy is not a one-time decision. It is part of ongoing plan maintenance.

Questions to Ask When Comparing Strategies

When comparing withdrawal strategies, ask:

Does this strategy cover essential expenses?

How stable is income?

How flexible does spending need to be?

What happens after a market decline?

Does the strategy adjust for inflation?

Does it preserve enough ending balance?

Does it create tax problems?

Does it affect ACA or IRMAA thresholds?

Does it reduce or increase future RMD pressure?

Does it fit the retiree's comfort level?

Does it support planned travel, gifts, relocation, or legacy goals?

Can it be followed during stressful markets?

These questions are more useful than asking which strategy is best in general.

Chapter Summary

A withdrawal strategy gives structure to retirement income.

The 4% rule offers a simple benchmark. VPW adjusts withdrawals based on portfolio value and remaining horizon. Guardrails provide rules for increasing or reducing spending. Buckets organize assets by time horizon. Floor and upside strategies separate essential income from discretionary spending. Fixed and percentage withdrawals offer different balances of stability and flexibility.

No single strategy fits every retiree.

A good withdrawal strategy should match the retiree's income sources, tax situation, healthcare concerns, inflation risk, account mix, spending flexibility, and personal comfort.

The planner's strategy comparison tools are useful because they let several approaches be reviewed against the same plan. The goal is not to choose the highest-income strategy. The goal is to choose a strategy that supports the life the retiree wants with risks they understand.

The next chapter looks at asking better questions about the plan, because once the numbers are organized and strategies are compared, the next step is knowing what to ask.

Chapter 9 — Asking Better Questions About Your Plan

A retirement plan becomes more useful when you know what to ask it.

Many people begin with broad questions:

Can I retire?

Will I have enough?

Is this a good plan?

Those questions are understandable, but they are too broad to guide action. A useful planning question should point toward something specific: a phase, an account, a risk, a threshold, a tradeoff, or a decision.

A better question might be:

Which phase has the weakest ending balance?

How much real income do I have after inflation?

Am I using low tax bracket space efficiently before required minimum distributions begin?

Could this withdrawal affect ACA healthcare costs?

Am I close to an IRMAA threshold?

Would delaying Social Security strengthen the later phases enough to justify larger early withdrawals?

What change would improve the plan without creating a new healthcare or tax problem?

These questions are more useful because they lead to review, comparison, and action.

The purpose of this chapter is to help you ask better questions about your retirement plan. This matters whether you use a spreadsheet, a financial advisor, a calculator, or the companion AI-Ready Retirement Income Planner.

The clearer the question, the more useful the answer.

Start With the Phase

The first way to improve a retirement question is to attach it to a phase.

Instead of asking:

Is my income enough?

Ask:

Is my income enough from age 62 to 65 before Medicare begins?

Or:

Does my real income remain acceptable after Social Security starts?

Or:

Does the plan become weaker when required minimum distributions begin?

Retirement is a timeline. The question should match the timeline.

A plan may be strong in one phase and weak in another. If the question does not identify the phase, the answer may be too general.

For each phase, ask:

What is this phase supposed to accomplish?

Which income sources are available?

Which risks apply?

What balance must remain for the next phase?

Which decision in this phase has the largest effect later?

Phase-based questions help prevent vague planning.

Ask About the Weakest Link

A retirement plan usually has a weakest link.

It may be a period before Medicare. It may be the years before Social Security begins. It may be future RMD pressure. It may be inflation-adjusted income late in life. It may be a low cash reserve. It may be high reliance on investment returns.

A useful review asks where the plan is most fragile.

Examples:

Which phase has the lowest real monthly income?

Which phase has the weakest ending balance?

Which assumption has the largest effect on the plan?

Which account runs down fastest?

Which year or phase creates the highest tax pressure?

Where does the plan first become uncomfortable under a lower-return assumption?

This style of question is useful because it identifies where attention should go first.

You do not need to fix every part of the plan at once. Start with the weakest area.

Ask About Tradeoffs, Not Just Outcomes

A retirement plan is full of tradeoffs.

Higher income today may reduce later balances.

Lower taxes this year may create higher taxable income later.

Keeping income low for ACA purposes may preserve healthcare assistance but leave traditional accounts growing.

Roth withdrawals may help control taxable income but reduce future tax-free flexibility.

Delaying Social Security may improve later income but require larger withdrawals during the bridge years.

A useful question should ask about the tradeoff.

Instead of asking:

Should I withdraw more?

Ask:

If I increase withdrawals in this phase, how does it affect tax, healthcare costs, and the ending balance for the next phase?

Instead of asking:

Should I do Roth conversions?

Ask:

How much Roth conversion room do I have before reaching a tax or healthcare threshold, and how would that affect future RMD pressure?

Instead of asking:

Should I delay Social Security?

Ask:

Does delaying Social Security improve later income enough to justify the portfolio withdrawals needed before claiming?

Tradeoff questions create better planning decisions.

Ask About Spendable Income

Gross income is not enough.

A good question should focus on spendable income.

Examples:

What is my net monthly income after taxes and healthcare costs in each phase?

Which phase has the lowest net income?

Does my net income cover essential expenses?

How much discretionary income remains after essential costs?

Does my spendable income change when Medicare begins?

Does my spendable income improve after Social Security starts?

If I increase a traditional IRA withdrawal, how much of the increase actually becomes spendable income?

This last question is especially important.

An extra \$1,000 of gross income may not produce \$1,000 of spendable income. Taxes, healthcare costs, and thresholds can reduce the benefit.

A good retirement plan should make that visible.

Ask About Real Income

Inflation can make future income look stronger than it feels.

That is why questions about real income matter.

Examples:

What is my real monthly income in each phase?

Does real income fall below my essential income floor?

Which income sources adjust for inflation?

Which income sources are fixed?

Does later-life income still support the lifestyle I expect?

What happens if inflation is 1% higher than assumed?

Does extending the plan to age 90 or 95 create a real income problem?

Real income questions are especially useful in later phases. A plan may look fine in future dollars but weaker in today's purchasing power.

Ask About the Income Floor

The income floor is the amount needed to cover essential expenses.

Questions about the floor help separate basic security from discretionary lifestyle.

Examples:

How much of my essential spending is covered by reliable income?

How much of the income floor depends on portfolio withdrawals?

Does the floor remain covered after inflation?

Does the floor remain covered if investment returns are lower?

What happens to the floor if one income source starts later than expected?

Does the surviving spouse still have enough income?

Could an annuity, pension decision, delayed Social Security, or cash reserve strengthen the floor?

These questions help clarify whether the plan's foundation is stable.

Ask About Taxes by Phase

Tax questions should be tied to timing.

Instead of asking whether taxes are low or high overall, ask how taxes change by phase.

Examples:

Which phase has the highest taxable income?

Which phase has unused low tax bracket space?

Am I staying within the 12% bracket, if that is my target?

When does Social Security taxation become significant?

Will future required minimum distributions push income higher than expected?

Would earlier traditional withdrawals reduce later tax pressure?

Would Roth conversions help before RMDs begin?

Does a conversion this year create a tax problem or fit within a reasonable bracket?

The purpose is to shape taxable income across the timeline, not simply minimize tax in the current year.

Ask About Healthcare Thresholds

Healthcare questions are essential in certain phases.

Before Medicare, ask:

Am I using ACA marketplace coverage in this phase?

What is my expected MAGI?

Could this withdrawal reduce premium assistance?

Could this income reduce cost-sharing reductions?

Which income sources affect MAGI?

Could cash, Roth, or brokerage withdrawals reduce healthcare cost pressure?

Would part-time income change the healthcare calculation?

After Medicare begins, ask:

Am I close to an IRMAA threshold?

Could Roth conversions trigger future Medicare surcharges?

Could capital gains or large withdrawals increase Medicare costs?

Will RMDs create IRMAA exposure later?

Is crossing a threshold worth the benefit of the transaction?

Healthcare questions are not separate from income planning. They are part of the income plan.

Ask About Account Order

The order in which accounts are used can affect taxes, healthcare costs, and flexibility.

Useful account-order questions include:

Which account should fund the early retirement bridge?

Should cash be used to manage MAGI?

Should Roth money be preserved for later?

Should traditional accounts be drawn earlier to reduce RMD pressure?

Should taxable brokerage assets be used before or after retirement accounts?

How much cash should remain as a reserve?

Does the account order preserve enough tax flexibility later?

A simple “spend this account first” rule may not be enough. Account order often changes by phase.

Ask About Social Security Timing

Social Security timing is one of the most important retirement decisions for many people.

Useful questions include:

What happens if I claim at 62?

What happens if I wait until full retirement age?

What happens if I delay to 70?

How much portfolio withdrawal is needed to delay?

Does delaying improve later real income?

Does claiming earlier protect the portfolio?

How does Social Security timing affect taxes?

How does it affect the surviving spouse, if applicable?

Does my health or life expectancy change the decision?

The answer is rarely based only on the monthly benefit. The bridge years matter. Taxes matter. Portfolio pressure matters. Personal comfort matters.

Ask About Roth Conversions

Roth conversion questions should be specific.

Weak question:

Should I convert to Roth?

Better questions:

How much conversion room do I have before reaching my target tax bracket limit?

Would a conversion affect ACA costs this year?

Would a conversion affect IRMAA later?

How would conversions before RMD age change future traditional account balances?

Is there enough cash to pay the conversion tax?

Would smaller annual conversions work better than one large conversion?

Which phase is best for conversions?

Does the conversion improve after-tax flexibility, or only move tax earlier?

Roth conversions can be useful, but they should be sized and timed.

Ask About Stress Testing

A plan should be questioned under less favorable assumptions.

Examples:

What happens if investment returns are lower?

What happens if inflation is higher?

What happens if both happen at the same time?

What happens if healthcare costs rise faster than expected?

What happens if I live five or ten years longer than planned?

What happens if part-time income stops?

What happens if I need a large one-time withdrawal?

Which phase fails first under stress?

What change would improve resilience most?

Stress testing questions help show whether the plan is robust or fragile.

Ask About Strategy Fit

Withdrawal strategies should be reviewed against the retiree's goals and temperament.

Useful questions include:

Does this strategy provide stable income?

Does it adjust when markets change?

Does it protect essential expenses?

Does it allow discretionary spending to vary?

Does it preserve enough ending balance?

Does it fit my comfort level?

Would I actually follow this strategy during a bad market?

Does the strategy coordinate with tax and healthcare planning?

A strategy is only useful if it can be followed.

Ask About What Changed

Whenever you change a plan, ask what changed.

This sounds obvious, but it is easy to miss.

If you increase a withdrawal, do not only look at income. Look at taxes, healthcare, ending balance, real income, account mix, and plan health.

If you delay Social Security, look at the bridge years and later years.

If you add a Roth conversion, look at tax, healthcare thresholds, Roth balance, traditional balance, and future RMD pressure.

If you change inflation, look at real income and ending balances.

Useful questions include:

What improved?

What worsened?

Which phase changed most?

Did the change create a new warning?

Is the tradeoff acceptable?

Would a smaller version of the change work better?

The goal is to understand the effect before accepting the change.

Building a Question List

A practical retirement review can start with a simple question list.

Here is a useful sequence:

11. Which phase is weakest?

- Does each phase cover essential expenses?
- Does real income hold up after inflation?
- Are ending balances strong enough for later phases?
- Am I using tax brackets intentionally?
- Are ACA or IRMAA thresholds a concern?
- Will RMDs create future pressure?
- Is the withdrawal strategy sustainable?
- What happens under lower returns or higher inflation?
- What single change improves the plan most?

This sequence helps turn a broad retirement review into a practical workflow.

Using the Planner's AI Chat

The companion AI-Ready Retirement Income Planner includes an optional AI Chat feature.

If you add your own Claude API key, you can ask questions about the plan you have entered. This is different from asking a general retirement question because the planner can include your plan details as context.

That makes the quality of the question important.

A vague question may produce a vague answer.

A specific question can produce a more useful review.

For example, instead of asking:

Is my retirement plan good?

Ask:

Which phase has the biggest risk, and what specific assumption causes it?

Instead of asking:

How can I save taxes?

Ask:

Do I have unused 10% or 12% bracket space before RMDs begin, and would using it create ACA or IRMAA problems?

Instead of asking:

Can I spend more?

Ask:

How much can I increase spending in Phase 2 before real income, ending balance, or plan health becomes weaker?

The AI Chat feature is most helpful when the question is tied to the plan structure.

One-Click Starters

The planner includes one-click starter prompts to help begin the review.

These are useful because they focus on common planning tasks:

1. Summarize and flag risks
2. Check tax bracket position
3. Review ACA and CSR concerns
4. Compare withdrawal strategy options
5. Propose optimizations
6. Review Roth conversion opportunities

These starters are designed to begin the conversation. They do not replace your judgment.

After using a starter, continue with follow-up questions.

For example:

Which recommendation matters most?

Which phase does this affect?

What would be the smallest useful change?

Would this create an ACA or IRMAA issue?

How does this affect the ending balance?

What if I want to preserve more Roth money?

What if I want higher income before age 70?

The best results often come from a sequence of questions, not one prompt.

Asking for Specific Changes

Once you understand the issue, you can ask for specific proposed changes.

Examples:

Propose changes that improve tax efficiency while keeping ACA eligibility intact.

Suggest a Roth conversion amount that stays within my target tax bracket.

Propose a withdrawal adjustment that improves late-life real income.

Suggest changes that improve the weakest phase without reducing the ending balance below my comfort level.

Compare using cash versus traditional withdrawals in the early retirement phase.

Suggest a more conservative version of this plan using lower return assumptions.

Specific change requests are helpful because they connect the answer to action.

The user should still review each suggestion. A suggested change is not automatically correct. It is a proposal to evaluate.

Keeping Control of the Plan

Asking better questions does not mean handing over control.

The plan belongs to the retiree.

A tool can organize numbers, run calculations, flag risks, compare scenarios, and suggest changes. It cannot know every personal preference, family issue, health concern, emotional comfort level, or long-term goal.

A useful question helps you understand the plan.

A useful answer gives you something to review.

The decision remains yours.

This is especially important with AI-assisted planning. AI can be helpful for summarizing, explaining, and proposing. It can also be wrong, incomplete, or too confident. Any suggestion should be checked against the actual numbers, current rules, and your own goals.

Use AI as a planning assistant, not as the decision-maker.

A Practical First Review

After entering a plan, a practical first review might look like this:

First, ask for a summary of the plan and the main risks.

Second, ask which phase is weakest.

Third, ask whether net income and real income cover essential expenses.

Fourth, ask whether tax brackets are being used efficiently.

Fifth, ask whether ACA or IRMAA thresholds are a concern.

Sixth, ask whether future RMDs create pressure.

Seventh, ask which withdrawal strategy best matches the plan.

Eighth, ask for one or two specific improvements.

Ninth, review the suggested changes before applying anything.

Tenth, save the revised plan as a separate scenario.

This process keeps the review organized.

Chapter Summary

A retirement plan becomes more useful when the questions become more specific.

Broad questions like “Can I retire?” or “Is my plan good?” are understandable, but they rarely lead directly to action. Better questions focus on phases, income, taxes, healthcare thresholds, real spending power, ending balances, account order, Social Security timing, Roth conversions, stress testing, and withdrawal strategy.

The companion planner’s AI Chat feature can help review the plan, but the quality of the conversation depends on the quality of the questions. Ask about specific phases, tradeoffs, thresholds, and proposed changes.

The next chapter explains the AI Chat workflow in more detail, including how the planner can use your own plan data when you add a Claude API key.

Chapter 10 — Chatting With Your Retirement Plan

Once a retirement plan is organized, the next step is review.

You can review the plan manually. You can compare the phase cards. You can check income, taxes, healthcare costs, real income, ending balances, and withdrawal strategies. You can save scenarios and compare different versions.

That review process is valuable by itself.

The companion AI-Ready Retirement Income Planner also offers another option: you can add your own Claude API key and use the AI Chat tab to ask questions about the plan you have entered.

This is one of the most useful features in the planner because the conversation can be based on the actual numbers in the plan.

You are not starting with a blank chat box and trying to explain everything from memory. The planner already contains the assumptions: ages, phases, account balances, withdrawals, tax settings, healthcare costs, Social Security timing, pension income, Roth conversions, and plan health checks.

That structure gives the AI something specific to review.

The AI Chat feature does not replace your judgment. It does not turn the planner into a financial advisor. It does not make the plan automatically correct.

It gives you a way to ask better questions about your own plan and review possible changes more efficiently.

The Planner Works Without AI

The first point is important:

The planner works without an API key.

You can enter your information, review phase cards, adjust withdrawals, estimate taxes, check healthcare costs, compare scenarios, review drawdown strategies, and save your plan without using AI Chat.

The AI feature is optional.

That matters because not everyone wants to use an API key. Some users prefer to keep the planner as a manual calculation and review tool. Others may want the AI review only after they have built a baseline. Some may use AI for occasional questions rather than every planning session.

The planner is still useful without AI because the core calculations, phase structure, tax estimates, healthcare warnings, and scenario tools are built into the file.

The API key adds conversation and analysis on top of the plan.

What the Claude API Key Does

To use AI Chat inside the planner, you add your own Anthropic Claude API key.

An API key allows the planner to send your question and the relevant plan context to Claude and receive a response.

In practical terms, this lets you ask questions like:

Summarize the main risks in this plan.

Which phase has the weakest income position?

Am I using tax brackets efficiently?

Could my withdrawals affect ACA costs?

Am I close to IRMAA?

Would Roth conversions help before required minimum distributions begin?

What changes would improve this plan without weakening the health checks?

The key point is that the AI can review the plan data instead of only responding to a generic question.

That makes the conversation more useful.

Why Plan Context Matters

A general AI question may look like this:

“I am 62 and thinking about retirement. What should I consider?”

That may produce a helpful general answer, but it cannot review a specific plan unless the user provides the details.

A plan-aware question is different.

The planner can include the retirement phases, income sources, account balances, withdrawal amounts, tax parameters, healthcare assumptions, and plan health information. That gives the AI a structured picture of the scenario.

This changes the quality of the review.

Instead of receiving broad reminders, the user can ask about specific numbers and tradeoffs.

For example:

In Phase 2, do I have unused low tax bracket space?

If I increase 401k withdrawals before Medicare, could I affect ACA eligibility?

Which phase creates the most future RMD pressure?

Can I improve income without crossing the IRMAA threshold?

Does the plan depend too heavily on optimistic investment returns?

The more specific the plan context, the more specific the review can become.

The AI Is a Reviewer, Not the Decision-Maker

The AI Chat feature should be used as a reviewer and planning assistant.

It can summarize. It can explain. It can suggest. It can compare. It can help identify issues that may deserve attention.

It should not be treated as the final authority.

Retirement decisions involve personal judgment. A tool cannot know every detail of your health, family obligations, comfort level, future plans, spending habits, or risk tolerance. It may not know the latest rule change unless the relevant information is included or current values are fetched and verified. It may misinterpret something. It may suggest something that looks mathematically useful but does not fit your preferences.

That is why every AI response should be reviewed.

A useful way to think about it is:

The planner calculates.

The AI helps explain and propose.

You decide.

Setting Up the API Key

The first time you use the AI Chat tab, the planner asks for an Anthropic API key.

The general setup process is:

1. Go to Anthropic's console.
 - Create or sign in to your account.
 - Add a payment method if required.
 - Create an API key.
 - Copy the key.
 - Paste it into the planner.
 - Save the key.
 - Choose the Claude model you want to use.

Once the key is saved, you can begin using the AI Chat tab.

The planner also lets you update or remove the key later.

The API key is separate from the purchase of the planner. Anthropic charges for API usage based on its own pricing. For typical planning conversations, usage may be low, but users should still review current Anthropic pricing and monitor their own usage.

Choosing a Claude Model

The planner may offer more than one Claude model option.

The basic tradeoff is usually capability, speed, and cost.

A more capable model may be better for deeper reasoning, multi-step tax and withdrawal questions, and detailed plan reviews.

A faster or lower-cost model may be suitable for quick explanations, simple summaries, or lighter questions.

A practical approach is:

Use the stronger model for important planning reviews.

Use a faster or cheaper model for simple questions.

If the cost difference is small for your usage, you may prefer to use the stronger model for most plan reviews.

Model availability and pricing can change, so the exact choice should be reviewed inside the planner and with Anthropic's current information.

Starting With the Built-In Prompts

The AI Chat tab includes one-click starter prompts.

These are useful because they begin with common retirement planning tasks. They also help users avoid vague first questions.

The main starter categories include:

7. Summarize and flag risks
8. Tax bracket check
9. ACA and CSR check
10. Withdrawal strategy review
11. Propose optimizations
12. Roth conversion advice

Each starter is designed to use the plan as context.

A good first step is to click "Summarize and flag risks." This gives a broad review of the plan and helps identify where to focus.

After that, use a more specific prompt based on the result.

For example, if the summary mentions tax bracket space, ask a tax bracket question. If it mentions healthcare risk, ask an ACA or IRMAA question. If it mentions weak later income, ask about real income and withdrawal strategy.

The built-in prompts are starting points, not the whole conversation.

Prompt 1: Summarize and Flag Risks

This is usually the best first prompt.

It asks the AI to look at the plan and identify the main areas that deserve attention.

A good response may include:

13. Overall plan structure
14. Strong phases
15. Weaker phases
16. Income adequacy issues
17. Tax concerns
18. Healthcare threshold concerns
19. RMD pressure
20. Withdrawal sustainability
21. Stress test concerns

22. Suggested next questions

This prompt is helpful because it gives a planning overview before making changes.

When reading the response, look for specific references to phases and numbers. A useful response should not only say “review taxes.” It should say where the tax issue appears and why it matters.

Follow-up questions might include:

Which of these risks matters most?

Which phase should I review first?

What is the smallest change that would improve the plan?

Which warning is acceptable, and which needs action?

Prompt 2: Tax Bracket Check

The tax bracket check is useful when you want to know whether taxable income is being managed efficiently.

It can help review questions like:

Am I staying within my target bracket?

Do I have unused low tax bracket space?

Could I take more from a traditional account in a low-income phase?

Would Roth conversions fit before RMDs begin?

Is a later phase creating tax pressure?

Does Social Security taxation change the result?

A good response should connect tax bracket position to the phase timeline.

For example, the AI might identify that taxable income is low before Social Security begins, but future RMDs may increase taxable income later. That could lead to a discussion of partial Roth conversions or earlier traditional withdrawals.

The important follow-up is:

Would using this tax bracket space create a healthcare problem?

Tax planning should not be reviewed in isolation.

Prompt 3: ACA and CSR Check

This prompt is useful for retirees who need ACA marketplace coverage before Medicare.

It can help review:

Expected MAGI during ACA years

Whether withdrawals may affect premium tax credits

Whether cost-sharing reduction eligibility is being preserved

Whether Roth, cash, or brokerage withdrawals could help manage income

Whether a proposed Roth conversion would create healthcare costs

Which phase is most sensitive to ACA planning

This prompt is especially useful for early retirees.

A plan may have room in a low tax bracket, but using that room may reduce healthcare assistance. The ACA and CSR check helps bring that issue into the withdrawal decision.

Follow-up questions might include:

What income range should I try to preserve during ACA years?

Which account source would create the least MAGI pressure?

Would a smaller Roth conversion fit better?

What happens after Medicare begins?

Prompt 4: Withdrawal Strategy Review

The withdrawal strategy prompt helps compare the current plan against different approaches.

It can review whether the plan looks more like:

- 23. Fixed withdrawals
- 24. 4% rule style withdrawals
- 25. Variable Percentage Withdrawal
- 26. Guardrails
- 27. Bucket strategy
- 28. Floor and upside planning
- 29. Planned drawdown

A good response should not simply name a strategy. It should explain why that strategy fits or does not fit the plan.

For example, if essential expenses are mostly covered by Social Security and pensions, a more flexible strategy may be suitable for discretionary spending. If the portfolio must cover essential expenses, a more stable withdrawal approach or stronger income floor may be preferable.

Follow-up questions might include:

Which strategy best protects essential expenses?

Which strategy allows more spending safely?

Which strategy is most resilient in a down market?

Which strategy fits this plan if I want to spend down by age 85?

Which strategy fits if I want to preserve a larger ending balance?

Prompt 5: Propose Optimizations

The optimization prompt asks the AI to suggest possible improvements.

This is where the AI Chat feature becomes especially practical.

The response may suggest changes such as:

30. Adjusting withdrawal amounts by phase
31. Using more low tax bracket space
32. Reducing withdrawals near healthcare thresholds
33. Shifting income from one account source to another
34. Adding or resizing Roth conversions
35. Preserving more cash
36. Increasing later-life income
37. Reducing future RMD pressure
38. Improving plan health checks

An optimization suggestion should always be reviewed before it is accepted.

Ask:

What problem does this change solve?

Which phase does it affect?

What does it improve?

What does it weaken?

Does it affect taxes?

Does it affect healthcare costs?

Does it reduce future flexibility?

Would a smaller version of the change work?

A good optimization is not just a bigger income number. It is a better tradeoff.

Prompt 6: Roth Conversion Advice

Roth conversions are a common retirement planning topic because they connect current taxes, future taxes, RMDs, account mix, and flexibility.

The Roth conversion prompt can help review:

Whether there are lower-income years before RMDs

How much bracket space may be available

Whether conversions would affect ACA or IRMAA

Whether conversions reduce future RMD pressure

Whether the retiree has cash to pay the tax

Which phases may be best for conversions

Whether annual partial conversions may work better than one large conversion

The right question is not “Should I convert?”

The right question is closer to:

How much could I convert, in which phase, before the tradeoff becomes unattractive?

The AI can help frame that question, but the user should verify the tax values and consider professional advice for significant conversion decisions.

Asking Custom Questions

The one-click prompts are useful, but custom questions are often where the best review happens.

A custom question lets you focus on your specific concern.

Examples:

If I retire at 62, which phase has the most pressure before Social Security begins?

Can I increase Phase 2 spending without reducing the Phase 3 ending balance below my target?

How much traditional IRA withdrawal could I add before creating an ACA issue?

Would using cash instead of 401k withdrawals improve the ACA years?

What happens if I claim Social Security at 62 instead of 67?

Does the plan rely too much on investment growth before age 70?

Which assumption should I test first?

What is the most conservative improvement I could make?

The more specific the question, the easier it is to judge the answer.

Asking for a Comparison

AI Chat can be especially useful when comparing two options.

For example:

Compare claiming Social Security at 62 versus 67 using this plan.

Compare using cash versus traditional IRA withdrawals from age 62 to 65.

Compare a Roth conversion in Phase 2 versus Phase 3.

Compare keeping withdrawals fixed versus using a guardrail strategy.

Compare preserving ACA eligibility versus filling more of the 12% tax bracket.

Compare retiring at 62 versus 64.

Comparison questions are useful because they show tradeoffs side by side.

When reviewing the answer, look for effects on:

- 39. Net income
- 40. Real income
- 41. Tax
- 42. Healthcare cost
- 43. Ending balance

- 44. RMD pressure
- 45. IRMAA exposure
- 46. Account mix
- 47. Stress test resilience

A comparison should not only say which option is better. It should explain what each option improves and what each option costs.

Proposed Changes Panel

One of the most practical parts of the AI Chat workflow is the proposed changes panel.

When you ask for optimizations, the AI may return specific field changes. These are not automatically applied. They appear as proposed edits that you can review.

You can select the changes you want and leave out the ones you do not want.

Then you can apply the selected changes and let the plan recalculate.

This workflow matters because it keeps the user in control.

The AI can suggest changes, but the user chooses whether to apply them.

Before applying changes, review each one carefully.

Ask:

Do I understand this change?

Which field will it modify?

Which phase does it affect?

Why is it being proposed?

Could it create a tax or healthcare issue?

Does it match my goals?

Should I save a baseline scenario first?

A good habit is to save the original plan before applying AI-suggested changes. That way, you can compare the baseline and revised versions.

Apply Selected

The Apply Selected function is useful because it reduces manual retyping.

If the AI proposes several specific changes, you can select only the ones you agree with and apply them directly.

After applying, the plan recalculates.

This is the point where review becomes important again.

Do not assume that a change is good because it was applied successfully.

After applying changes, check:

Plan Health Score

Phase income

Real income

Tax estimates

Healthcare warnings

Ending balances

Roth and traditional account balances

RMD pressure

Scenario comparison

If the change improves one area but weakens another, decide whether the tradeoff is acceptable.

Save Before and After Versions

Whenever you make meaningful AI-assisted changes, save versions.

Useful scenario names might include:

Baseline

AI review version

Tax-efficient version

ACA-protected version

Higher-income version

Conservative version

Delayed Social Security version

Roth conversion test

This makes it easier to compare results and return to an earlier version if needed.

Versioning also helps you avoid losing track of what changed.

A retirement plan is easier to trust when you can see the path from baseline to revised plan.

Keep Questions Narrow When Needed

A broad AI prompt can be useful at the start, but narrow questions are better for decisions.

Broad:

Optimize my retirement plan.

Narrow:

Suggest changes to Phase 2 withdrawals that improve tax efficiency while keeping ACA eligibility intact.

Broad:

How can I improve this plan?

Narrow:

What is the smallest change that improves the weakest Plan Health check without reducing the final ending balance by more than \$25,000?

Broad:

Should I do Roth conversions?

Narrow:

Estimate a Roth conversion amount for the pre-RMD phase that stays within my target bracket and avoids IRMAA.

Narrow questions create answers that are easier to review.

Use Follow-Up Questions

The first answer is often only the start.

Good follow-up questions include:

Why did you choose that phase?

What assumption matters most?

What would be a smaller version of that change?

What would be the conservative version?

What could go wrong with this suggestion?

Does this affect ACA or IRMAA?

How does this affect real income later?

How does this affect the ending balance?

Which account balance changes most?

What should I verify before relying on this?

Follow-up questions help turn a suggestion into a reviewable decision.

Verify Current Rules and Values

AI-assisted planning depends on correct inputs.

Tax brackets, standard deductions, FPL levels, IRMAA thresholds, Medicare premiums, and other values can change over time.

If the planner includes a feature to fetch or import current tax rates, use it carefully. Review the before-and-after values. If a value matters to a major decision, verify it against official or reliable sources.

This is especially important for:

- 48. Tax brackets
- 49. Standard deduction
- 50. Senior deduction amounts

51. ACA FPL levels
52. IRMAA thresholds
53. Medicare premium amounts
54. Social Security COLA
55. UK pension assumptions
56. Currency exchange rates

AI can help gather or organize information, but important values should be checked.

The quality of the output depends on the quality of the inputs.

Privacy and API Awareness

Users should understand how the AI feature works.

When using an API key, plan information included in the prompt is sent to the AI provider so it can generate a response. The exact handling of that information depends on the provider's policies and settings.

Before using AI Chat, review the relevant provider terms and privacy information.

If you are uncomfortable sending certain details, use the planner manually or simplify the plan data before asking AI questions.

Do not include information that is not needed for the planning question.

A retirement plan can be reviewed using approximate or rounded values if that is more comfortable.

Common Mistakes When Using AI Chat

Avoid these common mistakes:

Asking questions that are too broad

"Is this good?" is less useful than "Which phase has the weakest ending balance?"

Applying every suggestion

The AI may suggest several changes. You do not have to accept them all.

Ignoring healthcare thresholds

A tax suggestion may be less attractive if it affects ACA or IRMAA.

Forgetting to save the baseline

Save before making major changes so you can compare.

Treating AI output as advice

Use it as analysis to review, not as professional advice.

Failing to verify tax values

Current tax and healthcare values should be checked when they matter.

Changing too many things at once

Apply changes in stages so you can understand the effect.

A Practical AI Review Workflow

A good first AI-assisted review might look like this:

1. Enter your plan manually.
- Review the Overview tab yourself.
- Save a baseline version.
- Open the AI Chat tab.
- Use “Summarize and flag risks.”
- Ask which phase is weakest.
- Ask a tax bracket question.
- Ask an ACA or IRMAA question if relevant.
- Ask a withdrawal strategy question.
- Ask for one or two specific proposed improvements.
- Review each proposed change.
- Apply only the changes you understand and agree with.
- Recheck Plan Health and phase results.
- Save the revised scenario separately.
- Compare baseline and revised versions.

This workflow keeps the process controlled.

You are not asking AI to take over the plan. You are using it to speed up review and help identify tradeoffs.

Example: Reviewing an Early Retirement Plan

Suppose a retiree is 62 and plans to use ACA marketplace coverage until Medicare begins at 65.

They have cash, a traditional IRA, a Roth account, and taxable brokerage assets. Social Security may begin at 67.

A useful AI Chat sequence might be:

Summarize and flag the main risks in this plan.

Which phase is most sensitive to healthcare costs?

Do I have unused low tax bracket space before Social Security starts?

Would using that tax bracket space create an ACA issue?

Compare using cash versus traditional IRA withdrawals from 62 to 65.

Suggest a withdrawal mix that preserves ACA eligibility where possible and avoids weakening the ending balance too much.

Review whether Roth conversions make sense before Medicare.

This sequence is practical because it follows the timeline.

It does not ask for a generic retirement answer. It asks about the actual pressure points in the plan.

Example: Reviewing a Pre-RMD Roth Conversion Plan

Now suppose a retiree is 67. Social Security has started. Medicare has started. RMDs will begin later.

They have a large traditional IRA and a smaller Roth balance.

A useful AI Chat sequence might be:

Summarize the tax risks in this plan.

How much future RMD pressure appears under the current assumptions?

Do I have room for Roth conversions before reaching my target bracket?

Would conversions trigger IRMAA?

Compare a smaller annual conversion strategy with no conversions.

What conversion amount would improve future flexibility without creating an unreasonable current tax cost?

Which phase benefits most from the conversion?

This keeps the conversion review connected to taxes, Medicare costs, and later flexibility.

Example: Reviewing a Spending Increase

Suppose a retiree wants to spend an extra \$500 per month for travel during the first ten years of retirement.

A useful AI Chat sequence might be:

Can this plan support an extra \$500 per month from age 62 to 72?

Which account should fund the increase?

How does the increase affect ending balances?

Does it affect ACA or IRMAA?

Does real income later remain acceptable?

Would a guardrail approach be safer for this travel spending?

What smaller increase would preserve more flexibility?

This turns a lifestyle question into a reviewable plan change.

Chapter Summary

The AI Chat feature lets you ask questions about the retirement plan you have entered into the planner.

The planner works without AI, but adding your own Claude API key enables a plan-aware conversation. The AI can review the phases, balances, withdrawals, tax settings, healthcare assumptions, and plan health information. It can summarize risks, check tax brackets, review ACA and IRMAA concerns, compare withdrawal strategies, suggest optimizations, and discuss Roth conversion opportunities.

The user remains in control.

AI suggestions should be reviewed, not accepted blindly. Save a baseline before applying changes. Use narrow questions. Ask follow-ups. Verify important tax and healthcare values. Apply only the changes you understand and agree with.

The next chapter looks at keeping the plan current, because a retirement plan is most useful when it can be updated as rules, balances, assumptions, and life circumstances change.

Chapter 11 — Keeping the Plan Current

A retirement plan is not a one-time document.

It is a working model.

The plan you build today is based on what you know today: your current balances, expected retirement age, income sources, tax assumptions, healthcare assumptions, inflation estimate, investment return assumptions, and spending needs.

Some of those inputs will change.

Balances will move. Markets will rise and fall. Interest rates will change. Tax brackets will update. Healthcare costs will change. Social Security and pension estimates may change. Inflation may be higher or lower than expected. You may move, work part-time, spend more, spend less, claim Social Security earlier or later, or revise your retirement date.

A retirement plan remains useful when it can be updated.

The purpose of this chapter is to build a practical plan maintenance process.

The goal is not to rebuild everything constantly. The goal is to review the most important inputs at regular intervals, save versions, and understand what changed.

Why Plans Go Out of Date

A retirement plan can become stale for several reasons.

The most obvious reason is investment performance.

If your portfolio grows faster than expected, you may have more flexibility. You may be able to spend more, retire earlier, reduce investment risk, delay withdrawals, increase giving, or preserve a larger ending balance.

If your portfolio grows more slowly than expected, you may need to adjust spending, delay retirement, work part-time, revise investment assumptions, reduce withdrawals, or change Social Security timing.

But investment performance is only one reason a plan changes.

Tax rules can change.

Healthcare costs can change.

Medicare premiums can change.

ACA values can change.

IRMAA thresholds can change.

FPL values can change.

Social Security COLA changes each year.

Currency exchange rates can change.

Personal spending can change.

Family responsibilities can change.

Health can change.

A plan that ignores these changes may still look precise, but the precision may no longer be useful.

The Annual Review Habit

A good retirement plan should be reviewed at least once a year.

The annual review does not need to be complicated. It should answer a few practical questions:

What changed since the last version?

Do the updated balances still support the plan?

Are the tax and healthcare values still current?

Does the plan still produce enough net income?

Does real income still hold up after inflation?

Do ending balances remain acceptable?

Are any phases now weaker than before?

Do any new tax or healthcare warnings appear?

Should withdrawals, Roth conversions, or Social Security timing be adjusted?

The review should be simple enough that you will actually do it.

A plan that is reviewed regularly is more useful than a highly detailed plan that is ignored for years.

What to Update First

Start with the values that have the biggest effect on the plan.

These usually include:

- Current age
- Current account balances
- Retirement start age
- Plan end age
- Spending target
- Social Security estimate
- Pension income
- Healthcare costs
- Investment return assumptions
- Inflation assumption
- Tax brackets and deductions
- ACA/FPL values
- IRMAA thresholds and Medicare premiums

- Currency assumptions, if relevant

You do not have to change everything every time.

Some inputs may remain stable. Others should be checked regularly.

A useful review starts with the values most likely to have changed or most likely to affect the decision you are reviewing.

Updating Account Balances

Account balances should be updated regularly.

For someone still working, this may include new contributions, employer matches, market gains or losses, transfers, and changes in cash savings.

For someone already retired, balances will reflect withdrawals, growth, interest, dividends, capital gains, spending, and market changes.

Update balances for each major account type:

- Traditional 401k or IRA
- Roth IRA or Roth 401k
- Cash savings
- Taxable brokerage
- Pension or annuity values, if relevant
- Other assets used for retirement income

Do not only update the total balance.

Account type matters.

A plan with more money in Roth accounts has different flexibility than a plan with more money in pre-tax traditional accounts. A plan with more cash may handle early spending or market stress differently. A plan with more taxable brokerage assets may create capital gains planning opportunities.

The total matters, but the mix matters too.

Updating Spending Assumptions

Spending assumptions deserve regular review.

Your expected retirement spending may change as you get closer to retirement or move through retirement.

Some costs may rise:

- Rent
- Insurance
- Healthcare
- Utilities
- Food
- Travel
- Family support

- Home maintenance

Some costs may fall:

- Mortgage payments
- Work clothing
- Commuting
- Payroll taxes
- Retirement contributions
- Debt payments
- Child-related expenses

Some costs may appear only occasionally:

- Vehicle replacement
- Major dental work
- Home repairs
- Moving costs
- Visa or residency expenses
- Long trips
- Family emergencies

A good review separates essential spending from discretionary spending.

Essential spending supports the income floor. Discretionary spending provides flexibility.

If the plan becomes tighter, discretionary spending may be adjusted first. If essential spending rises, the plan may need a more serious review.

Updating Tax Values

Tax values change over time.

Standard deductions, bracket thresholds, senior deduction amounts, and other tax parameters may update each year. Some changes are routine inflation adjustments. Others may come from legislation.

If the plan uses old tax values, it may misestimate taxable income, bracket space, Roth conversion room, or net income.

This matters especially when decisions depend on thresholds.

For example:

- Roth conversion amounts
- Traditional retirement account withdrawals
- Social Security taxation
- Tax bracket management
- Capital gains planning
- Filing status changes
- RMD planning

Tax values do not have to be perfect for a rough estimate, but they should be current enough for meaningful decisions.

If a decision involves a large withdrawal, Roth conversion, or tax-sensitive strategy, verify the values before relying on the result.

Updating Healthcare Values

Healthcare values may change every year.

Before Medicare, ACA marketplace premiums, benchmark plans, FPL levels, subsidy calculations, and plan availability can change.

After Medicare, Part B premiums, Part D costs, IRMAA thresholds, supplemental premiums, prescription costs, and plan choices may change.

Healthcare updates are especially important if your plan depends on staying within a particular income range.

For ACA years, update:

- Expected MAGI
- Federal Poverty Level values
- Household size
- Expected premium
- Plan type
- Cost-sharing reduction assumptions
- Out-of-pocket exposure

For Medicare years, update:

- Part B premium
- Part D premium
- Medigap or Medicare Advantage costs
- IRMAA thresholds
- Prescription costs
- Expected out-of-pocket costs

Healthcare costs can change the real value of income. They should not be treated as fixed if your situation depends on income-sensitive rules.

Updating Social Security and Pension Assumptions

Social Security and pension assumptions should be reviewed periodically.

For Social Security, update:

- Estimated benefit amount
- Claiming age
- COLA assumption
- Spousal or survivor considerations, if applicable
- Tax treatment

If you are still working, your Social Security estimate may change as your earnings record changes.

If you are already receiving benefits, the actual payment and COLA updates can be entered.

For pensions, update:

- Start age
- Monthly amount
- Inflation adjustment
- Survivor benefit option
- Currency, if applicable
- Tax treatment

For UK State Pension, update expected payment amounts and any increase assumptions you are using.

These income sources often form part of the retirement income floor, so they should be kept reasonably current.

Updating Inflation Assumptions

Inflation assumptions should be reviewed because inflation affects real income.

If actual inflation has been higher than expected, future spending may need to be adjusted. If inflation has been lower, the plan may look stronger than expected.

The inflation assumption affects:

- Real income
- Spending targets
- Social Security COLA assumptions
- Pension assumptions
- Healthcare cost growth
- Long-term purchasing power
- Ending balance pressure

A useful review asks:

Is the inflation assumption still reasonable?

Have my personal expenses increased more than general inflation?

Are healthcare costs rising faster?

Does real income still cover the floor?

What happens if inflation is higher for the next few years?

Inflation should be tested, not guessed once and forgotten.

Updating Investment Return Assumptions

Expected returns should be reviewed carefully.

A plan based on high return assumptions may look stronger than it should. A plan based on very conservative assumptions may look too restrictive.

Return assumptions should reflect the actual portfolio mix.

A mostly stock portfolio should not use the same assumption as a mostly cash or bond portfolio. A retiree reducing risk over time may need different assumptions for different assets or phases.

Ask:

Does the return assumption match the portfolio?

Has the portfolio allocation changed?

Is the cash return still realistic?

Are equity return assumptions too optimistic?

What happens if returns are lower?

Does the plan rely heavily on strong early returns?

Return assumptions are especially important for ending balances and withdrawal sustainability.

Updating Currency Assumptions

For expat retirees or anyone receiving income in one currency and spending in another, currency assumptions matter.

Exchange rates can change significantly over time.

A retiree receiving U.S. dollars and spending Philippine pesos, Thai baht, British pounds, or another currency should understand how exchange rate changes affect the plan.

A retiree receiving UK pension income but spending in dollars or another currency faces the same issue.

Update:

- Exchange rate assumptions
- Spending currency
- Income currency
- Local inflation assumptions
- Currency conversion settings
- Any manually pinned exchange rates

A plan may look comfortable at one exchange rate and tighter at another.

Currency risk should be reviewed like any other planning risk.

Saving a Baseline Before Updating

Before making major updates, save a copy of the existing plan.

This gives you a baseline.

Then update the values and save the new version separately.

Useful names might include:

- 2026 Baseline

- 2026 Updated Balances
- 2026 Tax Update
- 2026 ACA Review
- 2026 Conservative Case
- 2026 Roth Conversion Test
- 2026 Delayed Social Security
- 2026 Higher Spending Case

This makes it easier to compare.

If the updated plan looks worse, you can see why. If it looks better, you can see what improved. If a change creates a warning, you can trace it.

Version control is a simple but powerful habit.

Comparing Versions

A plan update is most useful when compared with the previous version.

After updating, ask:

Did net income change?

Did real income change?

Did ending balances change?

Did tax estimates change?

Did healthcare costs change?

Did any new warnings appear?

Did Plan Health improve or weaken?

Which assumption caused the biggest difference?

Do I need to change withdrawals?

Do I need to change the strategy?

Comparison prevents confusion.

Without comparison, it can be hard to know whether the plan changed because of balances, taxes, inflation, healthcare costs, or spending assumptions.

Replanning From Today

A plan built several years ago may still be useful, but eventually it should be re-anchored to current reality.

If you are already partway through the plan, past phases no longer need to be projected. They have already happened.

A replan-from-today workflow starts with current age and actual current balances.

Instead of continuing to rely on the old starting point, the plan begins again from where you are now.

This is useful if:

- You retired earlier or later than expected
- Account balances changed significantly
- Spending changed
- Social Security timing changed
- Healthcare assumptions changed
- Investment returns differed from assumptions
- You moved or plan to move
- You are already in retirement and want a current review

A current plan is usually more useful than an old projection.

Updating After Major Life Events

Some events should trigger an immediate plan review.

Examples include:

- Retirement date change
- Job loss
- New part-time work
- Marriage
- Divorce
- Death of a spouse
- Major health diagnosis
- Moving to another state or country
- Home sale
- Major inheritance
- Large market decline
- Large market gain
- Pension decision
- Social Security claiming decision
- Medicare enrollment
- Large Roth conversion
- Sale of a business
- New dependent or family support obligation

A major life event can change income, taxes, healthcare, risk tolerance, and spending needs.

Do not wait for the next annual review if the event changes the plan materially.

Updating Tax and Rate Parameters With AI

If your planner includes an AI-assisted tax and rate update feature, it can speed up the process of updating values such as tax brackets, standard deductions, FPL levels, IRMAA thresholds, Medicare costs, and other planning parameters.

This can save time, but the user should still review the values.

A good update workflow is:

1. Save the current plan.
1. Fetch or import updated values.
2. Review the before-and-after differences.
3. Check whether any major values changed.
4. Verify important values if they affect a major decision.
5. Save the updated plan as a new version.
6. Recheck Plan Health and phase results.

AI-assisted updates can be useful, but they should not be accepted without review.

Current values matter most when decisions are close to thresholds.

For example, if a Roth conversion amount depends on staying below a tax bracket ceiling, verify the bracket. If ACA planning depends on FPL values, verify them. If IRMAA is close, verify the threshold and surcharge amounts.

Updating Without AI

The plan can still be updated manually.

A manual update workflow might include:

1. Gather current balances.
7. Update income sources.
8. Update spending assumptions.
9. Look up current tax values.
10. Look up current healthcare values.
11. Update inflation and COLA assumptions.
12. Update currency assumptions if relevant.
13. Recalculate the plan.
14. Review phase cards.
15. Save the new version.

Manual updating takes longer, but it can be just as effective if done carefully.

The important thing is not whether the update is automated. The important thing is that the values are current and the plan is reviewed after changes are made.

Keeping a Planning Log

A planning log can be very useful.

It does not need to be complex. A simple note file or spreadsheet is enough.

Record:

- Date of review
- Major assumptions changed

- Current balances
- Tax year used
- Healthcare assumptions used
- Inflation assumption
- Social Security assumption
- Main warnings
- Decisions made
- Scenarios saved
- Questions for future review

This log helps you understand the history of the plan.

For example, if you later wonder why a Roth conversion was added, the log can explain the reasoning. If a spending increase was tested, the log can show whether it was accepted or rejected. If a tax value changed, the log can show when it was updated.

A planning log turns the plan into an ongoing process instead of a collection of disconnected files.

Reviewing Plan Health After Updates

After updating values, review the plan health again.

Do not assume that an update is neutral.

A new tax bracket may create more or less Roth conversion room. A new FPL value may change ACA planning. A new IRMAA threshold may affect Medicare exposure. A new balance may change withdrawal sustainability. A new inflation assumption may weaken real income.

Ask:

Did the score change?

Which check changed?

Which phase caused the change?

Was the change due to updated values or a planning decision?

Does the change require action?

Is the warning acceptable?

A plan health review after updates helps catch changes that might otherwise be missed.

Reviewing Withdrawals After Updates

Withdrawals may need to change after an update.

If the portfolio has grown, the current withdrawal may be more conservative than expected. If the portfolio has fallen, the withdrawal may be more aggressive. If inflation has risen, the same withdrawal may buy less. If healthcare costs changed, net income may be different.

Ask:

Is the withdrawal amount still appropriate?

Does it still cover essential expenses?

Does it still fit the tax plan?

Does it still protect healthcare thresholds?

Does it still preserve the ending balance?

Should discretionary spending be adjusted?

Should the withdrawal strategy change?

Withdrawal updates should be made carefully because they affect both current income and future balances.

Reviewing Roth Conversions After Updates

Roth conversion plans should be reviewed every year.

A conversion amount that made sense last year may not make sense this year.

Reasons include:

- Tax brackets changed
- Income changed
- ACA status changed
- Medicare status changed
- IRMAA thresholds changed
- Traditional account balance changed
- Roth balance changed
- Cash available to pay tax changed
- RMD outlook changed

Ask:

Is there still useful bracket space?

Will a conversion affect healthcare costs?

Will a conversion affect IRMAA?

Does the conversion still reduce future RMD pressure meaningfully?

Should the conversion amount be smaller or larger?

Should the conversion be skipped this year?

Roth conversion planning is most useful when it is reviewed annually rather than set once and ignored.

Reviewing Social Security Timing

If Social Security has not yet been claimed, review the claiming decision periodically.

Changes in health, employment, portfolio balance, inflation, tax planning, and income needs may affect the decision.

Ask:

Can the plan still support delaying?

Would claiming earlier reduce portfolio pressure?

Would delaying improve later real income?

How does the claiming age affect taxes?

How does it affect the surviving spouse, if applicable?

Does the plan still match my comfort level?

Once Social Security has been claimed, update the actual payment amount and COLA changes.

Reviewing Retirement Age

For people still working, retirement age is one of the most powerful assumptions.

Delaying retirement can change the plan in several ways:

- More years of saving
- Fewer years of withdrawals
- Larger account balances
- Possible higher Social Security benefit
- Shorter healthcare bridge period
- More time for Roth conversions or tax planning

Retiring earlier has the opposite effect, but may still be worthwhile if the plan supports it.

Ask:

What happens if I retire one year earlier?

What happens if I retire one year later?

Does working part-time change the result?

Does the plan rely on working longer than I want to?

Would a lower-spending version support earlier retirement?

Retirement age should be tested as a planning lever.

Reviewing Plan End Age

The plan end age should also be reviewed.

A plan ending at 80 may look very different from a plan ending at 90 or 95.

Using a longer plan end age can reveal longevity risk. It may reduce the amount that appears safely spendable. It may also show whether reliable income is strong enough later.

Ask:

What happens if I live five years longer than planned?

What happens if I live ten years longer?

Does real income still cover essentials?

Does the portfolio survive?

Does healthcare become a larger issue?

Does the plan rely on spending down too quickly?

A longer planning horizon is not a prediction. It is a stress test.

Keeping the Plan Practical

It is possible to overcomplicate plan maintenance.

You do not need to update every number every week. You do not need to rebuild the plan after every market move. You do not need to chase exact precision for assumptions that are uncertain anyway.

A useful plan maintenance process should be practical.

For most people, that means:

- A full review once a year
- A quick balance update every few months if desired
- A review after major life events
- A tax and healthcare update when new values matter
- Scenario testing before major decisions

The purpose is to stay informed, not to create constant anxiety.

A Simple Annual Review Checklist

Use this checklist once a year:

1. Save the current plan as last year's version.
16. Update current age and balances.
17. Update income sources.
18. Update spending assumptions.
19. Update tax values.
20. Update healthcare values.
21. Update inflation and COLA assumptions.
22. Update currency rates, if relevant.
23. Review each phase card.
24. Check net income and real income.
25. Review ending balances.
26. Review Plan Health.
27. Review tax bracket position.
28. Review ACA or IRMAA exposure.
29. Review RMD pressure.
30. Stress test lower returns and higher inflation.
31. Save the updated baseline.

32. Test one or two improvement scenarios.
33. Save any useful revised scenarios.
34. Record decisions in a planning log.

This checklist can be adapted to your situation.

The main idea is to make the plan current before making decisions.

Chapter Summary

A retirement plan should be kept current.

Balances change. Tax values change. Healthcare values change. Inflation changes. Social Security and pension assumptions change. Personal goals and spending needs change.

A plan that is updated regularly remains useful. A plan that is ignored can become misleading.

The maintenance process does not need to be complicated. Update major inputs, save versions, compare changes, review Plan Health, and keep a simple planning log. Use AI-assisted tax or rate updates if available, but verify important values when decisions depend on them.

The next chapter turns the framework into action with a first planning session workflow.

Chapter 12 — Your First Planning Session

The first goal is not to create the perfect retirement plan.

The first goal is to create a clear baseline.

A baseline is your first working version of the plan. It uses your current assumptions, your current balances, and your best estimate of future income and spending. It does not need to be final. It does not need to solve every question. It simply needs to be organized well enough that you can review it.

Once you have a baseline, planning becomes easier.

You can see which phase is strongest. You can see which phase is weakest. You can test Social Security timing. You can adjust withdrawals. You can review taxes and healthcare costs. You can compare strategies. You can ask the AI Chat to summarize risks or propose changes. You can save a revised version and compare it with the original.

Without a baseline, every question remains abstract.

With a baseline, each question has a place to land.

This chapter walks through a practical first planning session using the framework from the earlier chapters.

Step 1: Gather Your Basic Information

Before opening the planner, gather the basic information you need.

You do not need every detail to be perfect. Use reasonable estimates where needed. You can update the plan later.

Start with:

- Current age
- Expected retirement age
- Plan end age
- Filing status
- Country or tax residency assumption
- Expected living location
- Household size, if healthcare planning depends on it
- Current employment income, if still working
- Expected part-time income, if any
- Expected rental or passive income, if any

These values establish the basic shape of the plan.

The current age and retirement age determine where the plan begins. The plan end age determines how long the money needs to last. Filing status affects tax assumptions. Location can affect taxes, healthcare, currency, and cost of living.

Do not spend too long trying to make the first version exact.

The purpose of the first planning session is to get the structure in place.

Step 2: Gather Account Balances

Next, gather current account balances.

Separate them by account type.

Useful categories include:

- Traditional 401k
- Traditional IRA
- Roth IRA
- Roth 401k
- Cash savings
- Taxable brokerage account
- Health savings account, if used for retirement planning
- Pension or annuity values, if relevant
- Other retirement assets

Do not combine everything into one total.

Account type matters because each account behaves differently for tax and withdrawal planning.

A dollar in a traditional IRA is not the same as a dollar in a Roth account. A dollar in cash is not the same as a dollar in a taxable brokerage account. A dollar in a brokerage account with large unrealized gains is not the same as a dollar in a savings account.

If you only have rough numbers, start with rough numbers.

You can improve accuracy later.

Step 3: Estimate Growth Rates

The planner needs assumptions for how different assets may grow.

Growth assumptions should be reasonable and connected to the account type.

For example:

- Cash may use a lower interest rate assumption.
- A diversified investment portfolio may use a higher long-term return assumption.
- A conservative portfolio may use a lower return assumption.
- A taxable brokerage account may need a separate assumption.

Avoid using overly optimistic return assumptions to force the plan to work.

If the plan only works with very high returns, that is useful information. It means the plan may need adjustment, more savings, later retirement, lower spending, more reliable income, or more flexibility.

A good first session might include one baseline return assumption and one conservative version later.

For now, enter the assumption that best reflects your current plan.

Step 4: Enter Expected Income Sources

List the income sources that may support retirement.

Common sources include:

- Social Security
- UK State Pension
- Employer pension
- Private pension
- Annuity income
- Rental income
- Part-time work
- Business income
- Royalties or creator income
- Spousal income
- Other recurring income

For each income source, note:

- Monthly amount
- Start age
- End age, if applicable
- Whether it adjusts for inflation
- Currency, if relevant
- Tax treatment, if known

Social Security is especially important because the claiming age changes the timeline.

If you are not sure when you will claim, choose one age for the baseline. You can test other claiming ages later.

The first version should not try to test every possibility at once.

Pick a reasonable starting assumption and save alternatives later.

Step 5: Enter Spending Needs

Now estimate spending.

Start with monthly spending in today's dollars.

Separate essential spending from discretionary spending if possible.

Essential spending may include:

- Housing
- Food
- Utilities
- Healthcare
- Insurance

- Transportation
- Basic taxes
- Debt payments
- Required family support

Discretionary spending may include:

- Travel
- Dining out
- Hobbies
- Gifts
- Entertainment
- Upgrades
- Extra family support
- Optional memberships or subscriptions

This separation matters because essential and discretionary spending have different flexibility.

If markets perform poorly, discretionary spending may be adjusted. Essential spending is harder to reduce.

If you do not know the exact split, start with a total monthly income target. Later, you can refine the income floor.

Step 6: Enter Healthcare Assumptions

Healthcare should be entered by phase.

Before Medicare, identify how you expect to be covered.

Possibilities include:

- ACA marketplace coverage
- Spouse's employer plan
- Employer retiree coverage
- Private insurance
- International insurance
- Local healthcare system abroad
- Self-pay

If you expect ACA marketplace coverage, estimate premiums, household size, and income-sensitive assumptions.

After Medicare begins, estimate:

- Part B premium
- Part D premium
- Medigap or Medicare Advantage costs
- Expected out-of-pocket costs
- IRMAA exposure, if income may be high enough

For expats, estimate local healthcare or insurance costs in the currency you expect to use.

Healthcare costs do not need to be perfect in the first version, but they should not be ignored.

A retirement plan that excludes healthcare can overstate spendable income.

Step 7: Enter Tax Parameters

Tax parameters help estimate net income.

The planner may include default values or an update/import feature. Use the most current values available when possible.

Important tax inputs may include:

- Standard deduction
- Senior deduction amounts
- Tax bracket thresholds
- Filing status
- ACA/FPL values
- IRMAA thresholds
- Medicare premium assumptions
- UK tax values, if relevant
- Other country-specific values, if relevant

For a rough first version, defaults may be enough.

For a serious planning decision, update and verify the values.

This is especially important if the plan depends on staying below a threshold.

Examples include:

- Staying inside a tax bracket
- Preserving ACA eligibility
- Avoiding or accepting IRMAA
- Sizing a Roth conversion
- Estimating future RMD tax pressure

Step 8: Enter the Baseline Withdrawals

Once income sources, accounts, spending needs, taxes, and healthcare assumptions are entered, create a baseline withdrawal pattern.

This is your first estimate of how retirement spending will be funded.

For each phase, decide how much may come from:

- Traditional 401k or IRA withdrawals
- Roth withdrawals
- Cash withdrawals
- Taxable brokerage withdrawals
- Pension or Social Security income

- Other income sources

Do not worry if the first result is imperfect.

The baseline is supposed to reveal problems.

If the first version shows weak income, low ending balances, high taxes, or healthcare warnings, that is useful. You now know what to review.

Step 9: Review the Overview

After entering the first baseline, review the plan from the Overview tab.

Do not start by changing numbers immediately.

First, read the plan.

For each phase, look at:

- Gross income
- Tax estimate
- Healthcare costs
- Net monthly income
- Real monthly income
- Account withdrawals
- Ending balance
- Warnings or badges

Ask:

Which phase looks strongest?

Which phase looks weakest?

Does net income cover the target?

Does real income hold up?

Do any phases have healthcare warnings?

Do any phases show tax pressure?

Do ending balances decline faster than expected?

Which number surprises me?

The first review is about understanding, not fixing.

Step 10: Save the Baseline

Before making changes, save the baseline.

This is important.

If you immediately start adjusting withdrawals, Social Security timing, Roth conversions, and tax assumptions, you may lose track of the original plan.

Save the baseline under a clear name, such as:

- Baseline Plan
- First Draft
- Current Assumptions
- 2026 Baseline
- Retire at 62 Baseline

The name should tell you what the version represents.

Once the baseline is saved, you can test changes without worrying about losing the starting point.

Step 11: Check Plan Health

Next, review the Plan Health Score or equivalent plan review indicators.

The score helps identify areas that may need attention.

Look for:

- Income adequacy issues
- Tax bracket concerns
- ACA or healthcare warnings
- IRMAA exposure
- Portfolio survival concerns
- RMD pressure
- Stress test weakness
- Real income concerns

Do not treat the score as a final verdict.

Use it as a review guide.

Ask:

Which checks are strong?

Which checks are borderline?

Which checks need attention?

Which phase caused the issue?

Is the warning acceptable or does it require adjustment?

A warning is not automatically a failure. It is a prompt to review the tradeoff.

Step 12: Review the Weakest Phase First

After the baseline and plan health review, identify the weakest phase.

This may be:

- The phase before Medicare
- The phase before Social Security

- The first RMD phase
- The final phase after inflation
- A phase with high taxes
- A phase with weak ending balance
- A phase with healthcare sensitivity

Focus there first.

Do not try to fix the whole plan at once.

Ask:

What is this phase supposed to do?

What income sources are active?

What costs apply?

Which account is carrying the burden?

What ending balance remains?

What one change might improve it?

Solving the weakest phase often improves the overall plan more than making small changes everywhere.

Step 13: Test One Change at a Time

When improving the plan, change one major assumption at a time.

Examples:

- Increase or reduce 401k withdrawals in one phase
- Change Social Security claiming age
- Add a Roth conversion
- Use more cash during ACA years
- Reduce discretionary spending
- Adjust inflation
- Lower investment return assumptions
- Extend the plan end age
- Add part-time income

After each change, review:

- Net income
- Real income
- Taxes
- Healthcare costs
- Ending balances
- Plan Health Score
- Account mix

This helps you understand the effect of the change.

If you change too many assumptions at once, you may not know what improved or worsened the plan.

Step 14: Compare Social Security Timing

Social Security timing is often worth testing early.

Create separate versions for different claiming ages if relevant.

For example:

- Claim at 62
- Claim at full retirement age
- Claim at 70

Compare:

- Early-phase withdrawals
- Later monthly income
- Real income
- Tax impact
- Ending balances
- Portfolio pressure
- Survivor considerations, if applicable

Do not judge the decision only by the monthly benefit amount.

Delaying may increase later income, but it may require larger portfolio withdrawals before claiming. Claiming early may reduce portfolio pressure, but it may lower lifetime inflation-adjusted income.

The better choice depends on the full plan.

Step 15: Review Tax Bracket Position

Next, review tax bracket position by phase.

Ask:

Am I using low tax bracket space intentionally?

Are there low-income years before Social Security or RMDs?

Does any phase push taxable income higher than expected?

Would earlier traditional withdrawals reduce future RMD pressure?

Would Roth conversions help?

Would a tax-saving move create a healthcare cost?

Do not focus only on the current year.

Review how taxable income changes across the timeline.

A low-tax year may be useful. A future high-tax phase may be avoidable. But any tax move should be reviewed alongside healthcare costs, account balances, and spending needs.

Step 16: Review Healthcare-Sensitive Years

If you have ACA years before Medicare, review them separately.

Ask:

What is the expected MAGI?

Does the plan preserve premium assistance where intended?

Does it preserve cost-sharing reductions, if relevant?

Which withdrawals increase MAGI?

Could cash, Roth, or brokerage withdrawals improve the result?

Would a Roth conversion be too costly during ACA years?

After Medicare begins, review IRMAA exposure.

Ask:

Am I near an IRMAA threshold?

Could withdrawals, capital gains, or Roth conversions trigger surcharges?

Will RMDs create future Medicare cost pressure?

Would spreading income across years help?

Healthcare-sensitive years deserve special attention because they can change the net value of income.

Step 17: Compare Withdrawal Strategies

Once the baseline is understandable, compare withdrawal strategies.

Review:

- 4% rule benchmark
- Variable Percentage Withdrawal
- Guardrails
- Bucket strategy
- Floor and upside strategy
- Planned drawdown
- Current planned withdrawals

Do not simply choose the strategy with the highest income.

Ask:

Which strategy protects essential expenses?

Which strategy fits my comfort level?

Which strategy produces acceptable real income?

Which strategy preserves enough ending balance?

Which strategy handles bad markets best?

Which strategy coordinates with tax and healthcare planning?

A withdrawal strategy should fit both the math and the person using it.

Step 18: Use AI Chat for Review

If you are using the AI Chat feature, wait until the baseline is entered and saved.

Then begin with a broad review prompt.

For example:

Summarize this plan and flag the main risks.

Then ask more specific follow-up questions:

Which phase is weakest?

Am I using tax brackets efficiently?

Are ACA or IRMAA thresholds a concern?

Would Roth conversions help before RMDs?

Which withdrawal strategy best fits this plan?

What is the smallest change that improves the plan?

What change would improve income without weakening the ending balance too much?

The AI Chat feature is most useful when the plan already contains enough information to review.

Do not use AI as a substitute for entering accurate assumptions.

Use it to help review the plan you have built.

Step 19: Review Proposed Changes Carefully

If the AI suggests specific changes, review them one at a time.

Before applying a change, ask:

Do I understand what this changes?

Which phase is affected?

Which account is affected?

Does it increase taxable income?

Does it affect healthcare costs?

Does it reduce future flexibility?

Does it improve the weakest issue?

Would a smaller version work better?

Apply only the changes you understand and agree with.

After applying changes, review the full plan again.

Check income, taxes, healthcare costs, real income, ending balances, and plan health.

Then save the revised version separately.

Step 20: Save an Improved Scenario

Once you make adjustments that appear useful, save a new scenario.

Possible names include:

- Baseline
- Improved Plan
- Tax-Efficient Plan
- ACA-Protected Plan
- Higher Income Plan
- Conservative Plan
- Roth Conversion Plan
- Delayed Social Security Plan

Do not overwrite the baseline.

You want to compare versions.

A baseline shows where you started. An improved scenario shows what changed. A conservative scenario shows how the plan behaves under tougher assumptions.

This comparison makes planning much clearer.

Step 21: Create a Conservative Test

After building an improved version, create a conservative test.

Change assumptions such as:

- Lower investment returns
- Higher inflation
- Higher healthcare costs
- Longer plan end age
- Lower part-time income
- Larger one-time expense
- Worse early market returns, if available

Then review whether the plan still works.

The conservative version does not need to become your main plan. It is a stress test.

Ask:

Which phase weakens first?

Does real income remain acceptable?

Does the ending balance remain positive?

Do withdrawals become too high?

Does the plan need more flexibility?

A plan that survives a conservative test may give more confidence. A plan that fails the test may still be workable, but it needs a response plan.

Step 22: Write Down Your Decisions

At the end of the first planning session, write a short summary.

Include:

- Date
- Baseline assumptions
- Main risk found
- Best improvement tested
- Scenarios saved
- Questions still open
- Values that need verification
- Next review date

This planning note does not need to be long.

A few paragraphs are enough.

The purpose is to remember why you made certain choices.

Retirement planning involves many small decisions. A simple note prevents confusion later.

A Practical First Session Checklist

Use this checklist for your first session:

1. Gather basic personal information.
2. Gather account balances by type.
3. Estimate growth rates.
4. Enter Social Security, pensions, and other income.
5. Enter spending needs.
6. Enter healthcare assumptions.
7. Enter or update tax parameters.
8. Enter baseline withdrawals.
9. Review the Overview tab.
10. Save the baseline.
11. Check Plan Health.
12. Identify the weakest phase.
13. Test one change at a time.
14. Compare Social Security timing.

15. Review tax bracket position.
16. Review healthcare-sensitive years.
17. Compare withdrawal strategies.
18. Use AI Chat for review, if desired.
19. Review proposed changes carefully.
20. Save an improved scenario.
21. Create a conservative test.
22. Write down decisions and open questions.

This checklist is the practical bridge between learning and action.

What a Good First Session Looks Like

A good first session does not end with certainty.

It ends with clarity.

You should know:

Which phase is strongest.

Which phase needs review.

Whether income is enough.

Whether real income holds up.

Whether healthcare thresholds matter.

Whether taxes need attention.

Whether future RMD pressure exists.

Whether withdrawals look sustainable.

Which scenarios are worth comparing.

Which questions need follow-up.

That is enough for a strong first session.

You can improve the plan over time.

Common First Session Mistakes

Avoid these mistakes:

Trying to make every number perfect before starting

Use reasonable estimates. You can update later.

Combining all accounts into one balance

Account type matters for taxes and flexibility.

Ignoring healthcare

Healthcare costs can change the net result.

Looking only at gross income

Net and real income matter more.

Changing too many assumptions at once

Change one major item at a time.

Forgetting to save the baseline

Always save before making improvements.

Applying every AI suggestion

Review each change before accepting it.

Ignoring the weakest phase

The weakest phase often tells you where the plan needs attention.

Using optimistic return assumptions to make the plan work

If the plan needs high returns, that is a risk to review.

Stopping after one version

Compare baseline, improved, and conservative scenarios.

Chapter Summary

Your first planning session should create a clear baseline.

Start with basic information, account balances, income sources, spending needs, healthcare assumptions, tax values, and baseline withdrawals. Review the Overview tab, save the baseline, check Plan Health, identify the weakest phase, and test one change at a time.

Once the baseline is built, compare Social Security timing, review tax brackets, check healthcare-sensitive years, compare withdrawal strategies, and use AI Chat if desired. Save improved and conservative scenarios separately.

The goal is not perfection. The goal is a plan you can understand, question, test, and improve.

The next chapter applies the full process to a case study, showing how a rough retirement estimate can become a reviewed plan.

Chapter 13 — Case Study: From Rough Estimate to Reviewed Plan

A retirement plan is easier to understand when the process is shown from start to finish.

This chapter walks through a realistic example. The numbers are simplified and are not meant to represent advice for any specific person. The purpose is to show how a rough retirement estimate can become a structured plan.

The case study follows the same process used throughout the book:

Start with a basic income question.

Divide retirement into phases.

Enter account balances and income sources.

Review taxes and healthcare costs.

Watch ending balances.

Check real income.

Review plan health.

Ask better questions.

Test improvements.

Save scenarios.

The goal is not to create a perfect plan. The goal is to show how the planning process works.

The Starting Question

The retiree in this example is 62 and wants to know whether retirement is workable.

The first question sounds simple:

Can I retire now and spend about \$4,500 per month?

That question is not enough by itself.

The better version is:

Can I retire at 62, create about \$4,500 per month of usable income, manage taxes and healthcare costs, and keep enough assets for later retirement?

That version gives us something to test.

The Basic Situation

Here are the starting assumptions for the example:

- Age: 62

- Filing status: Single
- Retirement start age: 62
- Plan end age: 90
- Main planning country: United States
- Healthcare before Medicare: ACA marketplace coverage
- Medicare begins: 65
- Social Security claiming age: 67
- Required minimum distributions begin later in retirement
- Desired monthly spending: about \$4,500 in today's dollars

Starting balances:

- Traditional IRA / 401k: \$350,000
- Roth IRA: \$130,000
- Cash savings: \$45,000
- Taxable brokerage: \$80,000

Income sources:

- Social Security begins at 67
- No employer pension in this example
- No part-time income in the baseline
- No rental income in the baseline

Planning assumptions:

- Inflation: 3% per year
- Traditional retirement account growth: 6.5% per year
- Roth growth: 6.5% per year
- Cash return: 3.5% per year
- Brokerage growth: 7% per year

These numbers are only example inputs. A real plan should use the retiree's actual balances, income estimates, tax situation, healthcare assumptions, and risk tolerance.

The First Rough Estimate

Before using a planner, the retiree may think about the situation like this:

I have \$605,000 across all accounts.

I want \$4,500 per month, or \$54,000 per year.

Social Security starts at 67, so I need to bridge five years.

At first glance, that may sound workable.

But the rough estimate leaves out several important questions:

How much of the \$54,000 is taxable?

How much healthcare cost applies before Medicare?

Will ACA premium assistance be affected by withdrawals?

How much Social Security will be taxable after it starts?

How much will inflation reduce later income?

Which accounts should be used first?

Will the traditional IRA become too large before RMDs?

Does the Roth account need to be preserved for later flexibility?

Will the plan still work if returns are lower?

The rough estimate is a starting point. It is not yet a plan.

Dividing the Plan Into Phases

The first improvement is to divide the retirement timeline into phases.

For this case study, a simple phase structure might be:

Phase 1: Age 62 to 65

Early retirement before Medicare. ACA marketplace coverage applies. Social Security has not started. Portfolio withdrawals and cash must support most spending.

Phase 2: Age 65 to 67

Medicare begins. Social Security is still delayed. Portfolio withdrawals still provide most income, but ACA planning is no longer the main healthcare issue.

Phase 3: Age 67 to 73

Social Security begins. Portfolio withdrawals may be reduced. There may be some room to review Roth conversions or tax bracket management.

Phase 4: Age 73 to 80

Required minimum distributions may begin. Taxable income may rise. The plan should watch RMD pressure and Medicare IRMAA exposure.

Phase 5: Age 80 to 90

Later retirement. The main questions are real income, healthcare reserves, reliable income, and remaining portfolio balance.

This structure already improves the planning process.

The retiree is no longer asking whether one big retirement period works. They are asking what each phase needs to accomplish.

Phase 1: The ACA Bridge Years

Phase 1 is often the most delicate part of an early retirement plan.

In this example, the retiree is 62 and not yet eligible for Medicare. They need healthcare coverage from 62 to 65.

If they use ACA marketplace coverage, income matters.

The retiree needs spending money, but traditional IRA withdrawals may increase MAGI. Higher MAGI may reduce premium assistance or cost-sharing benefits.

The first planning question is:

How can the retiree fund spending from 62 to 65 without creating unnecessary healthcare costs?

Possible sources include:

- Cash savings
- Traditional IRA withdrawals
- Roth withdrawals
- Taxable brokerage withdrawals

Each source has a different effect.

Cash can provide spending without creating taxable income.

Traditional IRA withdrawals usually increase taxable income.

Roth withdrawals may preserve taxable income flexibility if qualified.

Brokerage withdrawals may create taxable gains only on part of the sale.

The baseline might use a mix rather than relying on one source.

For example, the retiree may use some cash to reduce MAGI pressure, modest traditional withdrawals to avoid leaving all pre-tax money untouched, and brokerage withdrawals if gains are manageable.

The exact mix depends on the ACA target range, tax values, and account balances.

Phase 1 Review Questions

For Phase 1, the retiree should ask:

Does net income cover spending needs?

What is expected MAGI?

Does the plan preserve desired ACA support?

Are traditional withdrawals too high for healthcare purposes?

Is cash being used too quickly?

Is Roth money being preserved or spent?

What balance remains at 65?

Does the plan still work if investment returns are weak during these years?

Phase 1 is not only about getting to Medicare. It is about getting to Medicare without weakening the rest of the plan unnecessarily.

Phase 2: Medicare Begins, Social Security Still Delayed

At 65, Medicare begins.

This changes the healthcare question.

ACA marketplace concerns may no longer apply. Medicare premiums, supplemental coverage, prescription drug coverage, and possible IRMAA exposure become more relevant.

Social Security has not started yet in the baseline, so portfolio withdrawals are still needed.

This phase may create more flexibility than Phase 1 because the retiree may no longer be managing ACA income levels. But income still matters because higher income may affect Medicare costs.

The planning question becomes:

Should the retiree continue drawing from cash and investments, or use more traditional IRA withdrawals before Social Security begins?

This can be an important tax planning window.

If taxable income is still low, the retiree may have room for traditional withdrawals or Roth conversions. But any increase should be checked against Medicare-related thresholds.

Phase 2 Review Questions

For Phase 2, ask:

How much income is needed before Social Security begins?

Which accounts should provide it?

Is there room in lower tax brackets?

Would Roth conversions help reduce future RMD pressure?

Would additional income affect Medicare premiums?

Is the cash balance still adequate?

What balance remains at 67?

Does delaying Social Security still look reasonable?

This phase is a bridge between healthcare systems and income sources.

Phase 3: Social Security Begins

At 67, Social Security begins in the baseline.

This usually changes the plan significantly.

The portfolio may no longer need to provide the same level of income. The retiree may be able to reduce withdrawals, preserve assets, or redirect some planning attention toward taxes.

But Social Security also interacts with taxes.

Depending on other income, part of the Social Security benefit may be taxable. Traditional IRA withdrawals, capital gains, and other income can affect that calculation.

The planning question becomes:

How should withdrawals change once Social Security begins?

If Social Security covers a meaningful part of spending, traditional withdrawals may be reduced. Or the retiree may choose to keep some withdrawals for tax planning purposes.

This is where the plan needs to balance current income, future tax pressure, and account mix.

Phase 3 Review Questions

For Phase 3, ask:

How much of spending is now covered by Social Security?

Can portfolio withdrawals be reduced?

Is there still useful tax bracket space?

Should Roth conversions continue?

Does Social Security taxation change the effective cost of withdrawals?

Is real income holding up after inflation?

What balance remains before RMDs begin?

This phase may be a good time to improve future flexibility if the income need is lower than before.

Phase 4: Required Minimum Distribution Years

Later in retirement, required minimum distributions may begin from traditional retirement accounts.

This can change the tax picture.

If the traditional IRA or 401k balance remains large, RMDs may force taxable withdrawals even if the retiree does not need the money for spending.

That can increase taxable income. It may also increase Medicare costs if income reaches IRMAA thresholds.

The planning question becomes:

Did earlier phases leave too much future tax pressure?

If RMDs are modest and manageable, the plan may be fine. If RMDs create tax or Medicare pressure, earlier withdrawals or Roth conversions may have been worth considering.

This is why the RMD phase should be reviewed before it arrives.

Phase 4 Review Questions

For Phase 4, ask:

How large are required withdrawals expected to be?

Do RMDs exceed spending needs?

Do they increase taxes significantly?

Do they create IRMAA exposure?

Is the account mix still flexible?

Would earlier Roth conversions have improved this phase?

Does net income remain adequate?

Does the ending balance still support later years?

This phase shows whether earlier tax planning helped or whether future taxable income has become harder to control.

Phase 5: Later Retirement

The later phase focuses on durability.

By age 80 and beyond, the key questions may shift again.

The retiree may care most about:

- Reliable income
- Healthcare reserves
- Inflation-adjusted spending power
- Remaining balances
- Long life risk
- Simplicity
- Survivor needs, if applicable
- Ability to handle unexpected expenses

The portfolio may be smaller by design. That is not automatically a problem. The question is whether the remaining assets and reliable income still support the retiree's needs.

Real income is especially important in this phase.

A dollar amount that looked large at 62 may not feel large at 85.

Phase 5 Review Questions

For Phase 5, ask:

Does real income still cover essentials?

How much income is reliable?

How much depends on remaining portfolio withdrawals?

Is healthcare adequately reserved for?

Does the plan still work if the retiree lives longer than expected?

Is the ending balance intentionally low or unexpectedly weak?

Does the plan preserve enough flexibility?

Later retirement is where inflation, healthcare, and longevity risk become more visible.

First Baseline Result

After entering the plan, the retiree reviews the baseline.

A possible first result might look like this:

- Phase 1 income is workable but healthcare-sensitive.
- Phase 2 has more tax flexibility after Medicare begins.

- Phase 3 improves after Social Security starts.
- Phase 4 shows some future RMD pressure.
- Phase 5 is acceptable, but real income is lower than early retirement income.

This is a useful baseline.

It does not answer every question, but it shows where the review should focus.

The likely focus areas are:

1. ACA management from 62 to 65
- Tax bracket use from 65 to 73
 - Roth conversion potential before RMDs
 - Later real income
 - Stress testing lower returns and higher inflation

Checking Plan Health

Next, the retiree checks plan health.

Suppose most checks are green, but one or two are amber.

The amber areas might be:

- Later real income is lower than desired
- RMD pressure may create future tax exposure
- ACA years are sensitive to withdrawal source

This does not mean the plan fails.

It means the retiree has useful questions to ask.

For example:

Can I improve later real income without creating ACA problems?

Can I reduce future RMD pressure without triggering IRMAA?

Can I fund the ACA years from a better mix of accounts?

Could a smaller Roth conversion strategy help?

Plan Health is not the final answer. It points to the next review.

Asking the First AI Chat Question

If the retiree is using the planner's AI Chat feature, a good first prompt is:

Summarize this plan and flag the main risks.

A useful response might identify:

- The ACA bridge years as sensitive
- Unused low tax bracket space before RMDs
- Possible Roth conversion opportunities

- Later real income pressure
- The need to preserve cash or Roth flexibility
- Future RMD or IRMAA exposure

The retiree should not immediately apply changes.

First, they should ask follow-up questions.

Follow-Up Question 1: The Weakest Phase

A good follow-up is:

Which phase is weakest, and why?

The answer may point to Phase 1 because of healthcare sensitivity, or Phase 5 because of real income, or Phase 4 because of RMD pressure.

Knowing the weakest phase helps focus the review.

If Phase 1 is weakest, the retiree should review account order and ACA planning.

If Phase 4 is weakest, the retiree should review pre-RMD tax planning.

If Phase 5 is weakest, the retiree should review inflation, withdrawals, and longevity assumptions.

Follow-Up Question 2: Tax Bracket Space

Next, the retiree might ask:

Do I have unused low tax bracket space before required minimum distributions begin?

This question is useful because it identifies whether earlier taxable income could reduce future pressure.

The response may suggest that from 65 to 73 there is room for modest traditional withdrawals or Roth conversions.

But the retiree should follow up:

Would those conversions affect ACA or IRMAA?

This is where the timeline matters.

A conversion before Medicare may affect ACA. A conversion after Medicare may affect IRMAA. A conversion before Social Security may have different tax effects than one after Social Security begins.

Follow-Up Question 3: ACA Protection

For early retirement, the retiree should ask:

How can I fund ages 62 to 65 while preserving ACA eligibility where possible?

The answer may compare:

- More cash use
- Smaller traditional withdrawals
- Roth withdrawals
- Brokerage sales with limited gains

- A mixed withdrawal approach

The retiree should review the tradeoff carefully.

Using more cash may protect MAGI but reduce reserves.

Using Roth may protect MAGI but reduce future tax-free flexibility.

Using traditional withdrawals may support tax planning but increase healthcare costs.

The best answer may be a mix.

Follow-Up Question 4: Roth Conversion Strategy

A useful Roth question is:

Would annual partial Roth conversions from age 65 to 73 improve this plan without creating unreasonable tax or IRMAA costs?

This is more useful than asking whether Roth conversions are good in general.

The answer should review:

- Conversion room
- Current tax cost
- Future RMD reduction
- Roth balance growth
- IRMAA exposure
- Cash available to pay tax
- Effect on later flexibility

The retiree can then test a modest annual conversion.

If the conversion improves later account mix and reduces RMD pressure without creating unacceptable costs, it may be worth keeping in an improved scenario.

If it creates too much tax or IRMAA pressure, the conversion amount may need to be smaller or skipped.

Follow-Up Question 5: Spending Increase

Suppose the retiree wants to know whether they can spend more in early retirement.

A useful question is:

Can I increase discretionary spending by \$300 per month from age 62 to 72 without weakening the later phases too much?

This question is specific.

It identifies the amount, time period, and concern.

The answer should show whether the increase affects:

- Phase 1 healthcare costs
- Phase 2 withdrawals
- Phase 3 balances

- Later real income
- Ending balance at age 90
- Plan Health checks

The retiree may find that the increase is affordable, or that it should be funded only from certain accounts, or that a smaller increase is more comfortable.

Testing Improvements

After the review, the retiree tests a few possible improvements.

Possible changes might include:

Use more cash and brokerage withdrawals during ACA years to manage MAGI.

- Add modest traditional withdrawals or Roth conversions after Medicare begins.
- Reduce future RMD pressure by converting some pre-tax assets before RMD age.
- Adjust withdrawals after Social Security begins.
- Preserve Roth assets for later tax flexibility.
- Use a guardrail approach for discretionary spending.
- Extend the plan to age 95 as a longevity test.

The retiree should test one change at a time.

After each change, they should review:

- Net income
- Real income
- Taxes
- Healthcare costs
- Ending balances
- Account mix
- Plan Health

The goal is to understand the effect, not to apply every possible improvement.

Creating an Improved Scenario

Suppose the retiree creates an improved version with these changes:

- Phase 1 uses a mix of cash, limited traditional withdrawals, and brokerage withdrawals to manage ACA sensitivity.
- Phase 2 begins modest Roth conversions after Medicare starts, sized to avoid unacceptable IRMAA exposure.
- Phase 3 reduces portfolio withdrawals once Social Security begins.
- Phase 4 has lower RMD pressure because some pre-tax money was converted earlier.
- Phase 5 shows slightly stronger Roth flexibility and more manageable taxable income.

This improved scenario may not increase income dramatically.

Its main benefit may be better balance:

- Fewer healthcare issues in early retirement
- More intentional tax bracket use
- Less future RMD pressure
- Better account mix
- Improved later flexibility

That is often what a good retirement improvement looks like.

It is not always a dramatic change. Sometimes it is a cleaner structure.

Comparing Baseline and Improved Versions

The retiree should compare the baseline and improved versions side by side.

Key comparison questions include:

Does net income improve?

Does real income improve?

Are taxes lower, higher, or better distributed?

Are ACA years protected?

Is IRMAA avoided or accepted intentionally?

Are ending balances stronger or weaker?

Is account mix better later?

Does RMD pressure fall?

Does the plan feel easier to manage?

Sometimes the improved plan pays more tax earlier. That may be acceptable if it reduces future pressure.

Sometimes the improved plan produces slightly lower early income. That may be acceptable if it protects health-care benefits or later balances.

The point is to compare the full plan, not one number.

Creating a Conservative Scenario

Next, the retiree creates a conservative scenario.

They might test:

- Lower investment returns
- Higher inflation
- Higher healthcare costs
- Longer life expectancy
- Lower Social Security COLA
- Larger one-time expense

The conservative test helps answer:

How much margin does the plan have?

Which phase becomes weak first?

Does the plan still cover essential spending?

Does the final balance remain acceptable?

Would discretionary spending need to adjust?

Does the strategy need guardrails?

If the conservative scenario is still workable, confidence improves.

If it is not workable, the retiree has useful information. They may need a response plan.

Possible responses include:

- Reduce discretionary spending in weak markets
- Work part-time for one or two years
- Delay retirement
- Claim Social Security differently
- Hold more cash
- Reduce early withdrawals
- Adjust Roth conversion amounts
- Use a more flexible withdrawal strategy

A conservative scenario is not a prediction. It is a preparation tool.

What the Retiree Learns

By the end of this case study, the retiree has learned far more than the original rough estimate could show.

The original question was:

Can I retire and spend \$4,500 per month?

The reviewed plan gives better answers:

The early retirement phase is possible but healthcare-sensitive.

The Medicare-but-before-Social-Security phase may offer tax planning opportunities.

Social Security reduces portfolio pressure after 67.

RMDs may create future tax pressure if pre-tax balances are left untouched.

Roth conversions may help, but the amount and timing matter.

Real income later should be reviewed after inflation.

The plan should be stress tested under lower returns and higher inflation.

The best withdrawal approach may be a mixed strategy rather than one fixed rule.

That is a much clearer result than a simple yes or no.

What Makes the Plan Stronger

The improved plan is stronger because the retiree now understands the main tradeoffs.

They know which phase needs the most attention.

They know how healthcare affects early withdrawals.

They know that low tax years may be useful.

They know that Roth conversions should be sized carefully.

They know that Social Security timing affects bridge withdrawals.

They know that later real income matters.

They know that ending balances should be reviewed by phase and account type.

They know that conservative testing matters.

This is what a working plan should provide: not certainty, but clarity.

What the Planner Adds

The companion planner makes this process easier because the user can test changes directly.

Instead of rebuilding a spreadsheet after each change, the retiree can adjust withdrawals, Social Security timing, tax parameters, healthcare assumptions, and strategy choices inside the same planning file.

The Overview tab shows the phase-by-phase result.

The Plan Health Score points to areas needing review.

The Drawdown Strategy Comparison helps compare withdrawal methods.

The AI Chat tab, if used with a Claude API key, allows the retiree to ask questions about the actual plan and review proposed changes.

The value is not that the planner gives one final answer.

The value is that it makes the review process faster, clearer, and easier to repeat.

Case Study Summary

A rough estimate is useful, but it is not enough.

In this case study, the retiree began with a simple question about retiring at 62 and spending about \$4,500 per month. By building a phase-based plan, they could review the real issues:

- Funding the ACA bridge years
- Managing tax bracket space
- Deciding when and how to use Roth conversions
- Reducing future RMD pressure
- Preserving real income after inflation
- Watching ending balances
- Comparing withdrawal strategies

- Stress testing the result

The case study shows the main lesson of the book:

A retirement plan should be something you can question, test, update, and improve.

The next chapter closes the book by turning the framework into a simple next-step action plan.

Chapter 14 — What to Do Next

A retirement plan becomes useful when it leads to action.

Reading about retirement income planning can help you understand the moving parts. But the value comes from applying the framework to your own numbers.

The next step is not to create a perfect plan.

The next step is to create a working version.

A working plan gives you something to review, question, test, and improve. It shows where the plan is strong. It shows where the plan needs attention. It helps you see which decisions matter most.

That is the purpose of this book.

The goal was not to give you one rule for retirement. The goal was to give you a practical way to organize the decision.

Divide retirement into phases.

Identify income sources.

Estimate taxes and healthcare costs.

Watch real income.

Review ending balances.

Compare withdrawal strategies.

Ask better questions.

Update the plan as values change.

That process is more useful than trying to answer retirement with one number.

Start With a Baseline

The most important next step is to build a baseline plan.

A baseline is not the final answer. It is the first organized version of your assumptions.

It should include:

- Current age
- Expected retirement age
- Plan end age
- Filing status
- Country or residency assumption
- Account balances by type
- Expected income sources
- Social Security or pension timing

- Healthcare assumptions
- Spending target
- Inflation assumption
- Investment return assumptions
- Tax parameters
- Initial withdrawal plan

The baseline gives you something to examine.

Without a baseline, the plan remains a collection of questions. With a baseline, the questions become specific.

Which phase is weakest?

Which account is carrying the most pressure?

Does real income hold up?

Does healthcare change the result?

Is tax bracket space being used well?

Do ending balances remain acceptable?

That is where useful planning begins.

Do Not Wait for Perfect Inputs

Many people delay planning because they do not have perfect numbers.

They do not know the exact healthcare premium.

They are not sure when they will claim Social Security.

They do not know future tax brackets.

They are unsure about investment returns.

They may move to another state or country.

They may work part-time, but they do not know how much.

Those uncertainties are real, but they are not a reason to avoid building the plan.

Use reasonable estimates.

Then test alternatives.

If you are unsure whether you will claim Social Security at 62 or 67, create both versions.

If you are unsure whether inflation will be 3% or 4%, test both.

If you are unsure whether healthcare will cost \$500 or \$900 per month, test both.

If you are unsure whether returns will be 5% or 7%, test both.

A retirement plan does not need perfect inputs to be useful. It needs inputs that can be reviewed and improved.

Review the Plan in the Right Order

Once your baseline is built, review it in a practical order.

Start with income.

Does each phase produce enough net monthly income?

Then review real income.

Does the income still have enough purchasing power later?

Then review ending balances.

Does each phase leave enough for the next phase?

Then review taxes.

Are taxable withdrawals creating pressure? Are low-income years being used intentionally? Are future required minimum distributions likely to create problems?

Then review healthcare.

Are ACA years sensitive to MAGI? Are Medicare years near IRMAA thresholds?

Then review withdrawal strategy.

Does the strategy fit the retiree's goals, risk tolerance, and flexibility?

Then stress test.

What happens if returns are lower, inflation is higher, healthcare costs rise, or retirement lasts longer?

This order keeps the review manageable.

Focus on the Weakest Phase

Every plan has a pressure point.

The weakest phase may be the years before Medicare.

It may be the years before Social Security.

It may be the first required minimum distribution phase.

It may be late retirement after inflation has reduced purchasing power.

It may be a phase with high tax or healthcare sensitivity.

Find that phase first.

A plan usually improves faster when you focus on the weakest phase rather than making random changes across the whole timeline.

Ask:

What is this phase supposed to accomplish?

Which income sources are active?

Which costs apply?

Which account is being used most heavily?

What ending balance remains?

What one change would improve this phase without weakening the rest of the plan too much?

The answer may be simple. It may be a smaller withdrawal, a different account source, a Social Security timing change, a Roth conversion adjustment, or a spending change.

Save Scenarios

Do not rely on one version of the plan.

Create scenarios.

At minimum, keep three versions:

Baseline

Your starting assumptions.

Improved

A version with changes that appear to strengthen the plan.

Conservative

A version with lower returns, higher inflation, higher healthcare costs, longer life, or other cautious assumptions.

You may also want versions such as:

- Retire at 62
- Retire at 64
- Claim Social Security at 62
- Claim Social Security at 67
- Delay Social Security to 70
- Roth conversion plan
- ACA-protected plan
- Higher spending plan
- Lower spending plan
- Expat version
- Stay-in-home-country version

Scenarios help you compare choices instead of guessing.

Use the Planner as a Working Model

The companion AI-Ready Retirement Income Planner was built to apply the framework in this book.

It lets you enter your own assumptions, view retirement by phase, estimate taxes and healthcare costs, review net and real income, watch ending balances, compare withdrawal strategies, check plan health, save scenarios, and update the plan over time.

If you choose to add your own Claude API key, you can also use the AI Chat tab to ask questions about the plan you entered.

That can help with questions such as:

Which phase has the most risk?

Am I using low tax bracket space efficiently?

Could this withdrawal affect ACA costs?

Am I close to IRMAA?

Would Roth conversions help before RMDs begin?

Which withdrawal strategy fits this plan?

What specific changes would improve the plan?

The planner does not make the decision for you.

It gives you a structured way to review the decision.

Use AI Carefully

AI can be useful when the plan is already organized.

It can summarize. It can explain. It can compare. It can suggest changes. It can help identify risks and tradeoffs.

But AI output should be reviewed.

Before accepting any suggestion, ask:

Do I understand the change?

Which phase does it affect?

Which account does it affect?

Does it change taxes?

Does it change healthcare costs?

Does it reduce future flexibility?

Does it match my goals?

Have important tax and healthcare values been verified?

Save the baseline before applying AI-suggested changes.

Apply only the changes you understand and agree with.

Then review the plan again.

Keep the Plan Current

A retirement plan should be updated.

At least once a year, review:

- Account balances
- Spending assumptions

- Tax values
- Healthcare values
- Inflation assumption
- Investment return assumptions
- Social Security or pension estimates
- Currency assumptions, if relevant
- Plan Health
- Withdrawal strategy
- Saved scenarios

Also update the plan after major life events:

- Retirement date change
- Job loss
- New part-time income
- Marriage or divorce
- Death of a spouse
- Major health change
- Move to another state or country
- Large market change
- Home sale
- Inheritance
- Medicare enrollment
- Social Security claiming decision
- Roth conversion
- Large one-time expense

The plan does not need constant adjustment, but it should stay connected to reality.

Know When to Get Professional Help

This book and the companion planner are educational tools.

They can help you organize information, test assumptions, compare scenarios, and ask better questions.

They do not replace professional advice.

Consider getting professional help when decisions involve:

- Large Roth conversions
- Complex tax issues
- Multi-country tax residency
- Estate planning
- Pension elections
- Annuity purchases
- Medicare or ACA enrollment decisions

- Significant investment changes
- Business sales
- Divorce or survivor planning
- Large capital gains
- Inheritance planning
- Long-term care planning

A good planner, CPA, tax adviser, or other qualified professional can help verify assumptions and apply the rules to your situation.

The more organized your plan is before you seek help, the more productive that conversation can be.

The Most Useful First Action

The most useful first action is simple:

Build the baseline.

Do not start with the hardest decision.

Do not start with Roth conversions.

Do not start with the perfect withdrawal strategy.

Do not start by trying to optimize every tax bracket.

Start by entering the plan as you currently understand it.

Then review what it shows.

Once the baseline exists, every question becomes easier:

Can I spend more?

Should I retire later?

Should I claim Social Security earlier?

Should I do Roth conversions?

Should I use cash before retirement accounts?

Should I protect ACA eligibility?

Should I avoid IRMAA?

Should I use a guardrail strategy?

Should I move abroad?

Should I reduce investment risk?

The baseline gives those questions context.

A Simple 30-Minute Starting Plan

If you want a low-pressure starting point, use a simple 30-minute session.

In the first 30 minutes, enter only the basics:

- Age
- Retirement age
- Plan end age
- Filing status
- Main account balances
- Social Security estimate
- Pension estimate, if any
- Monthly spending target
- Basic healthcare estimate
- Inflation assumption
- Basic return assumptions

Then look at the phase cards.

Do not optimize yet.

Just ask:

Does the rough plan look close?

Which phase is weakest?

What number looks surprising?

What information do I need to improve next?

This keeps the first step manageable.

After that, you can refine the plan.

A Simple Follow-Up Session

In the second session, improve the details.

Update:

- Healthcare assumptions
- Tax values
- Account-specific withdrawals
- Social Security timing
- Roth conversion possibilities
- Withdrawal strategy comparison
- Conservative assumptions

Then save:

- Baseline
- Improved version
- Conservative version

At that point, you will have a practical planning model.

It will not be perfect. It will be useful.

Final Thought

Retirement planning is easier when the plan is visible.

A visible plan shows the phases.

It shows the income sources.

It shows the taxes.

It shows the healthcare costs.

It shows the real income.

It shows the ending balances.

It shows the tradeoffs.

Once the plan is visible, you can question it.

You can test it.

You can improve it.

You can update it.

That is the practical goal.

Build a retirement plan you can question.

About the Companion Planner

The companion AI-Ready Retirement Income Planner was built to apply the framework in this book. You can read and use the book without the planner, but the planner gives you a structured place to enter your own assumptions, review retirement by phase, compare withdrawal strategies, check Plan Health, save scenarios, and optionally use a Claude API key to ask questions about your exact plan.

Resources and Companion Materials

The ideas in this book are easier to apply when you can see the planner in action and use the supporting materials alongside your own retirement assumptions.

The resources below are provided to help you continue from reading into practical planning.

Watch the Retirement Income Planner Tutorial Videos

The tutorial playlist walks through the planner features step by step, including the dashboard, phase cards, tax and healthcare settings, scenario comparisons, Plan Health review, withdrawal strategy tools, and AI Chat features.

Use the videos if you prefer to see the workflow demonstrated before entering your own numbers.

YouTube Retirement Income Planner Tutorial Videos Playlist

https://www.youtube.com/watch?v=n_i-2Aehu-U&list=PLUc0tBTN6KbTn_mGeGYhP_ryNW_C2pV_P

Review the Full Features Guide

The full features guide gives an overview of what the planner includes and how the main tools fit together. It is useful if you want to compare the planner's features with the planning framework in this book.

Retirement Income Planner Full Features Guide

<https://airetirementincomeplanner.com/features.html>

Read the User Guide

The user guide is the best place to look for step-by-step instructions while using the planner. It can be used alongside Chapter 12, "Your First Planning Session," when building your first baseline plan.

Retirement Income Planner User Guide

<https://drive.proton.me/urls/NVVYTFN37C#iN32zFi4h7Cy>

Get the Companion Planner

The AI-Ready Retirement Income Planner is the companion tool built around the framework in this book. It lets you enter your own assumptions, review retirement by phase, estimate taxes and healthcare costs, compare withdrawal strategies, check Plan Health, save scenarios, and optionally use a Claude API key to ask questions about your exact plan.

Buy Retirement Income Planner on Our Website

<https://airetirementincomeplanner.com>

Suggested Use

If you are new to the planner, start with the tutorial playlist or the user guide before entering detailed assumptions.

If you have already read through Chapter 12, use the planner to create a baseline version of your retirement income plan. Save that version before testing changes.

Then use the videos, user guide, and full features guide as references while you compare scenarios and refine the plan.

Appendix A — Retirement Planning Input Checklist

Use this checklist before building your first retirement income plan or updating an existing one.

You do not need every item to be exact before you start. A first version can use reasonable estimates. The goal is to organize the main inputs so the plan can be reviewed, questioned, and improved.

1. Personal Planning Details

- Current age
- Expected retirement age
- Plan end age
- Filing status
- Country of citizenship
- Expected country of residence
- Expected state or region of residence, if relevant
- Household size
- Spouse or partner details, if planning jointly
- Dependents or family support obligations
- Major planned relocation, if any
- Expected retirement lifestyle
- Desired level of legacy or estate preservation

2. Retirement Timeline

List the major ages or dates when something changes.

- Retirement start age
- Spouse or partner retirement age
- Social Security claiming age
- Spouse or partner Social Security claiming age
- Pension start age
- Medicare start age
- ACA marketplace coverage period
- Required minimum distribution start age
- Mortgage payoff date, if relevant
- Planned home sale or relocation date
- Planned part-time work period
- Expected reduction or increase in spending
- Major one-time expenses

3. Account Balances

Separate balances by account type. Do not combine everything into one total.

- Traditional 401k balance
- Traditional IRA balance
- Roth IRA balance
- Roth 401k balance
- Cash savings
- High-yield savings or money market balance
- Taxable brokerage balance
- Estimated unrealized gains in taxable brokerage account
- Health savings account balance, if used for retirement planning
- Pension lump sum value, if applicable
- Annuity value, if applicable
- Rental property equity, if relevant
- Other assets intended to support retirement income

4. Growth and Return Assumptions

Use realistic assumptions and test conservative versions later.

- Expected annual return for traditional retirement accounts
- Expected annual return for Roth accounts
- Expected annual return for taxable brokerage accounts
- Expected cash interest rate
- Expected real estate income or appreciation, if relevant
- Inflation assumption
- Social Security COLA assumption
- Pension increase assumption
- UK State Pension / Triple Lock assumption, if relevant
- Currency exchange rate assumption, if relevant

5. Income Sources

For each income source, note the monthly amount, start age, end age if applicable, and whether it adjusts for inflation.

- Social Security
- Spouse or partner Social Security
- UK State Pension
- Employer pension
- Private pension
- Annuity income

- Rental income
- Part-time work
- Consulting or business income
- Royalties or creator income
- Dividends and interest
- Other recurring income

6. Spending Needs

Start with monthly spending in today's dollars.

Essential Spending

- Housing
- Food
- Utilities
- Insurance
- Healthcare premiums
- Prescriptions and out-of-pocket healthcare
- Transportation
- Basic taxes
- Debt payments
- Required family support
- Other non-negotiable expenses

Discretionary Spending

- Travel
- Dining out
- Hobbies
- Entertainment
- Gifts
- Home upgrades
- Vehicle replacement
- Extra family support
- Subscriptions and memberships
- Other optional spending

7. Healthcare Assumptions

Healthcare should be reviewed separately before and after Medicare.

Before Medicare

- Expected healthcare coverage type
- ACA marketplace coverage, if applicable

- Expected monthly premium
- Household size for ACA calculations
- Expected MAGI
- Desired ACA income range, if relevant
- Cost-sharing reduction eligibility, if relevant
- Expected deductible and out-of-pocket exposure
- Private insurance costs, if applicable
- International or local healthcare costs, if living abroad

Medicare Years

- Medicare start age
- Part B premium assumption
- Part D premium assumption
- Medigap or Medicare Advantage cost
- Prescription cost estimate
- Expected out-of-pocket costs
- IRMAA threshold sensitivity
- Long-term care concern or reserve

8. Tax Assumptions

Use current values when possible and verify before making major decisions.

- Filing status
- Standard deduction
- Additional deduction for age 65+, if applicable
- Federal tax bracket thresholds
- State tax assumptions, if applicable
- Social Security taxation assumption
- Capital gains assumptions
- Traditional retirement account withdrawal tax treatment
- Roth withdrawal assumptions
- Roth conversion assumptions
- Required minimum distribution assumptions
- IRMAA thresholds
- ACA/FPL values
- Foreign tax or treaty considerations, if relevant

9. Withdrawal Planning Inputs

For each phase, estimate how spending will be funded.

- Traditional IRA / 401k withdrawals

- Roth withdrawals
- Cash withdrawals
- Taxable brokerage withdrawals
- Pension income
- Social Security income
- Rental or passive income
- Part-time work
- Planned Roth conversions
- Planned one-time withdrawals
- Planned large expenses

10. Scenario Names to Save

Create separate versions instead of overwriting the baseline.

- Baseline Plan
- Improved Plan
- Conservative Plan
- Higher Spending Plan
- Lower Spending Plan
- Retire Earlier Plan
- Retire Later Plan
- Claim Social Security at 62
- Claim Social Security at Full Retirement Age
- Delay Social Security to 70
- Roth Conversion Plan
- ACA-Protected Plan
- IRMAA-Aware Plan
- Expat Plan
- Stay-in-Home-Country Plan

11. First Planning Session Checklist

- Enter personal details
- Enter account balances by type
- Enter income sources
- Enter spending needs
- Enter healthcare assumptions
- Enter tax assumptions
- Enter baseline withdrawals
- Review each phase
- Check net income

- Check real income
- Check ending balances
- Review Plan Health
- Identify the weakest phase
- Save the baseline
- Test one change at a time
- Save improved and conservative versions
- Write down open questions

Appendix B — Questions to Ask Your Retirement Plan

Use these questions when reviewing your own plan, working with the companion planner, or preparing for a conversation with a financial, tax, or retirement professional.

The best questions are specific. They should point to a phase, account, threshold, assumption, or decision.

1. Timeline Questions

- What are the main phases of my retirement?
- Which phase begins when I retire?
- Which phase begins when Social Security starts?
- Which phase begins when Medicare starts?
- Which phase begins when required minimum distributions start?
- Which phase has the most moving parts?
- Which phase is most sensitive to taxes?
- Which phase is most sensitive to healthcare costs?
- Which phase depends most heavily on portfolio withdrawals?

2. Income Questions

- Does each phase produce enough net monthly income?
- Which phase has the lowest net income?
- Which phase has the highest income?
- Does my income pattern match my expected lifestyle?
- Is my income front-loaded, back-loaded, or steady?
- How much of my income is reliable?
- How much depends on flexible withdrawals?
- Which income sources begin later?
- Which income sources stop or change later?

3. Income Floor Questions

- What is my essential monthly spending?

- How much of my income floor is covered by Social Security, pensions, or other reliable income?
- How much of my income floor depends on portfolio withdrawals?
- Does the income floor remain covered after inflation?
- Does the income floor remain covered if investment returns are lower?
- Would delaying or claiming Social Security earlier improve the income floor?
- Would an annuity or pension option strengthen the income floor?
- Which discretionary expenses could be reduced if needed?

4. Real Income and Inflation Questions

- What is my real monthly income in each phase?
- Does real income fall later in retirement?
- Is any decline in real income intentional?
- Does real income remain above my essential spending floor?
- Which income sources adjust with inflation?
- Which income sources are fixed?
- What happens if inflation is 1% higher than expected?
- What happens if inflation is higher and investment returns are lower?
- Does the plan still work if extended to age 90, 95, or 100?

5. Ending Balance Questions

- What is the ending balance in each phase?
- Which phase has the weakest ending balance?
- Does each ending balance support the next phase?
- Is the portfolio decline intentional or accidental?
- Does the plan leave too little for later retirement?
- Does the plan leave more than needed because spending is too conservative?
- What happens to ending balances under lower return assumptions?
- What account types make up the ending balance?
- How much of the ending balance is pre-tax?
- How much is Roth, cash, or taxable brokerage?

6. Tax Questions

- What is my taxable income in each phase?
- Which phase has the highest taxable income?
- Which phase has unused low tax bracket space?
- Am I staying within my target bracket?
- Does Social Security taxation change the effective cost of withdrawals?
- Would earlier traditional withdrawals reduce future required minimum distribution pressure?
- Would Roth conversions help before RMDs begin?

- Would a Roth conversion affect healthcare costs?
- Is the plan minimizing this year's tax while creating higher future tax?
- Are tax values current and verified?

7. Healthcare Questions Before Medicare

- Will I use ACA marketplace coverage before Medicare?
- What is my expected MAGI during ACA years?
- Am I trying to preserve premium tax credits?
- Am I trying to preserve cost-sharing reductions?
- Which withdrawals increase MAGI?
- Could cash, Roth, or brokerage withdrawals reduce MAGI pressure?
- Would part-time work affect healthcare costs?
- Would a Roth conversion create an ACA problem?
- What happens if healthcare premiums are higher than expected?
- Have I checked actual plan options and networks?

8. Medicare and IRMAA Questions

- When does Medicare begin?
- What Medicare premiums and supplemental costs should be included?
- Am I close to an IRMAA threshold?
- Could a Roth conversion trigger IRMAA?
- Could capital gains or large withdrawals trigger IRMAA?
- Will future RMDs create Medicare premium pressure?
- Would spreading income across years help?
- Is crossing an IRMAA threshold worth the benefit of the transaction?
- Have I verified current IRMAA values?

9. Account Order Questions

- Which account should fund the early retirement bridge?
- Should cash be used before taxable withdrawals?
- Should Roth money be preserved for later flexibility?
- Should traditional accounts be drawn earlier to reduce RMD pressure?
- Should taxable brokerage assets be used before retirement accounts?
- How much cash should remain as a reserve?
- Does the account order support ACA planning?
- Does the account order support IRMAA planning?
- Does the account order preserve future flexibility?

10. Social Security Questions

- What happens if I claim Social Security at 62?
- What happens if I claim at full retirement age?
- What happens if I delay to 70?
- How much portfolio withdrawal is needed to delay?
- Does delaying improve later real income?
- Does claiming earlier protect the portfolio?
- How does Social Security timing affect taxes?
- How does it affect a spouse or survivor, if applicable?
- Does health or life expectancy change the decision?
- Which claiming age fits the full plan best?

11. Roth Conversion Questions

- Do I have low-income years before RMDs begin?
- How much bracket space is available for conversions?
- Would conversions affect ACA costs?
- Would conversions affect IRMAA?
- Is there cash available to pay the tax?
- Would small annual conversions work better than one large conversion?
- Which phase is best for conversions?
- How much future RMD pressure is reduced?
- Does the conversion improve after-tax flexibility?
- What should be verified before converting?

12. Withdrawal Strategy Questions

- Which withdrawal strategy best fits this plan?
- How does my current plan compare with the 4% rule?
- Would Variable Percentage Withdrawal fit my spending flexibility?
- Would a guardrail strategy help manage market risk?
- Would a bucket strategy make the plan easier to follow?
- Should essential and discretionary spending use different strategies?
- Does the withdrawal strategy fit tax planning?
- Does the withdrawal strategy fit healthcare planning?
- Would I actually follow this strategy during a bad market?

13. Stress Test Questions

- What happens if investment returns are lower?
- What happens if inflation is higher?
- What happens if healthcare costs rise faster than expected?

- What happens if I live longer than planned?
- What happens if a major one-time expense occurs?
- What happens if part-time income stops?
- What happens if currency exchange rates move against me?
- Which phase fails first under stress?
- What change improves resilience most?

14. AI Chat Questions

If using the planner's optional AI Chat feature, start with specific prompts.

- Summarize this plan and flag the main risks.
- Which phase is weakest, and why?
- Which assumption has the biggest effect on this plan?
- Am I using low tax bracket space efficiently?
- Could any withdrawals affect ACA costs?
- Am I close to IRMAA?
- Would Roth conversions help before RMDs begin?
- Which withdrawal strategy fits this plan best?
- Suggest one conservative improvement.
- Suggest one income-improving change.
- What could go wrong with this suggestion?
- Which values should I verify before relying on this result?

15. Annual Review Questions

- What changed since the last version?
- Are balances updated?
- Are tax values updated?
- Are healthcare values updated?
- Are spending assumptions still realistic?
- Is the inflation assumption still reasonable?
- Has Social Security or pension information changed?
- Has my retirement date changed?
- Has my risk tolerance changed?
- Which scenario should become the new baseline?

Appendix C — Glossary

This glossary explains common retirement planning terms used throughout the book and companion planner. The explanations are simplified for planning purposes and should not replace current official guidance or professional advice.

ACA

ACA stands for Affordable Care Act. In retirement planning, ACA often refers to marketplace health insurance used by people who retire before Medicare begins. Premium tax credits and cost-sharing reductions may depend on household income.

ACA Premium Tax Credit

A subsidy that can reduce the monthly cost of ACA marketplace insurance for eligible households. The amount depends on factors such as household income, household size, location, and benchmark plan costs.

Account Mix

The way retirement assets are divided among different account types, such as traditional IRA, Roth IRA, cash, and taxable brokerage. Account mix matters because different accounts have different tax and withdrawal effects.

AGI

Adjusted Gross Income. A tax calculation used as a starting point for several other tax and income-related rules. Some retirement and healthcare calculations use AGI or a modified version of it.

AI Chat

The optional feature in the companion planner that allows a user to ask questions about the retirement plan entered into the planner, using a Claude API key. AI Chat can help review risks, taxes, healthcare thresholds, withdrawals, and possible changes. It should be used as a review tool, not as professional advice.

Annuity

A financial product that can provide income, often for a fixed period or for life. Annuities can help create reliable income but vary widely in cost, structure, guarantees, inflation protection, and flexibility.

Baseline Plan

The first working version of a retirement plan. A baseline uses current assumptions and gives the retiree something to review, compare, and improve.

Brokerage Account

A taxable investment account that may hold stocks, funds, bonds, or other investments. Withdrawals may trigger capital gains depending on what is sold and the cost basis of the investment.

Capital Gain

The profit from selling an asset for more than its cost basis. Capital gains may be taxed differently from ordinary income depending on how long the asset was held and current tax rules.

Cash Reserve

Money held in cash, savings, money market funds, or similar low-risk accounts. A cash reserve can support emergencies, short-term spending, market downturn flexibility, and tax or healthcare planning.

COLA

Cost-of-Living Adjustment. An increase intended to help income keep pace with inflation. Social Security benefits usually receive annual COLAs based on inflation measures.

Cost Basis

The original amount paid for an investment, adjusted for certain events. Cost basis is used to calculate capital gains or losses when an investment is sold.

CSR

Cost-Sharing Reductions. ACA marketplace benefits that can reduce out-of-pocket costs such as deductibles, co-pays, and out-of-pocket maximums for eligible people who choose qualifying Silver plans.

Discretionary Spending

Optional spending that can be adjusted more easily than essential spending. Examples include travel, dining out, hobbies, gifts, entertainment, and upgrades.

Effective Tax Rate

The average tax rate across total income. This is different from the marginal tax rate, which applies to the next dollar of taxable income.

Ending Balance

The amount left at the end of a retirement phase. The ending balance becomes the starting balance for the next phase. It is one of the most important numbers in a phase-based plan.

Essential Spending

Spending needed to cover basic living costs, such as housing, food, utilities, insurance, healthcare, transportation, basic taxes, and required debt payments.

FPL

Federal Poverty Level. A household income measure used in several benefit and healthcare calculations, including ACA marketplace subsidy calculations. FPL values can change each year and vary by household size and location category.

Full Retirement Age

The age at which a person can claim unreduced Social Security retirement benefits. The exact age depends on birth year.

Gross Income

Income before taxes, healthcare costs, and other deductions. Gross income can look stronger than the actual amount available to spend.

Guardrails

A withdrawal strategy that sets rules for adjusting spending when the portfolio moves above or below certain limits. Guardrails can help balance stability with flexibility.

Income Floor

The amount of income needed to cover essential expenses. A strong income floor may be supported by Social Security, pensions, annuities, cash reserves, or conservative withdrawals.

Inflation

A general increase in prices over time. Inflation reduces the purchasing power of money. Retirement plans should review real income, not only nominal income.

IRMAA

Income-Related Monthly Adjustment Amount. An additional Medicare premium surcharge that may apply to higher-income Medicare beneficiaries for Part B and Part D.

MAGI

Modified Adjusted Gross Income. A version of income used for certain tax and healthcare calculations. ACA subsidy calculations and Medicare IRMAA use income measures that make MAGI important in retirement planning.

Marginal Tax Rate

The tax rate that applies to the next dollar of taxable income. This can be more useful than effective tax rate when deciding whether to take an additional withdrawal or Roth conversion.

Medicare

A U.S. federal health insurance program generally available at age 65 and for certain other eligible individuals. Retirement planning may include Medicare premiums, Part D costs, supplemental coverage, Medicare Advantage, and IRMAA.

Net Income

Income after major deductions such as taxes and healthcare costs. Net income is closer to the amount available to spend than gross income.

Nominal Income

Income shown in future dollars without adjusting for inflation. Nominal income can rise while real purchasing power falls.

Phase

A period within retirement where the same major rules or income sources apply. For example, the years before Medicare, the years after Social Security begins, or the years after RMDs begin.

Plan End Age

The age through which the plan is projected. A longer plan end age tests longevity risk and may require more conservative withdrawal assumptions.

Plan Health Score

A review feature in the companion planner that checks several parts of the plan, such as income, taxes, health-care thresholds, ending balances, and stress resilience. It is a review aid, not a guarantee.

Portfolio Survival

Whether the investment and savings balances remain positive through the planned retirement period under the assumptions used.

Real Income

Income adjusted for inflation and shown in today's purchasing power. Real income helps show what future income may feel like compared with today.

Required Minimum Distribution

A mandatory withdrawal from certain pre-tax retirement accounts after reaching the applicable age. RMDs can create taxable income even if the retiree does not need the money for spending.

RMD

Short for Required Minimum Distribution.

Roth Account

A retirement account funded with after-tax dollars, where qualified withdrawals are generally tax-free. Roth accounts can provide tax flexibility in retirement.

Roth Conversion

Moving money from a traditional pre-tax retirement account into a Roth account. The converted amount is generally taxable in the year of conversion. Roth conversions may reduce future RMD pressure but can increase current tax and healthcare-related costs.

Sequence Risk

The risk that poor investment returns early in retirement can harm the plan more than the same returns occurring later. Sequence risk matters because withdrawals during market declines can reduce the portfolio's ability to recover.

Social Security

A U.S. retirement income program that provides monthly benefits based on earnings history and claiming age. Social Security can form an important part of the retirement income floor and usually includes cost-of-living adjustments.

Spendable Income

Income available to support living expenses after taxes, healthcare costs, and other major deductions. Spendable income is often more useful than gross income.

Standard Deduction

A deduction amount that reduces taxable income for taxpayers who do not itemize deductions. The amount can vary by filing status and may change each year.

Stress Test

A review of the plan under less favorable assumptions, such as lower returns, higher inflation, higher healthcare costs, longer life, or large unexpected expenses.

Tax Bracket

A range of taxable income taxed at a specific rate. U.S. tax brackets are progressive, meaning different layers of income are taxed at different rates.

Taxable Brokerage Withdrawal

Money taken from a taxable brokerage account. The tax effect depends on whether investments are sold, how much gain is realized, and the type of income generated.

Traditional IRA / 401k

A pre-tax retirement account where contributions may have received tax advantages and withdrawals are generally taxed as ordinary income.

Triple Lock

A UK State Pension increase policy historically linked to the highest of inflation, wage growth, or a minimum percentage. Future policy can change, so assumptions should be reviewed.

Variable Percentage Withdrawal

A withdrawal approach where the amount withdrawn is based on a percentage of the current portfolio balance, often changing with age or remaining planning horizon. It adjusts to portfolio performance but can create variable income.

VPW

Short for Variable Percentage Withdrawal.

Withdrawal Rate

The percentage of a portfolio withdrawn in a given year. For example, withdrawing \$20,000 from a \$500,000 portfolio is a 4% withdrawal rate.

Withdrawal Strategy

The method used to decide how much to withdraw, from which accounts, and when. Examples include fixed withdrawals, the 4% rule, VPW, guardrails, bucket strategy, floor and upside, and planned drawdown.

About the Author

Paul Hankin is the creator of the AI-Ready Retirement Income Planner, a browser-based planning tool designed to help users organize retirement income across phases, review taxes and healthcare costs, compare withdrawal strategies, and optionally use AI to ask questions about their own plan. His work focuses on practical retirement planning tools for people who want clearer, more flexible ways to test retirement income decisions.